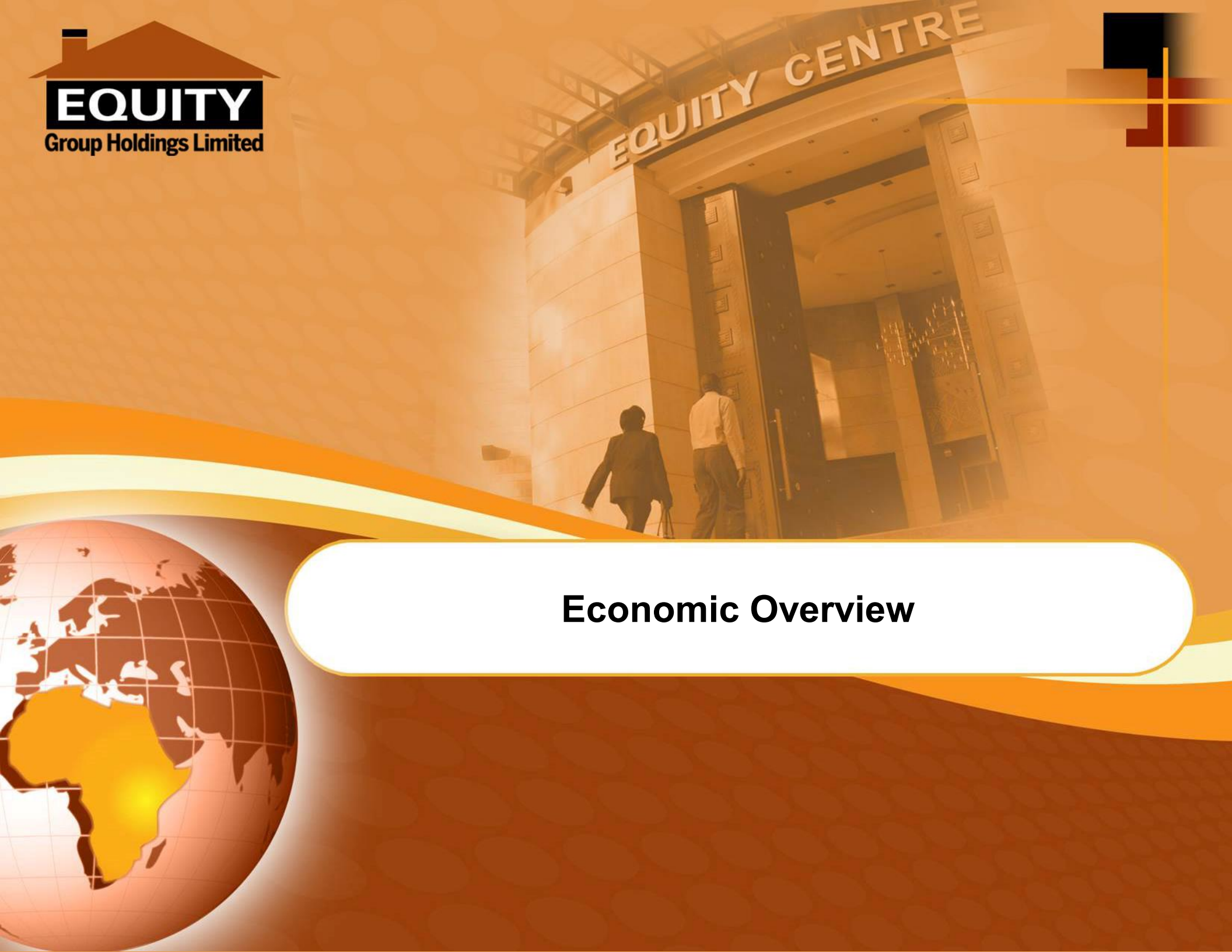




Investor Briefing & Q3 2015 Performance

Oct 2015

EQUITY CENTRE

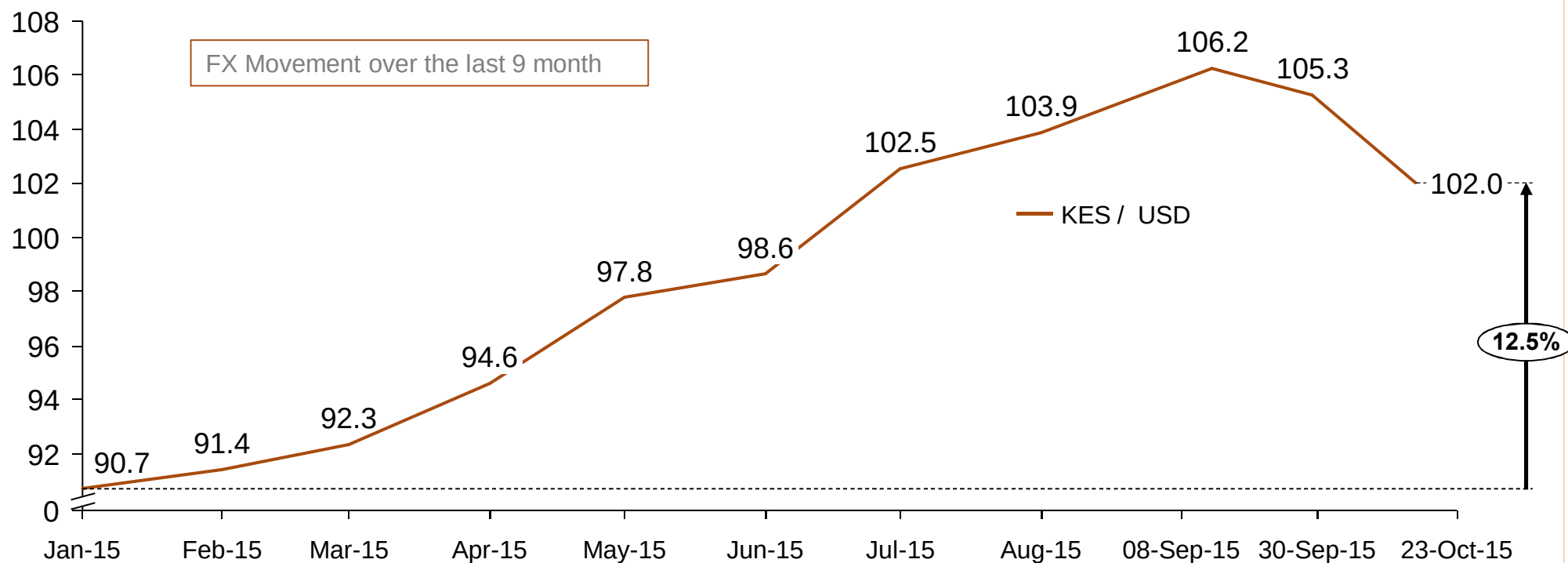


Economic Overview



Foreign Exchange Rate - Kenya

- After experiencing an upward pressure since the start of the year and peaking in mid September, the exchange rate (KES against the US Dollar) appears to have stabilized at levels averaging 102-103
- The Kenya Shilling depreciation was mainly a reflection of:
 - A **strong US Dollar** as a result of the recovery of the US economy
 - An **elevated** but seasonal **demand for foreign exchange** from the local corporate sector
 - Repatriation of dividends** by foreign investors
 - Falling revenues** from tourism, tea and horticulture
 - Massive capital investments** in infrastructure

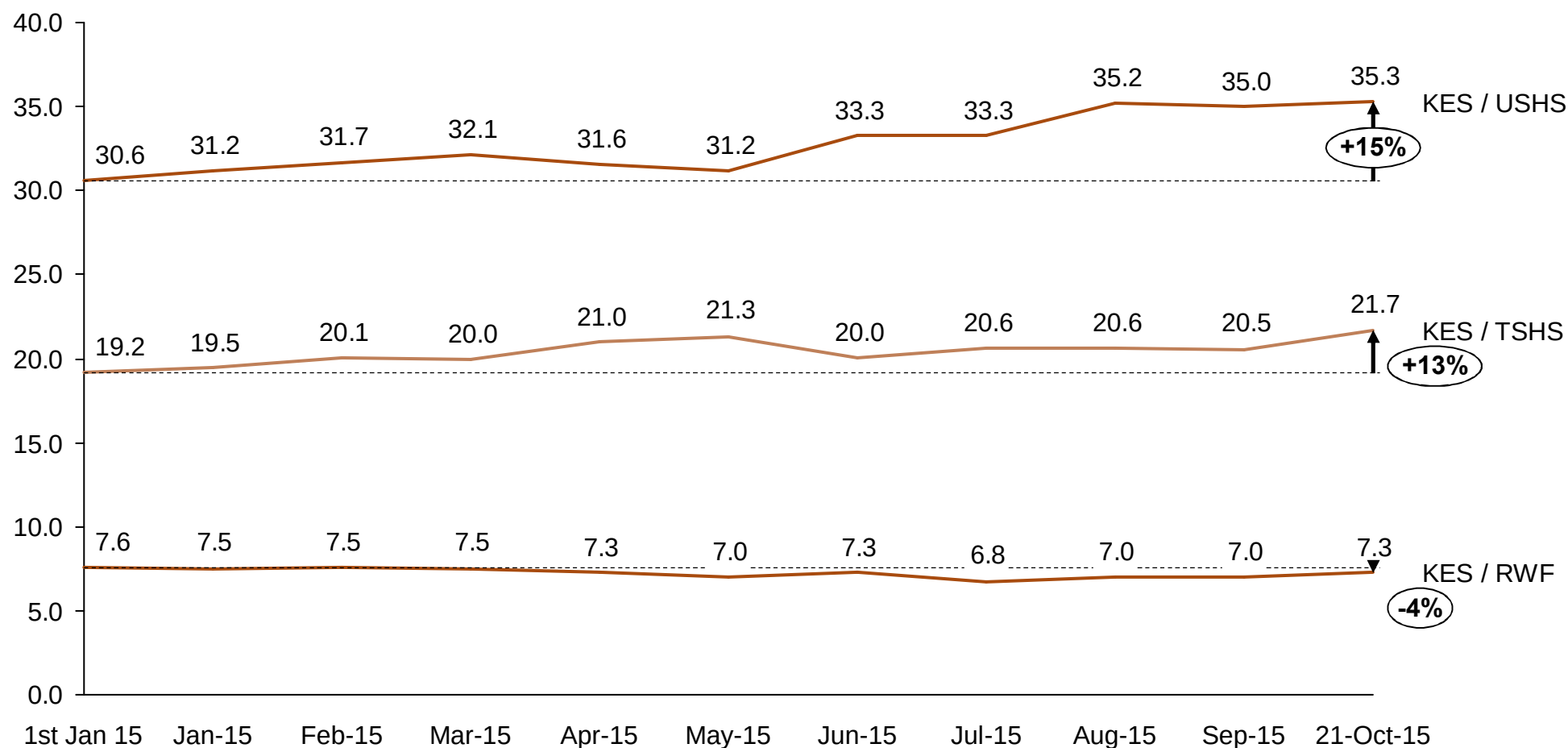




KES vs East African Currencies

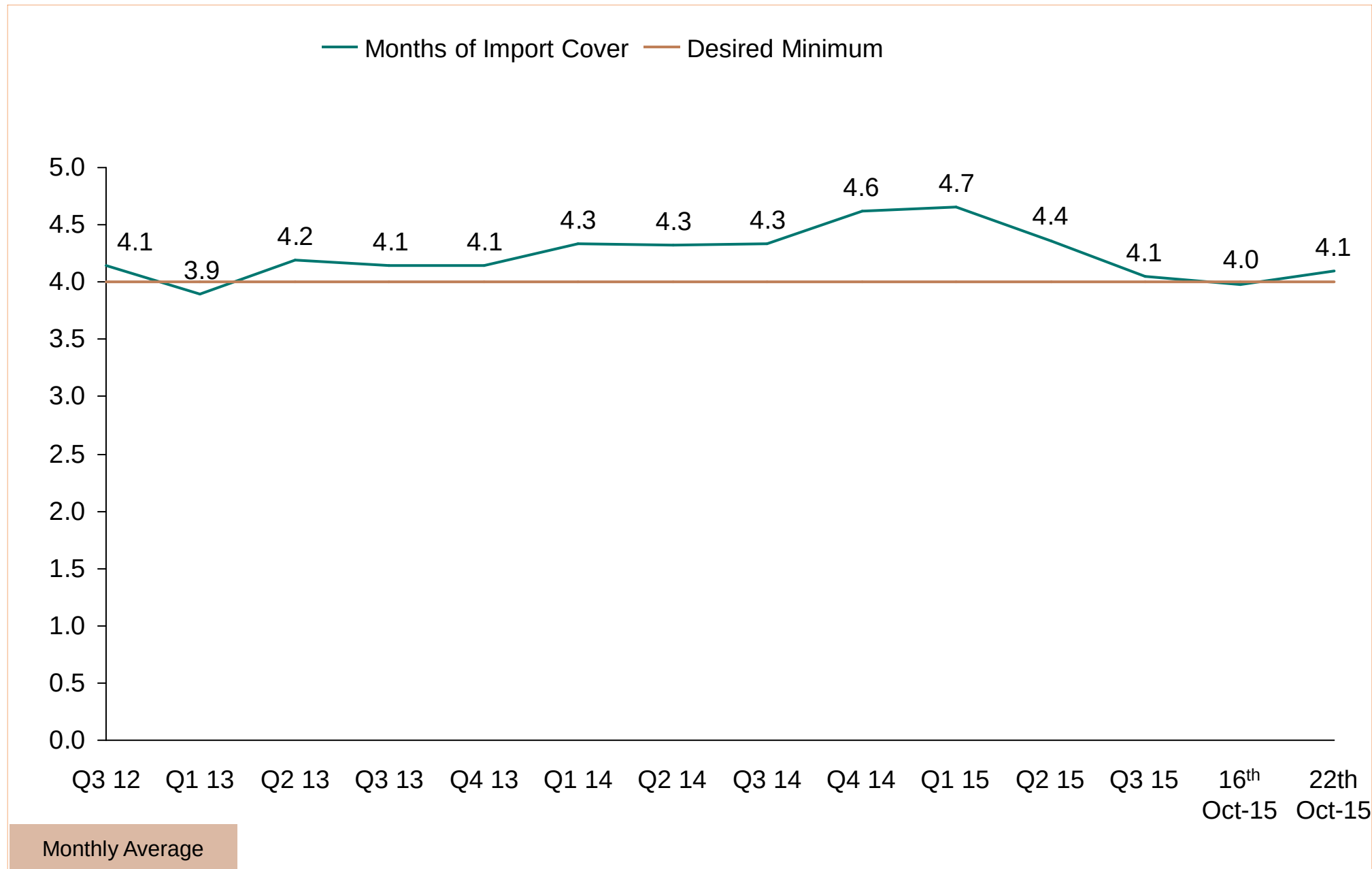


- Although the KES has witnessed an upward pressure against the USD over the last few months, it has strengthened against some of the regional currencies





Months of Import Cover - Kenya

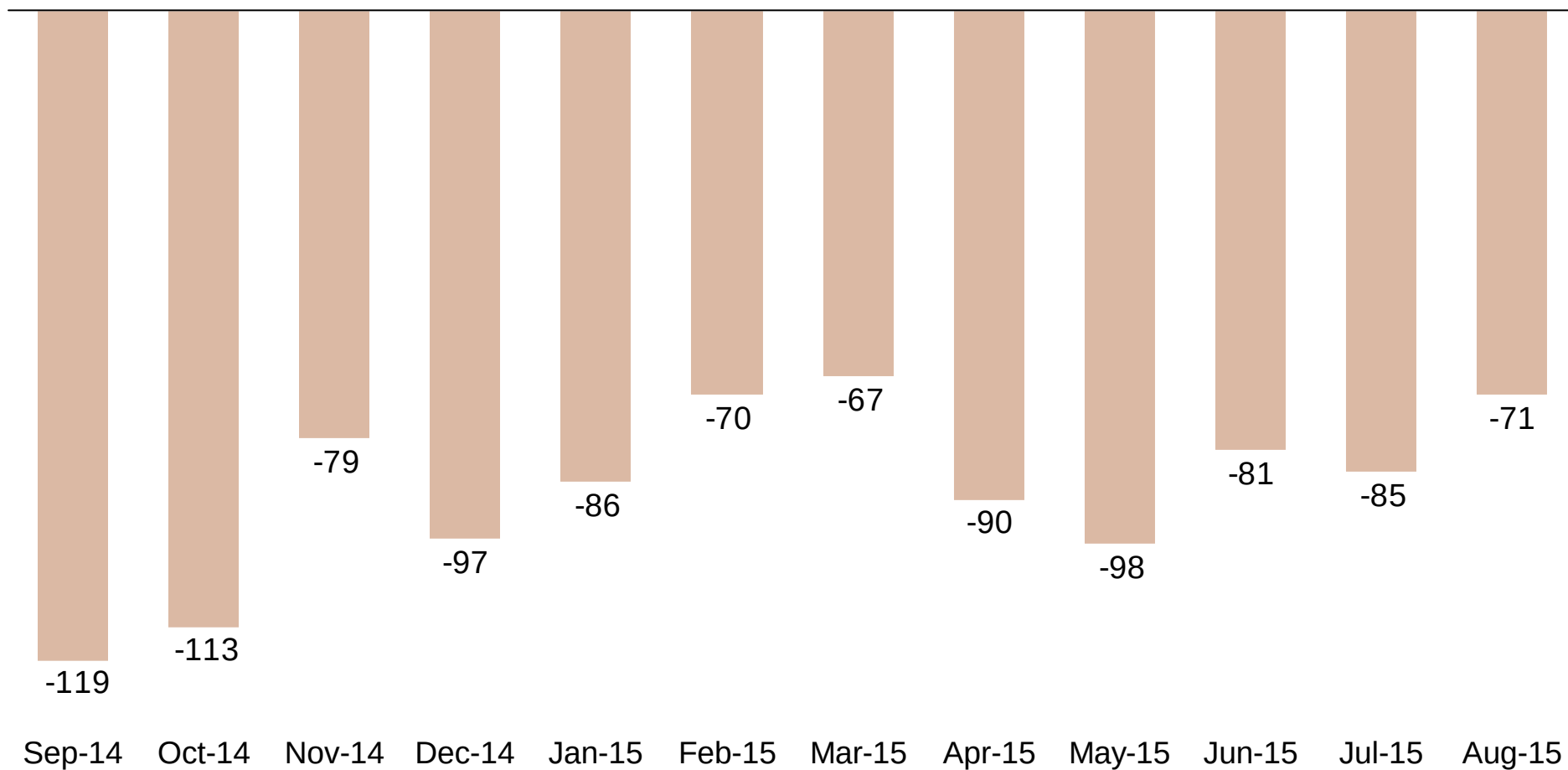




Balance of Trade- Kenya



Balance of Trade (Kes Billion)

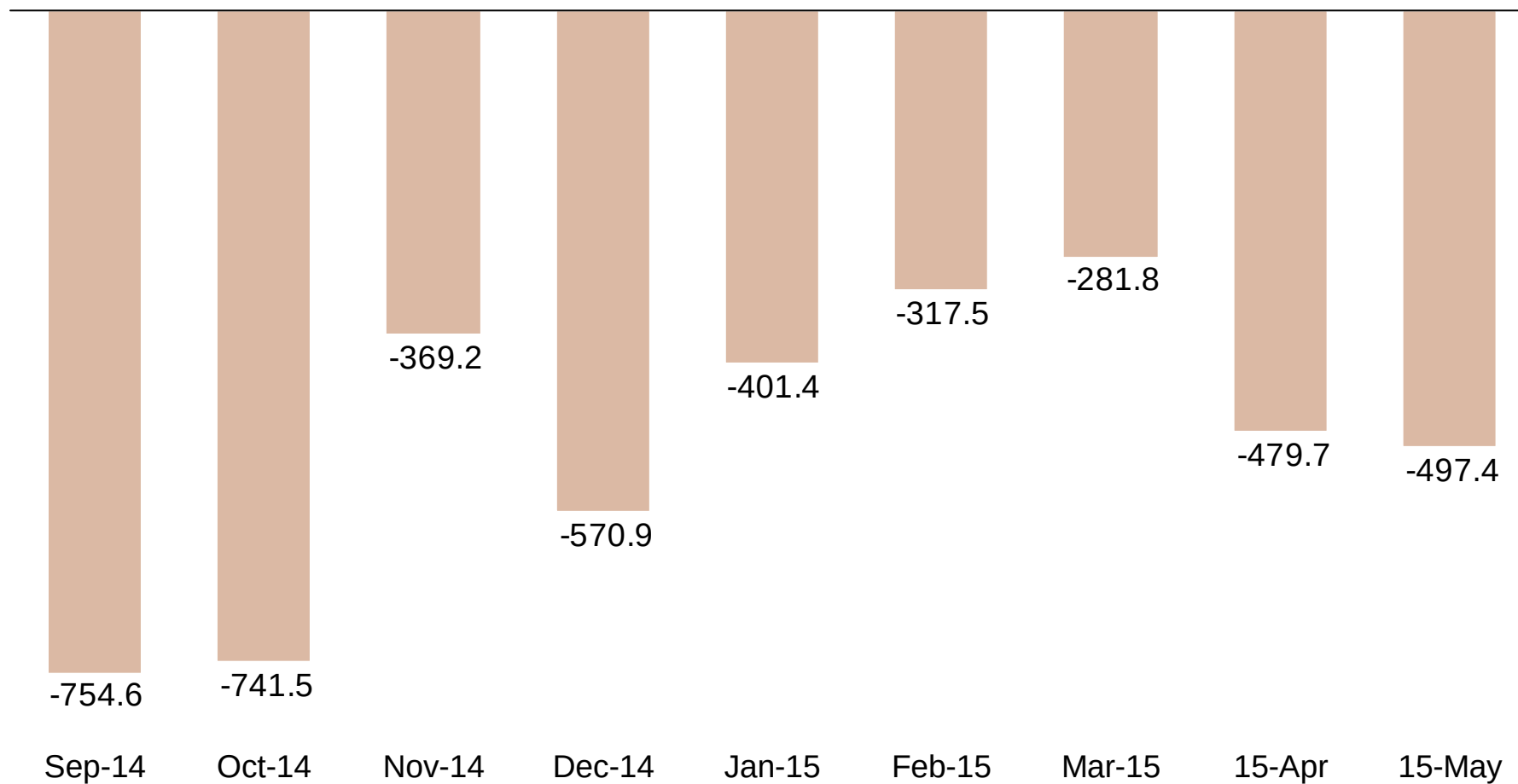




Current Account Deficit- Kenya



■ Current Account Deficit (USD Million)





Interest Rates Tend - Kenya



There has been an increasing trend in interest rates over the last 6 months peaking in September and October 2015

	Jan	Feb	Mar	Apr	May	June	Jul	Aug	Sep	Sep-Oct Peak
Interbank rate	7.1%	6.8%	6.9%	8.8%	11.8%	11.8%	12.9%	18.8%	19.8%	25.8%
91 Days T. Bill	8.6%	8.6%	8.5%	8.4%	8.3%	8.3%	11.3%	11.5%	18.6%	22.6%
182 Days T. Bill	10.2%	10.4%	10.4%	10.3%	10.4%	10.6%	12.2%	12.4%	14.6%	21.6%
364 Days T. Bill	10.7%	11.0%	10.7%	10.6%	10.7%	11.0%	12.5%	13.8%	16.3%	21.5%



Macro-Economic Indicators (East Africa)



	Kenya	Uganda	Rwanda	Tanzania
91 Days T-Bill	18.6%	18.3%	4.3%	8.3%
182 Days T-Bills	14.6%	20.5%	4.6%	13.9%
364 Days T-Bills	16.3%	21.7%	6.5%	14.6%
Central Bank Rate	11.5%	16.0%	12.0%	7.0%
Inflation	6.0%	7.2%	3.1%	6.4%

30th Sept 2015



Macro-Economic Indicators (East Africa)

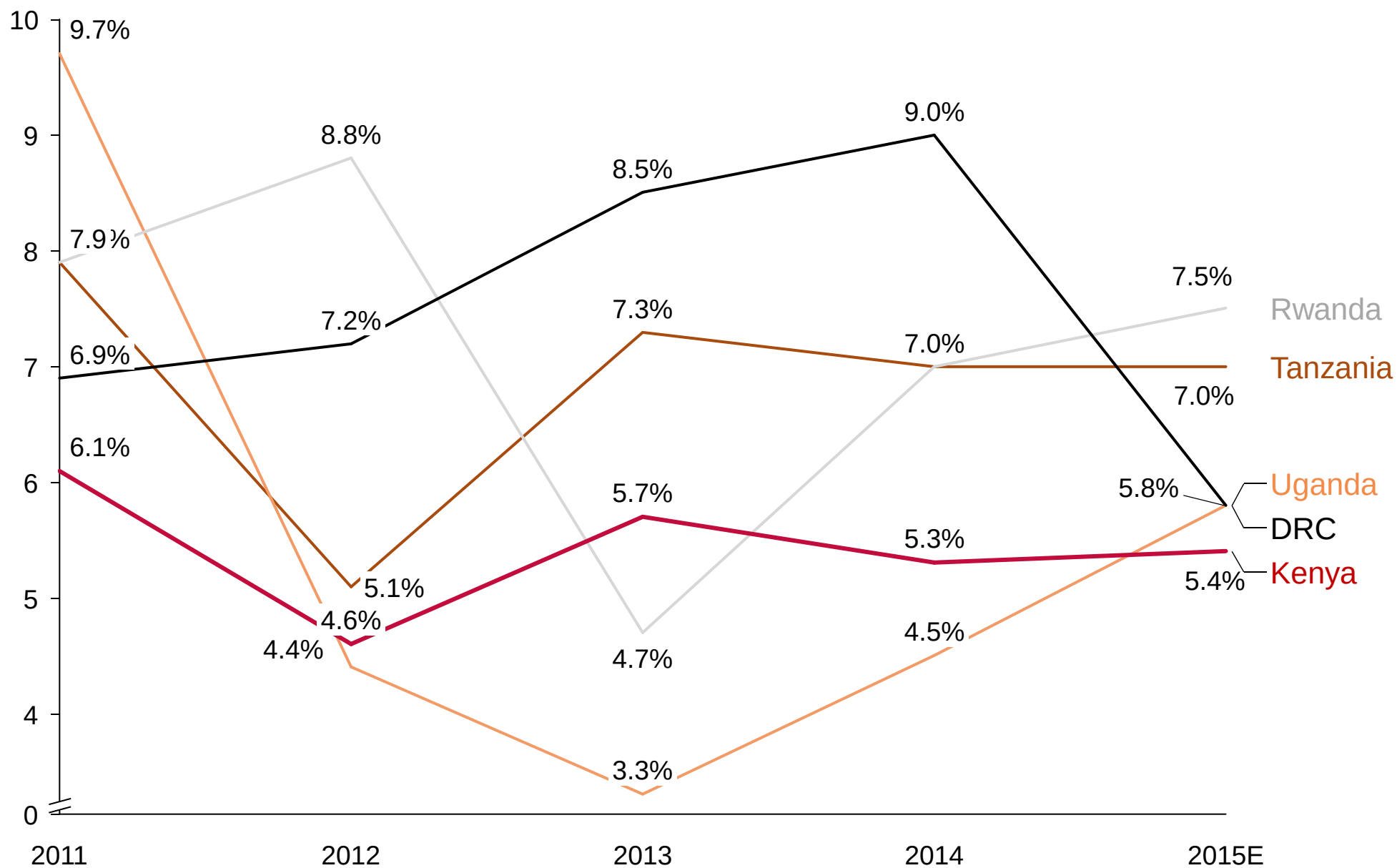


	<u>Kenya</u>	<u>Uganda</u>	<u>Rwanda</u>	<u>Tanzania</u>
Current Account to GDP	-7.50%	-5.20%	-11.80%	-11.00%
Private Sector Credit Growth	19.9%	11.0%	26.6%	13.7%
Real GDP Growth (World Bank 2015 Projections)	5.4%	5.4%	7.0%	7.2%
GDP (in USD Billion)	60.9	26.3	7.9	49.2

30th Sept 2015

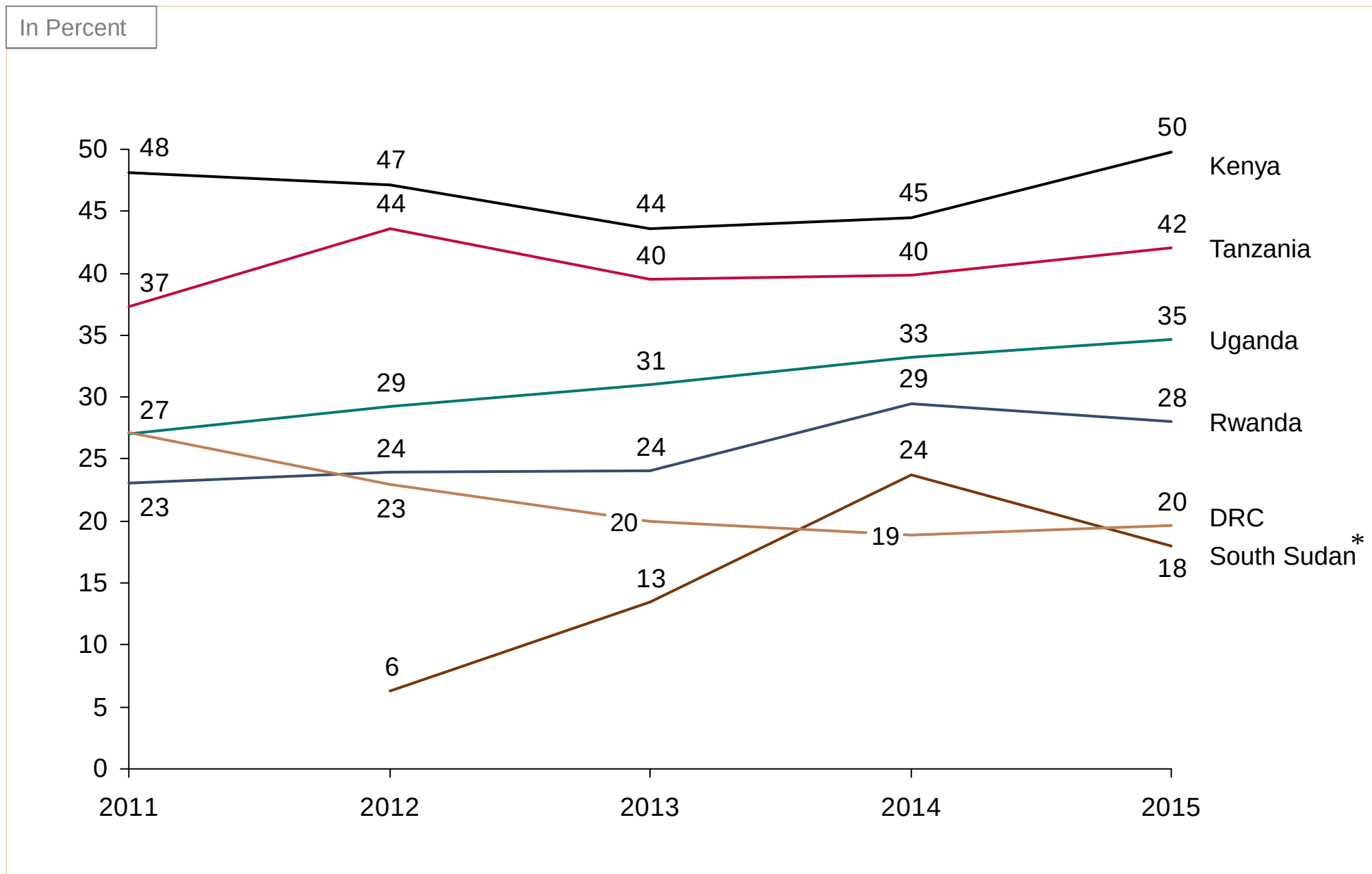


GDP Growth - East Africa





Debt to GDP Trend (East Africa)



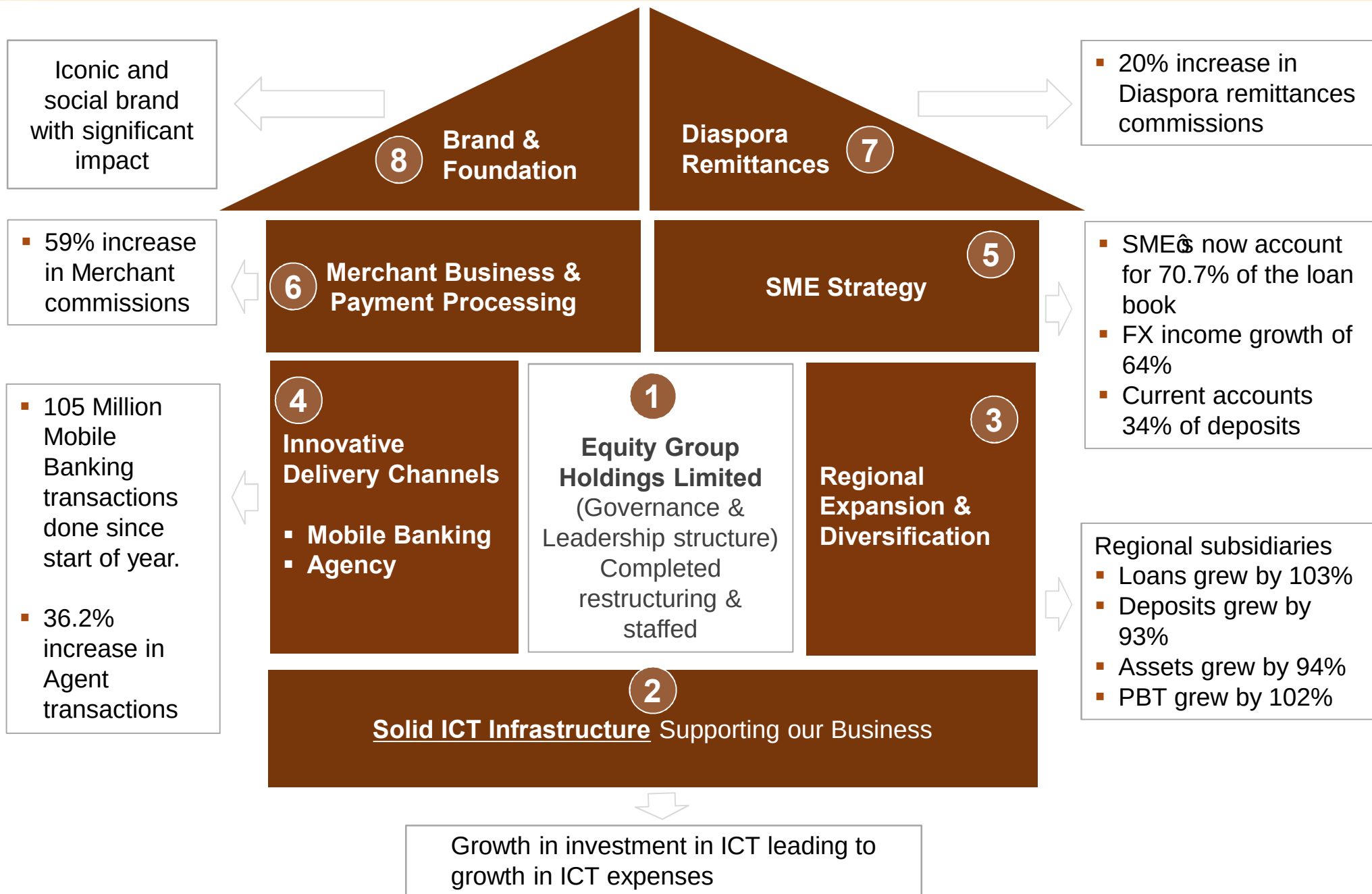
* South Sudan became independent in 2011. Independent Economic environment started in 2012



Update on Strategic Initiatives



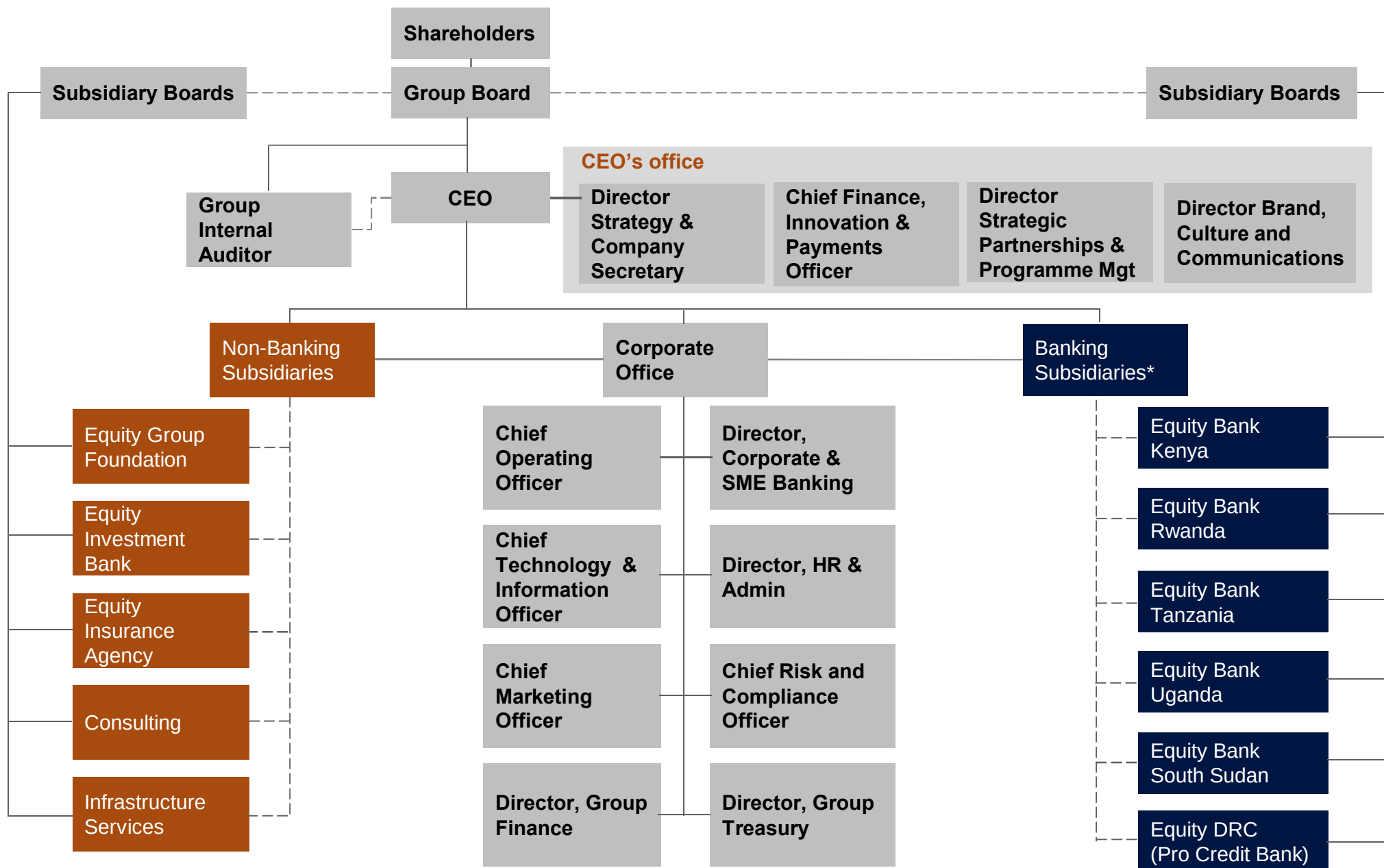
Progress in key execution priorities





1

Strong Governance & Leadership Structure



* Each subsidiary with own Board of Directors compliant with local regulations

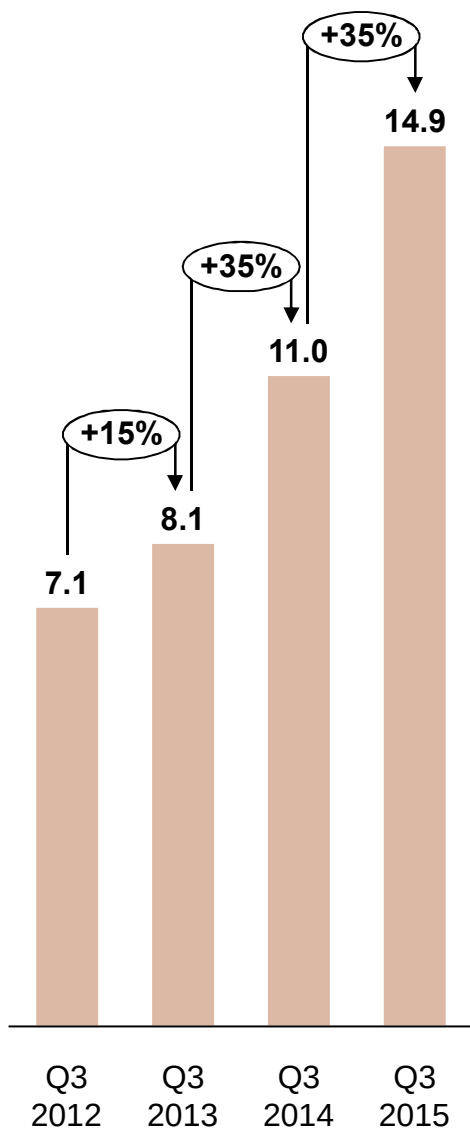


IT investment and impact on P&L

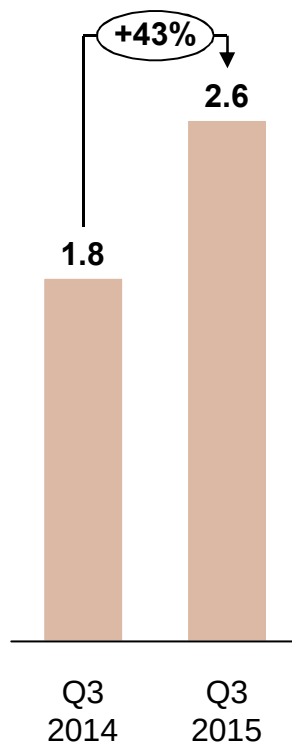
Focusing Leveraging on mobility, digitization and rapid growth of social media

KES ₹Billion

IT Spend over time



IT Expense (P&L)



Investment

- Å MVNO capability expansion, channel security, EGF capabilities Equity world, healthcare system, education content, agricultural programmes and more.
- Å Enterprise service bus (BPM / BAM / SOA and security), rich API capabilities for corporate customers and partners.
- Å Investment in rich user experience for Mobile and e-Banking due for release Q4 and Q1 2016 respectively
- Å Digitisation and process automation enabling streamlined efficient paperless processes. Analytical capabilities, AML, Risk Analytics, planning and performance management
- Å PCI-DSS compliant platform that is solidified in payment switch upgrade. E Commerce payment platform implementation
- Å Investments in enabling expertise, learning and knowledge acquisition
- Å MSSP, extension of data centre capacity to cater for growth, comprehensive BCP capability, high availability on 99.97% uptime SLA. Moving to outsourced multitenancy cloud model

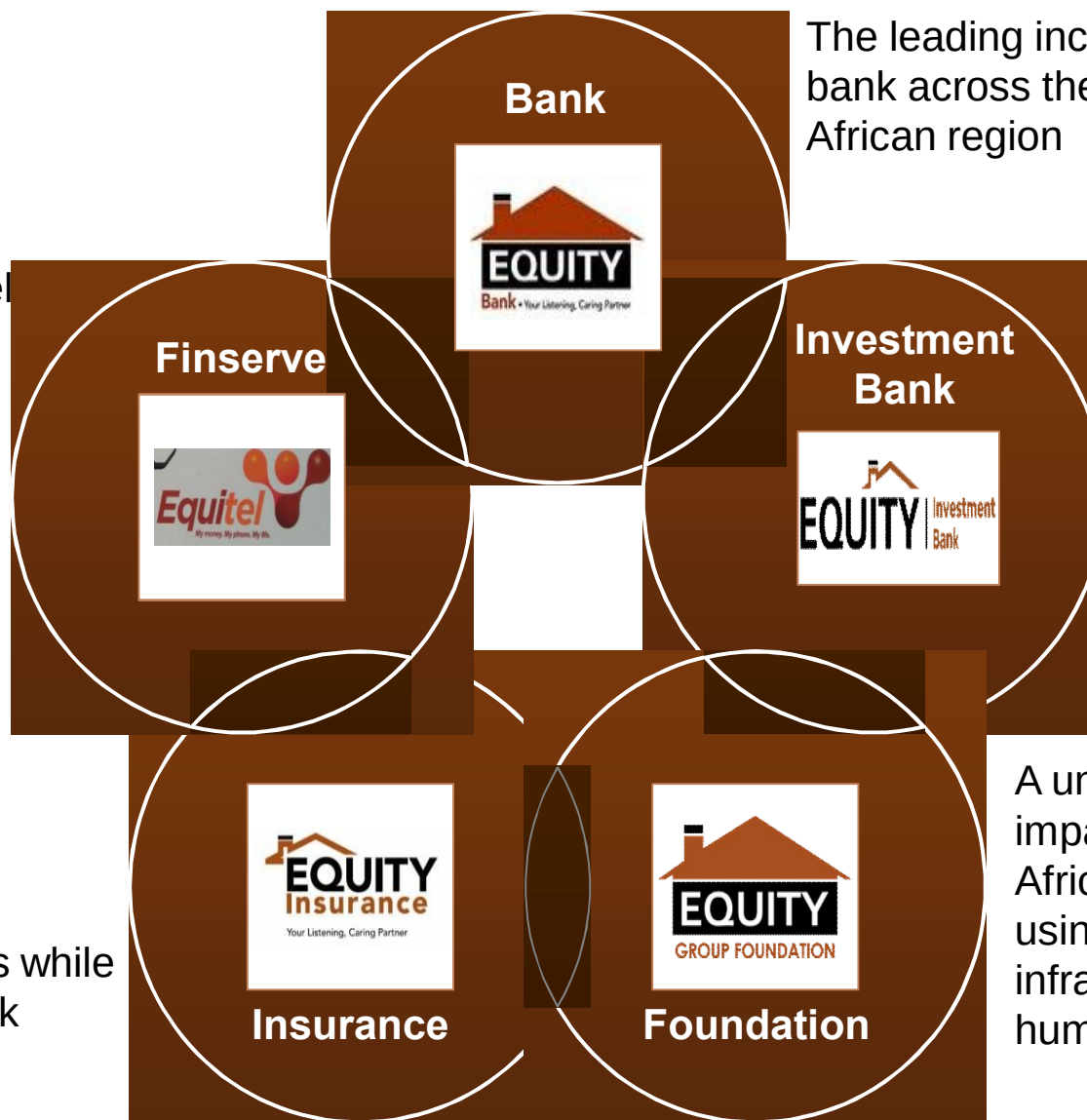


3

Regional Expansion & Diversification

A distinctive agile, convenient and secure mobile channel that seamlessly integrates and converges bank accounts and other financial products and services while providing value-add telecoms products and services

Insurance products to deepen the financial inclusion of our clients while providing cover for risk mitigation of banking products

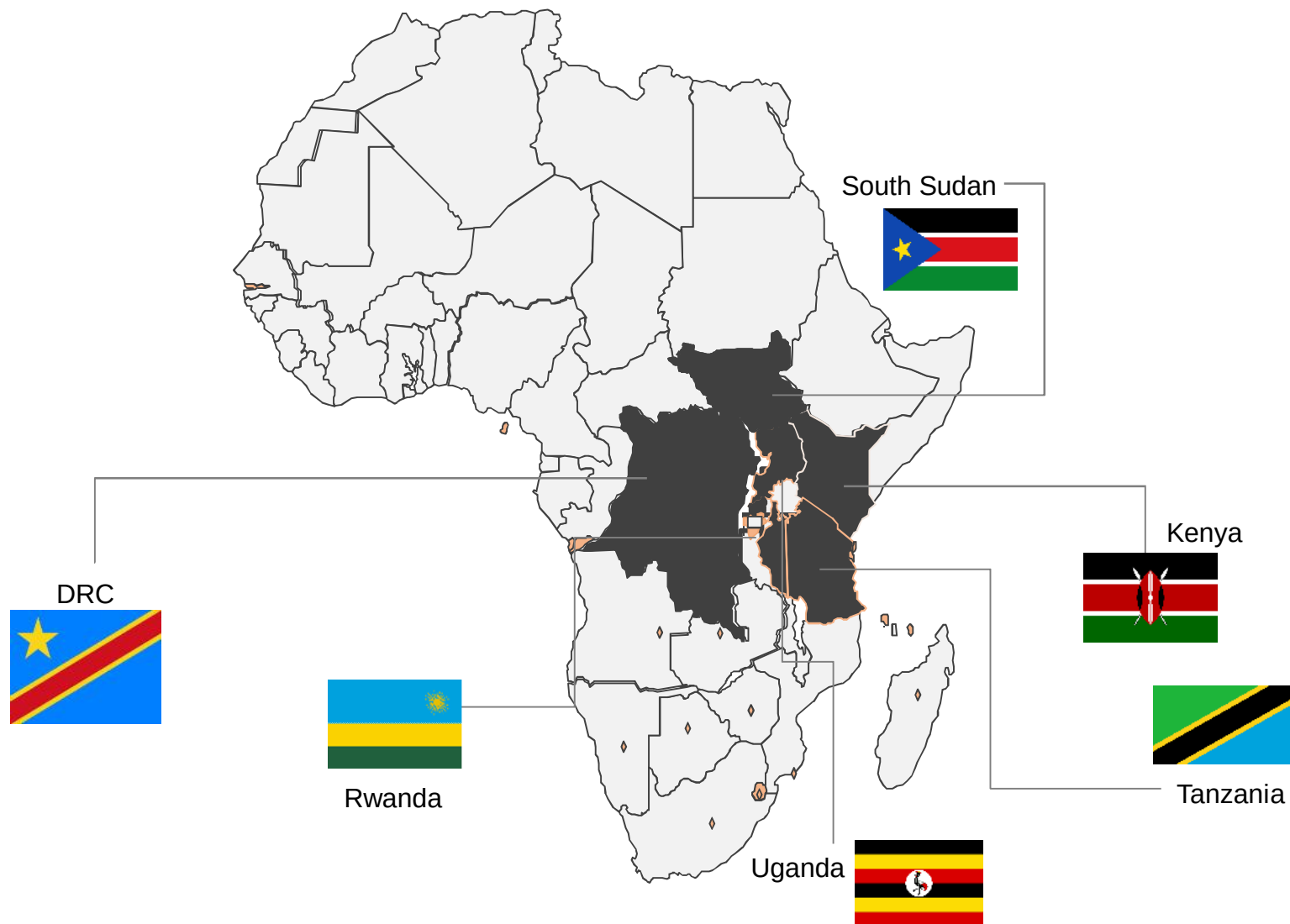




3

Regional Expansion - key delivery under Equity 3.0

- Equity 3.0 is a comprehensive 10 year plan to transform Equity Group Holdings Ltd (EGHL) into a diversified regional financial services providers in Africa. EGHL's overarching objective is to grow its member base to over 100 million customers, in 15 countries across the continent.





3

Regional & Non-Banking Expansion – Key Metrics

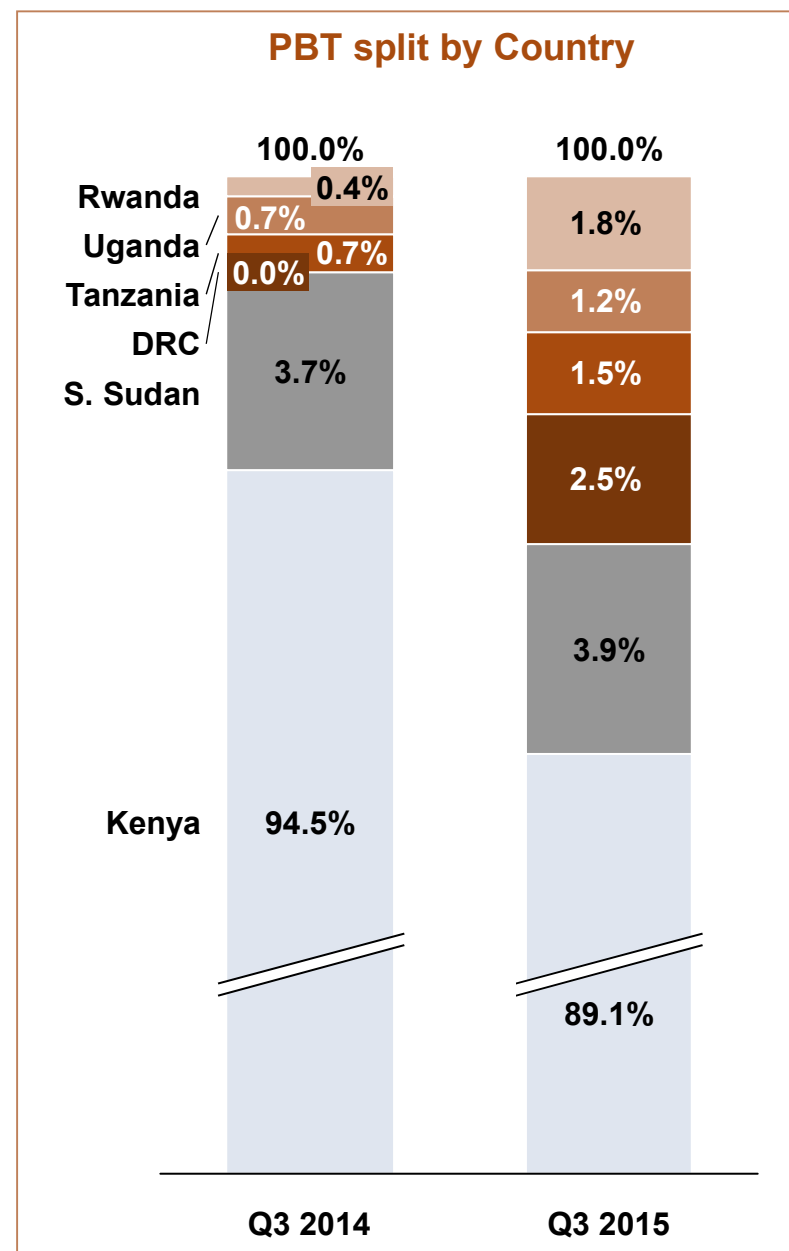
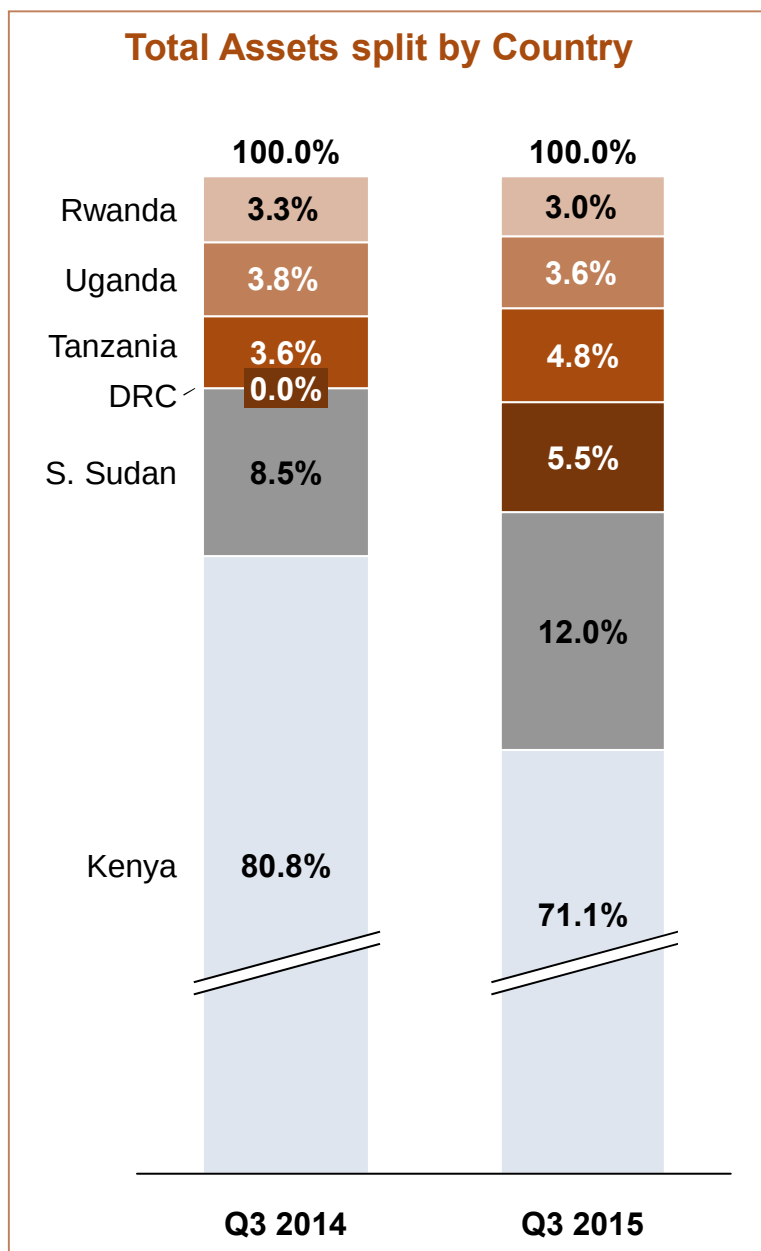


KES ₦Billionð

	Tanzania	Rwanda	Uganda	S. Sudan	DRC	EIA	EIB	Regional & Non-banking Total	Kenya	Regional & Non-banking Contribution Q3 2015	Regional & Non-banking Contribution Q3 2014
Deposits	15.39	9.26	11.11	43.98	18.70			98.44	222.0	31%	21%
Growth	60%	1%	18%	93%	23%			93%	15%		
Loan	15.63	8.24	7.07	3.42	13.34			47.71	215.7	18%	11%
Growth	105%	58%	11%	-20%	78%			103%	18%		
Assets	21.79	13.57	16.21	54.22	24.96			130.75	321.1	29%	20%
Growth	73%	16%	22%	81%	27%			94%	13%		
PBT	0.27	0.32	0.21	0.70	0.44	0.43	0.10	2.47	15.9	14%	8%
Growth	137%	463%	92%	23%	36%	26%	255%	102%	9%		



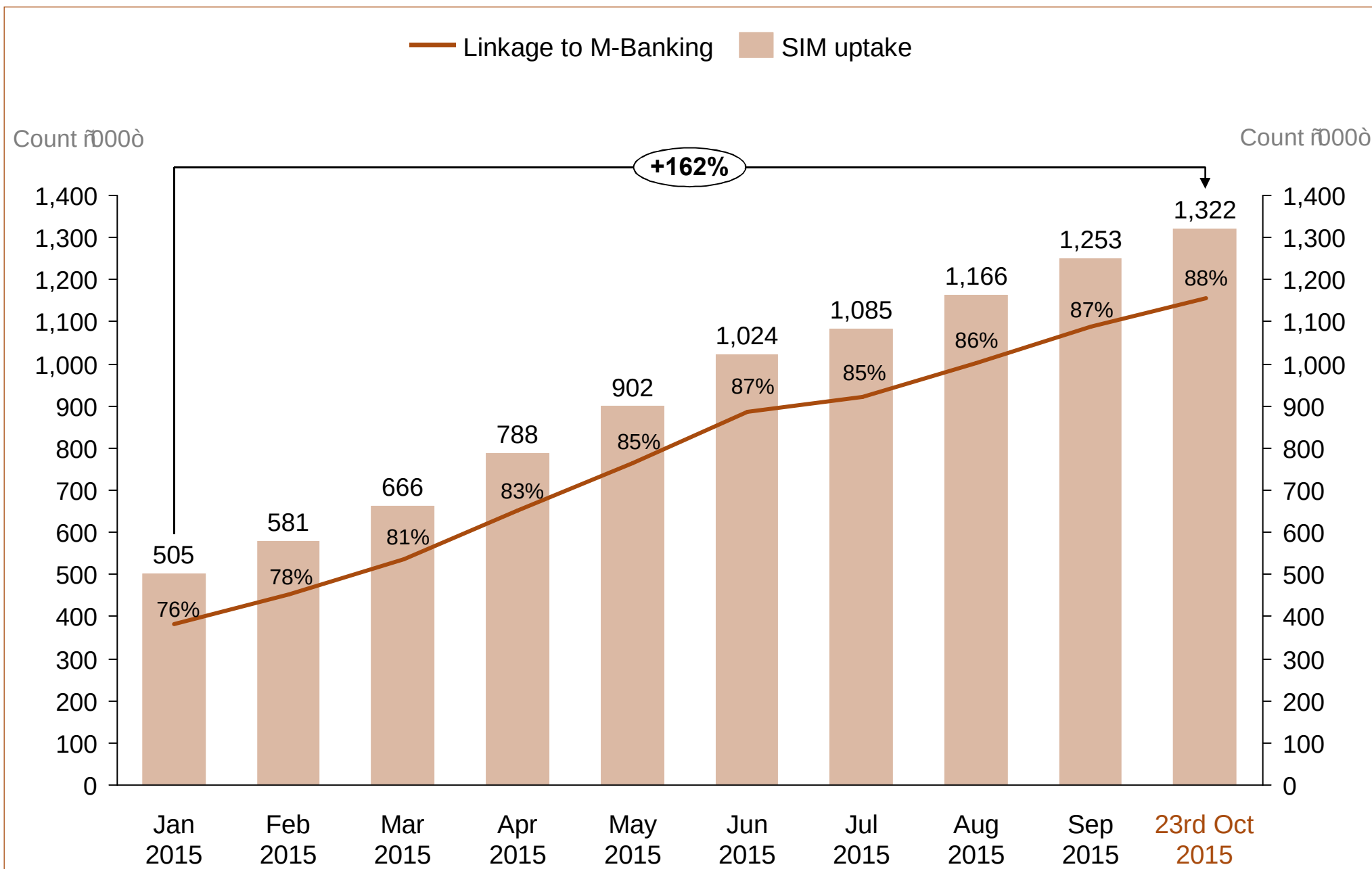
Assets and PBT contribution by countries





4

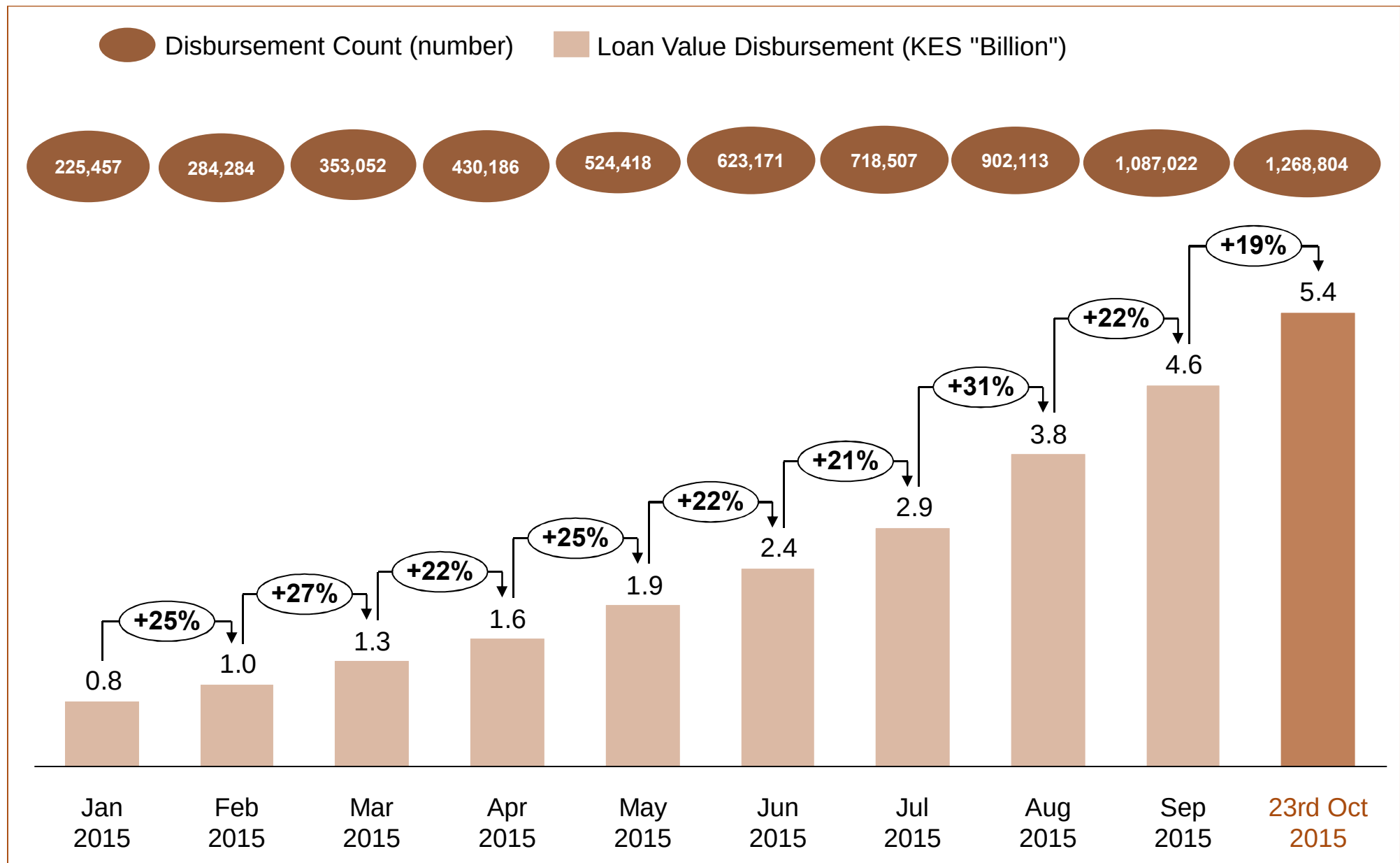
Equitel uptake has soared with 162% growth in 10 months





4

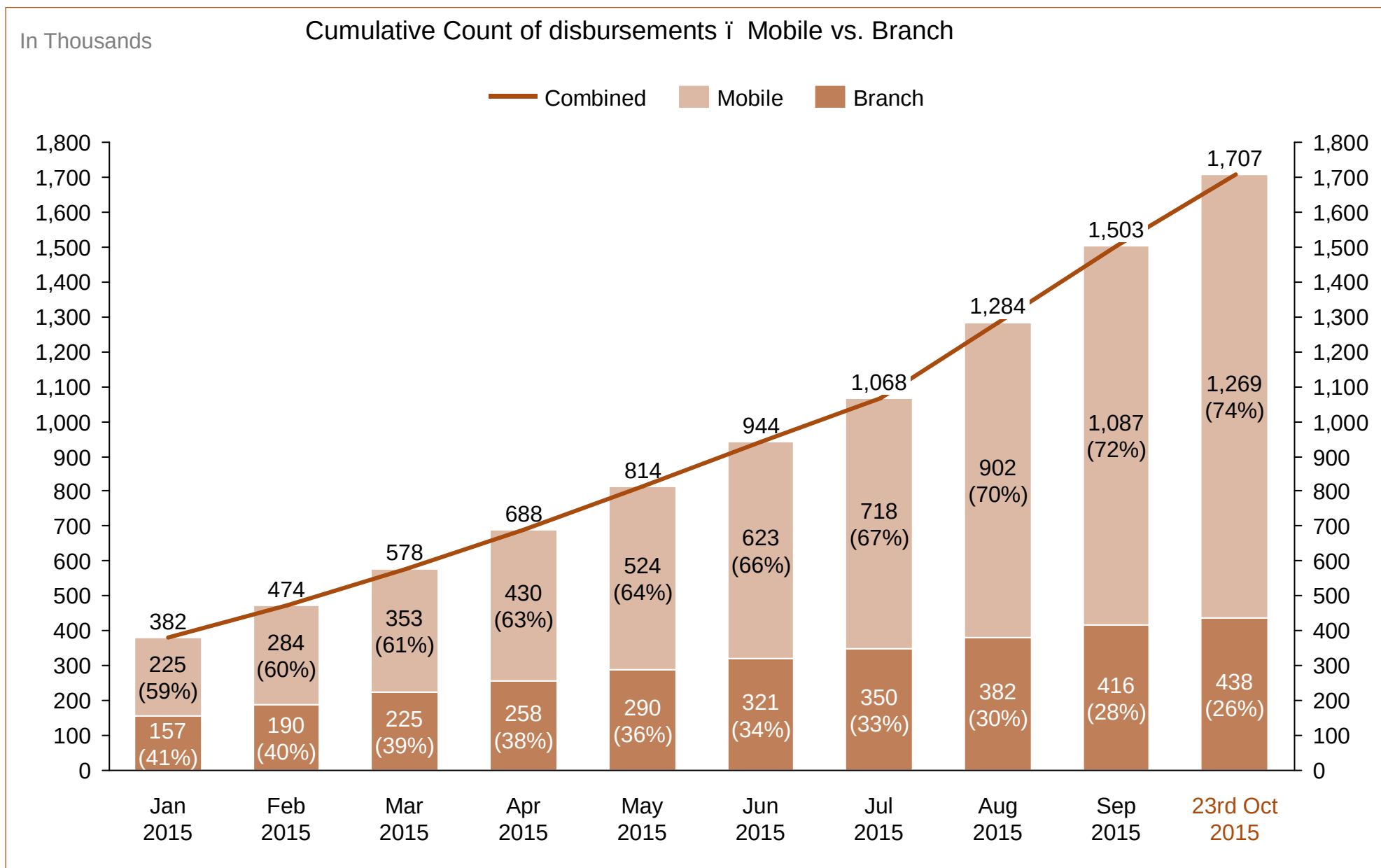
Loan Disbursements through Mobile Banking - Analytics used for credit decisions



Cumulative figures



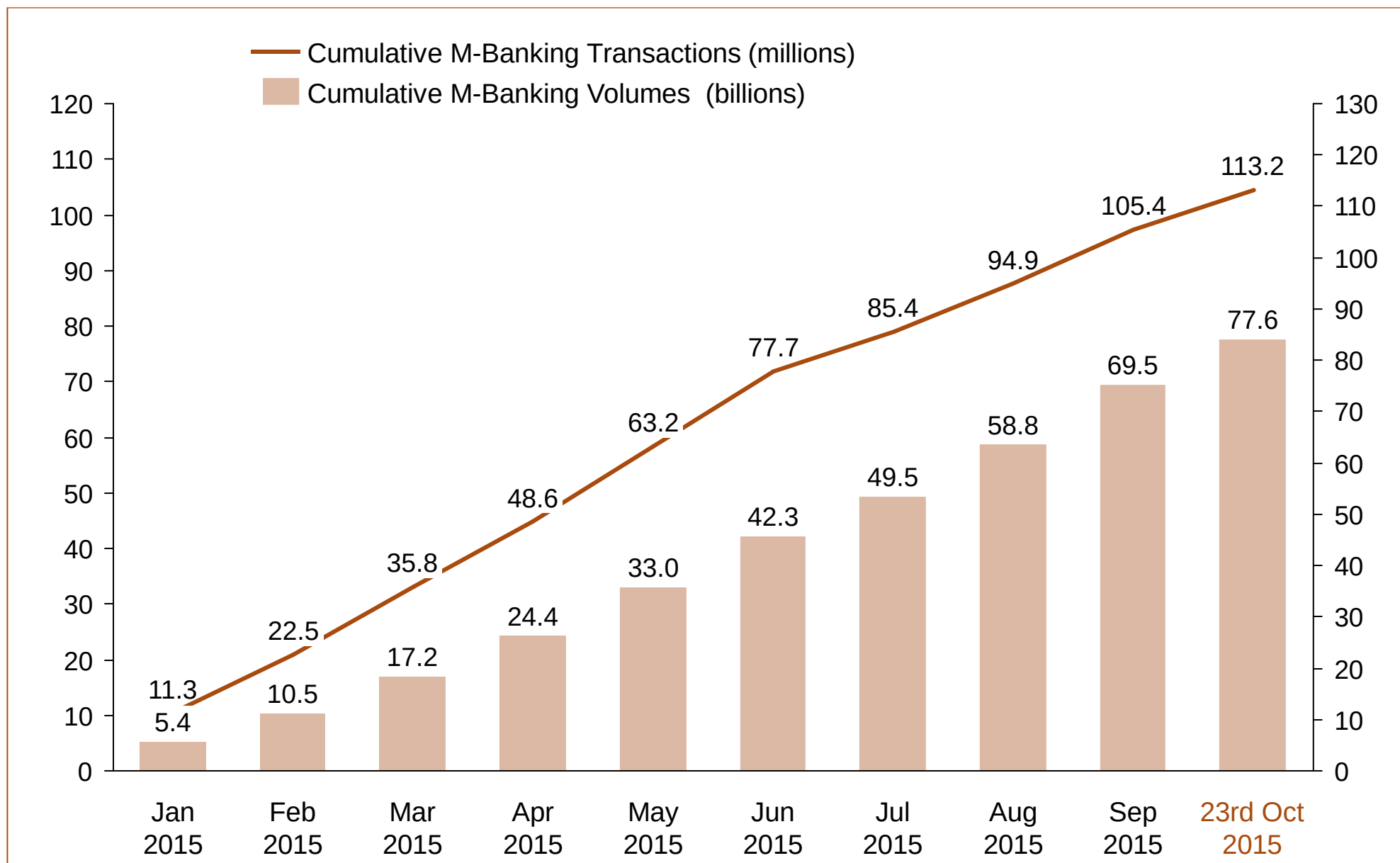
Retail Loan Disbursements Trend





4

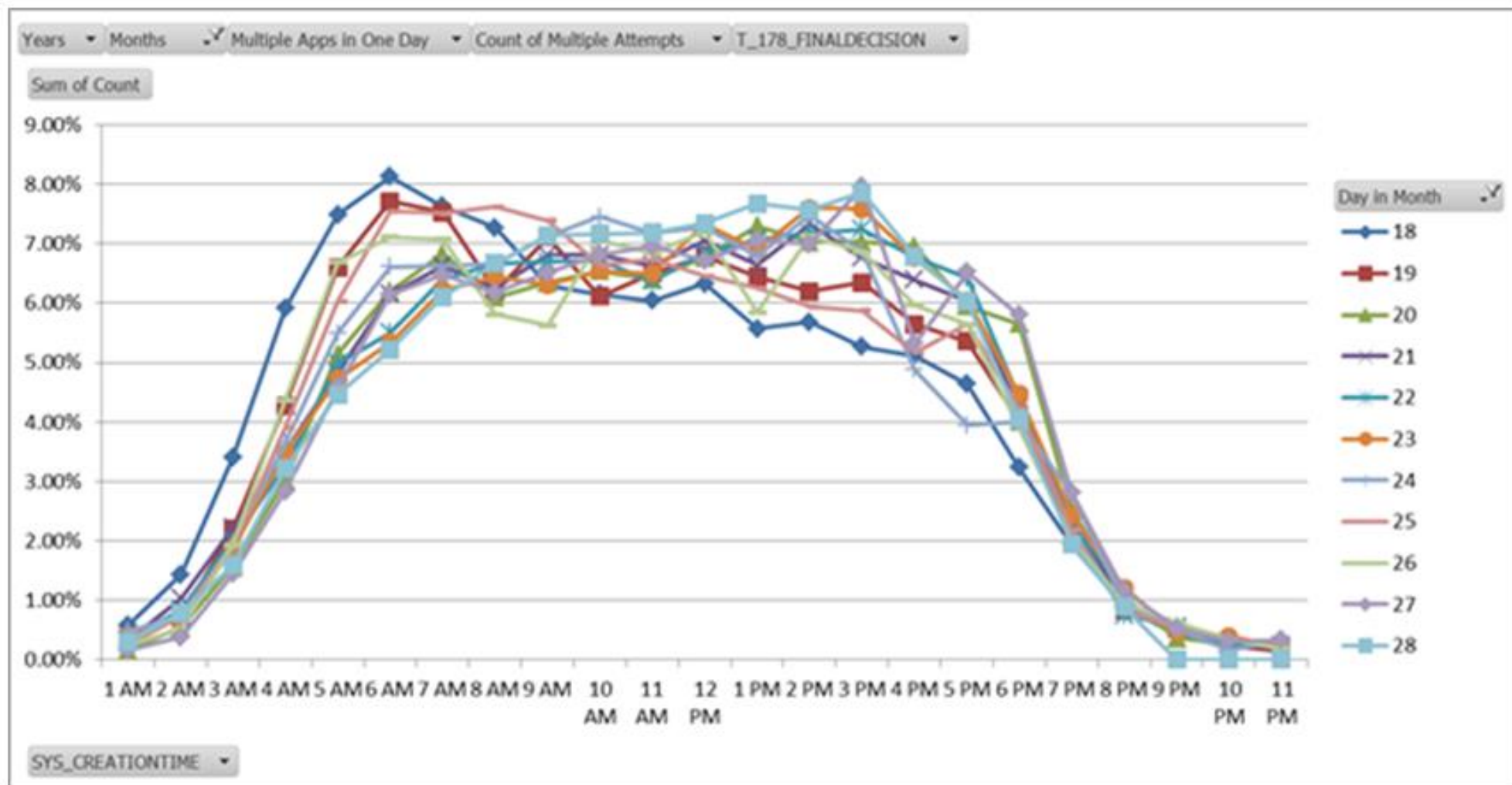
M-Banking Transactions & Volume Trend (cumulative)





4

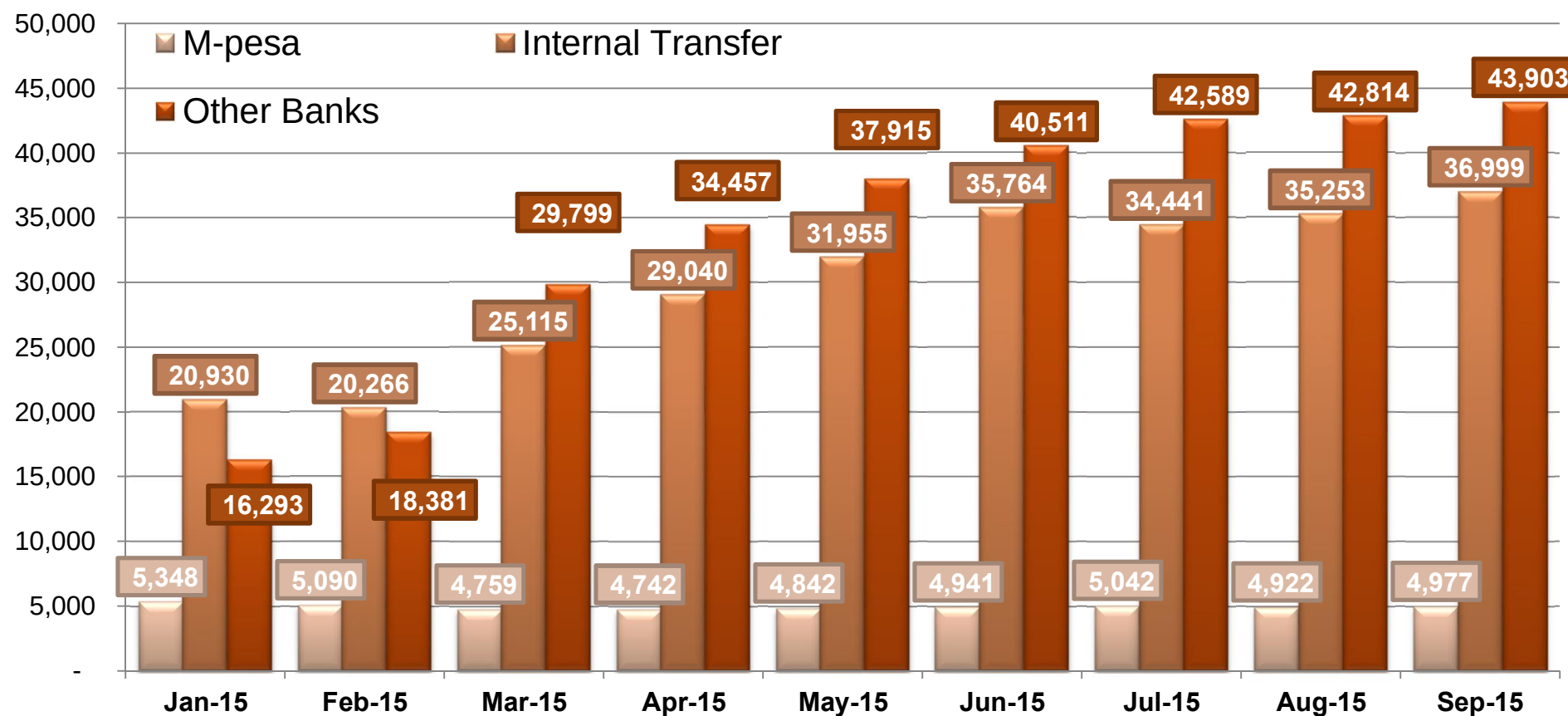
Analysis distribution by time of day





4

Average Transaction Amount on Funds Transfer



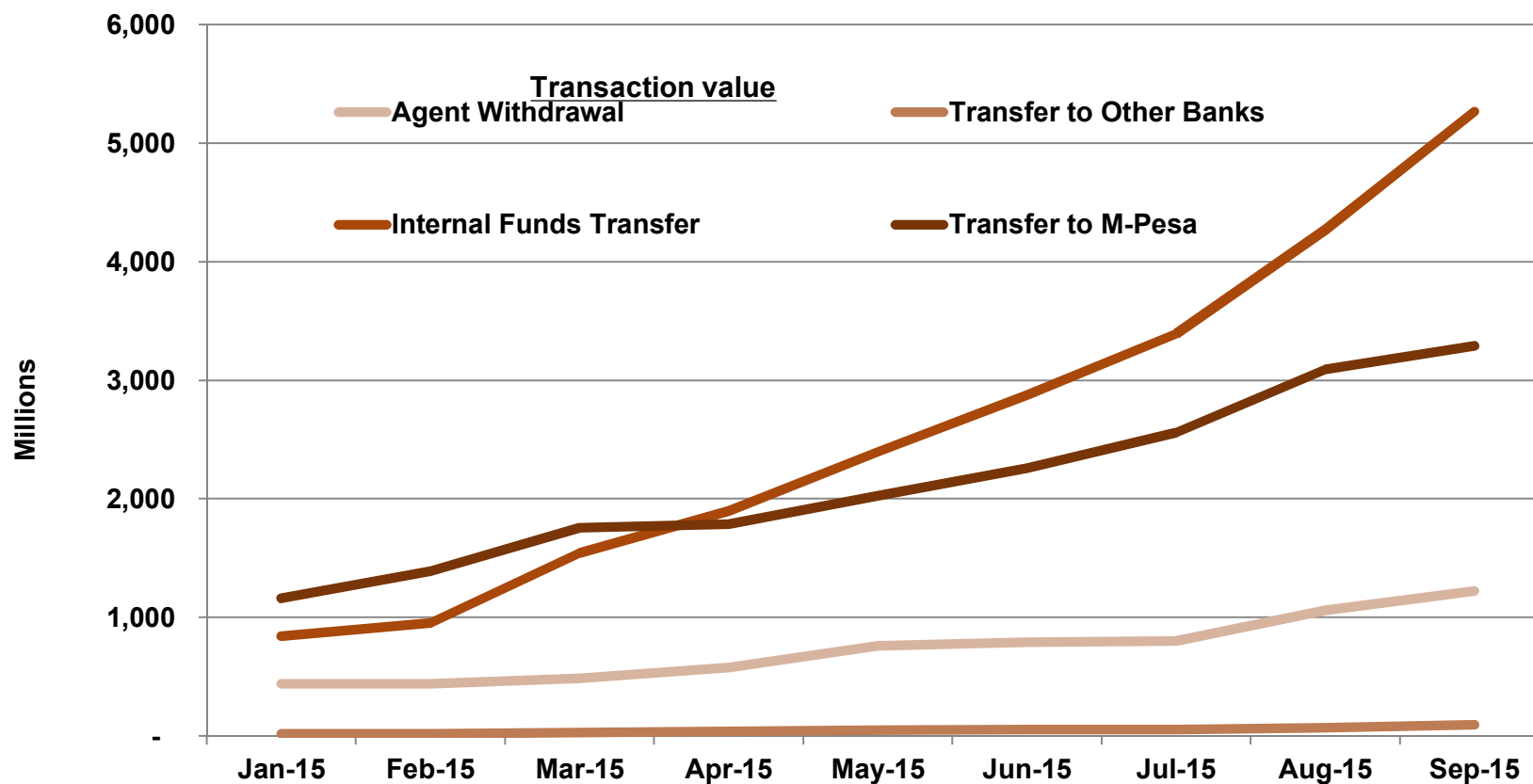
Å Average M-PESA transfer ~5,000/- as of September

Å Average Internal Funds transfer ~ 37K as of September



4

M-Banking Transactions Update by Transaction Type

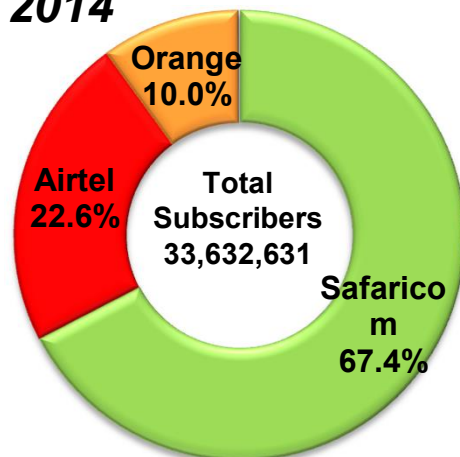


- Å The value of internal bank transfers have Surpassed transfer to M-PESA
- Å Average growth in value of internal transfer has been higher than M-PESA , Agent Withdrawal and transfer to other banks

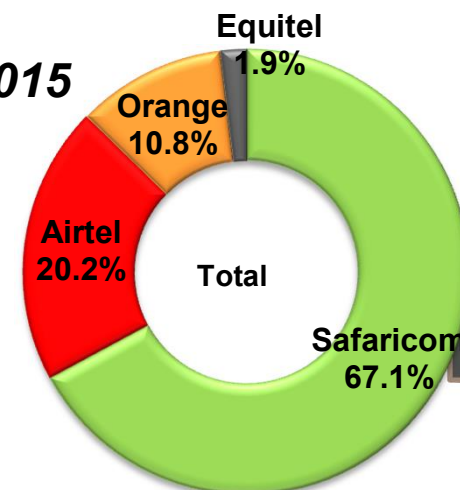


Equitel Market Share

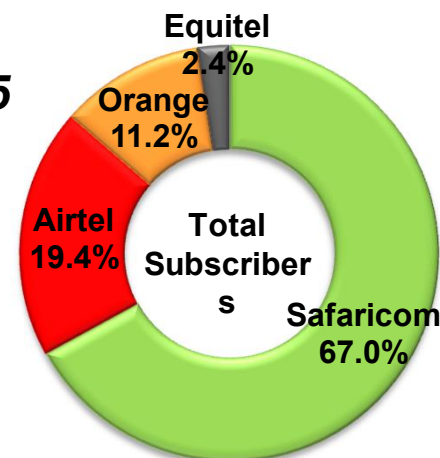
December 2014



March 2015



June 2015



Å Equitel market share has grown significantly from 1.9% in Mar to 2.4% in June 2015.

Å 18% of the total subscriber activated between January and June 2015 was contributed by Equitel.

Source: Communications Authority of Kenya Q4 Industry Statistics



Continuous Growth in Agency Banking



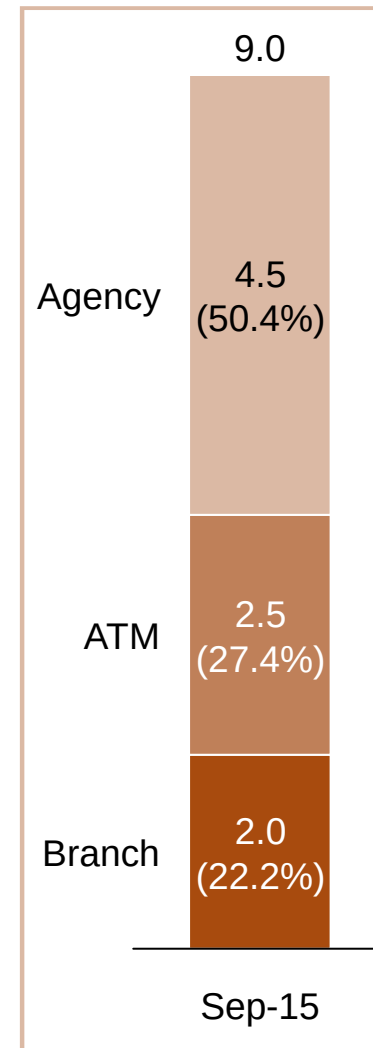
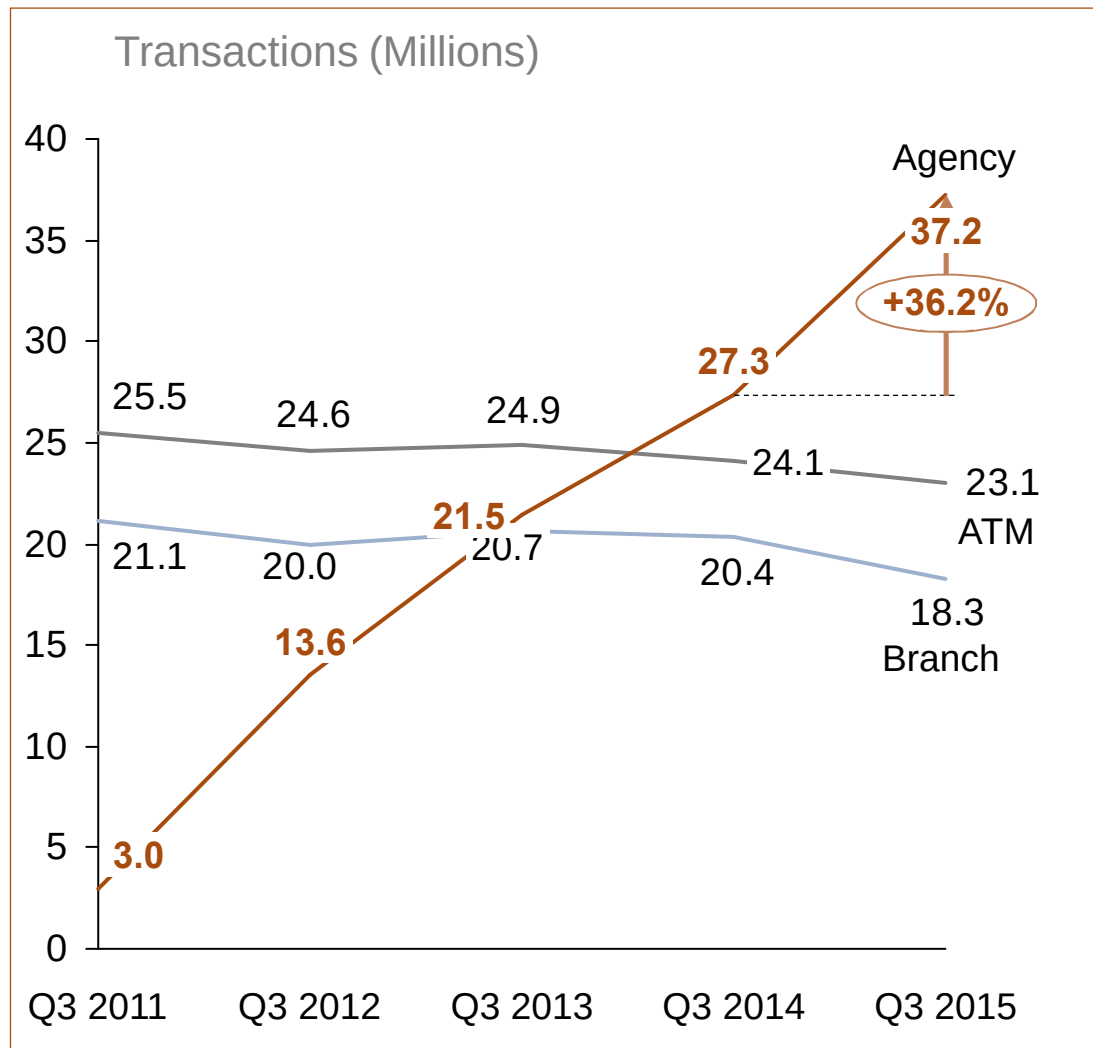
Focus on Variable cost model...

... More transactions now processed under 3rd party infrastructure saving on fixed costs

ĩ Number of agents increased to **22,017 agents. 39% growth y/y**

ĩ Agent transactions registered a **36.2% y/y growth**

ĩ More transactions now processed under 3rd party infrastructure



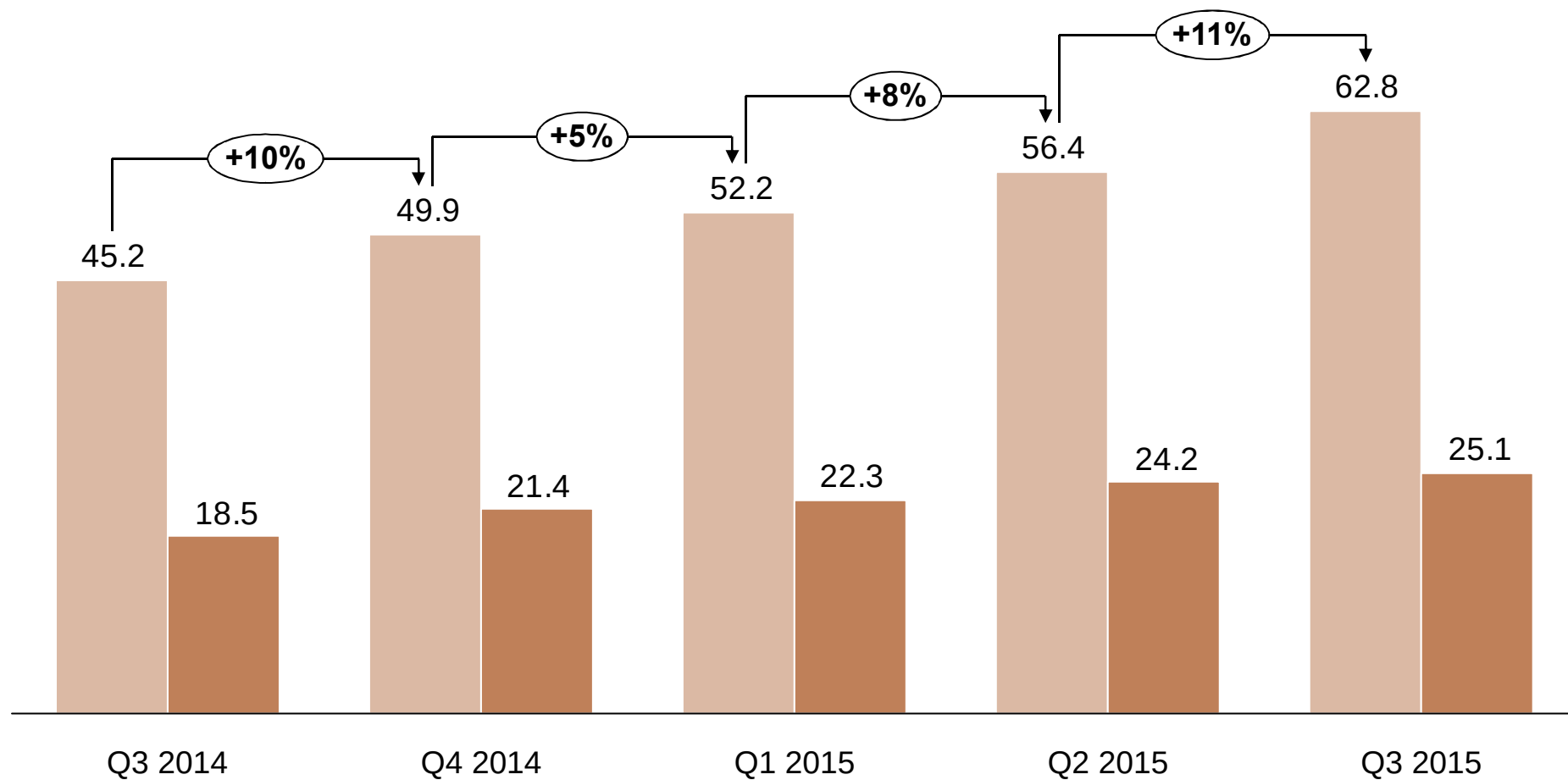


4

Continuous Growth in Agency Deposits...

In KES Billion

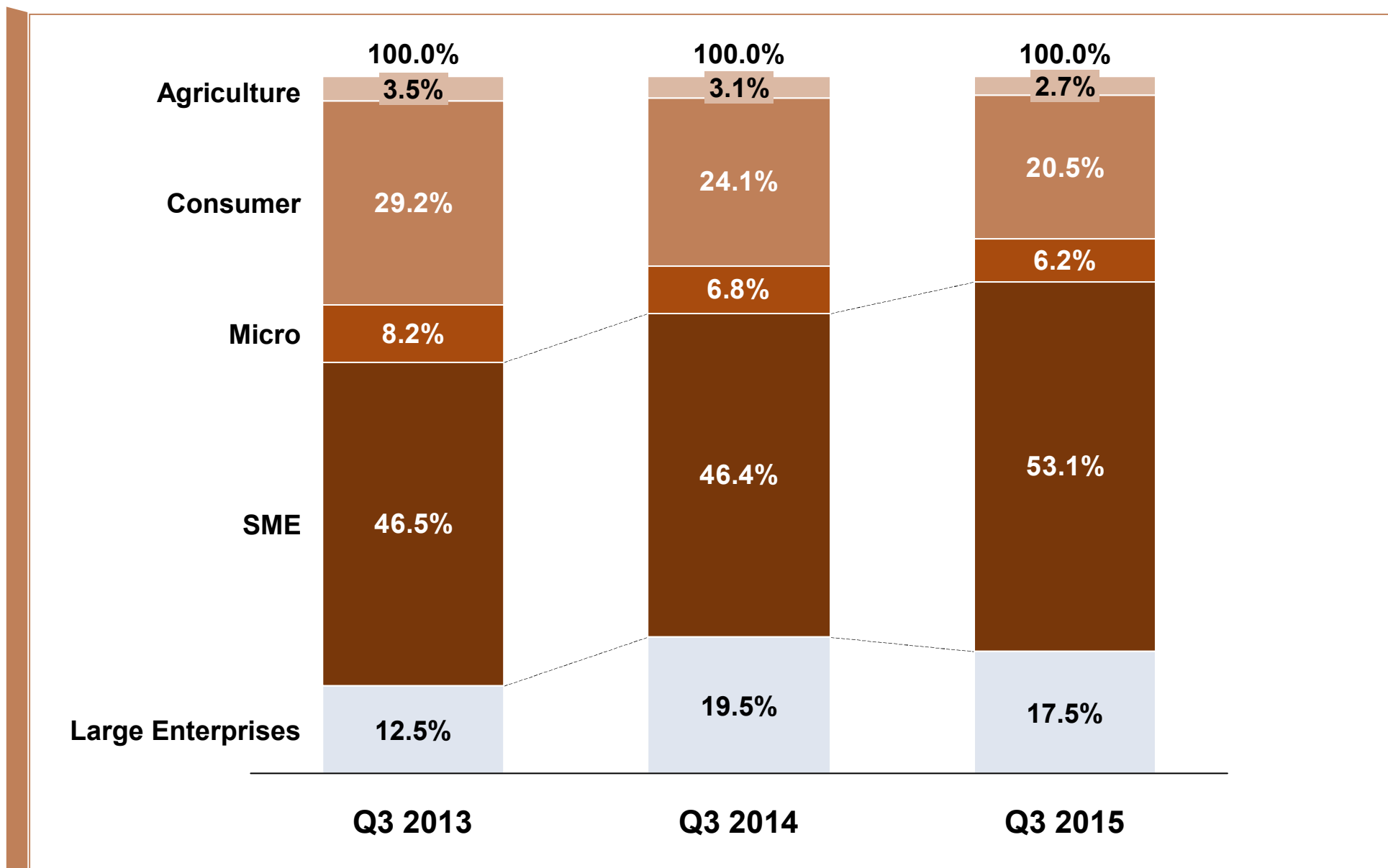
Agency Deposit Amount Agency Withdrawal Amount



Deposits growing faster than withdrawals hence a "Net Cash-Inflow" position

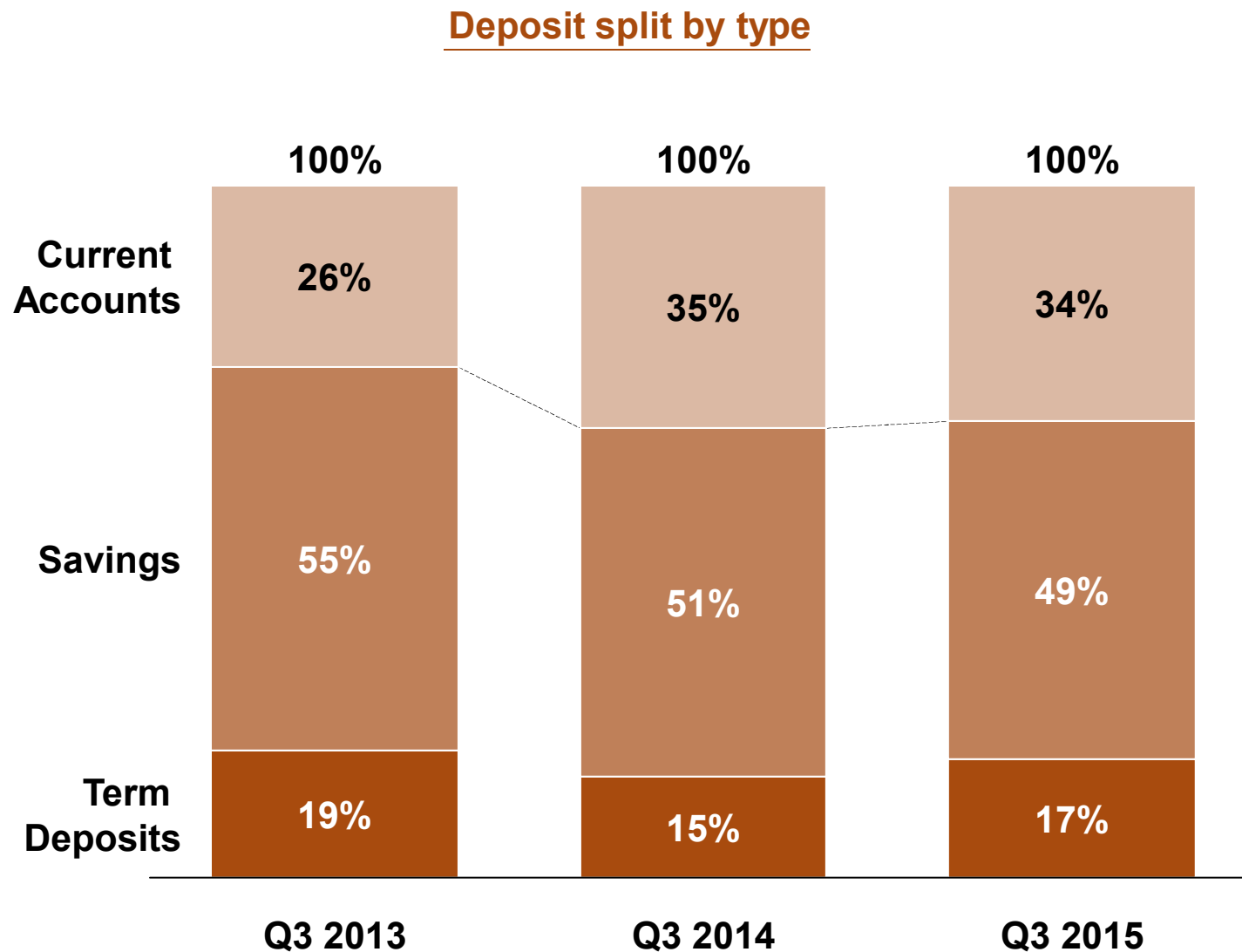


SME contribution to the Loan Book





SME contribution to Deposit base

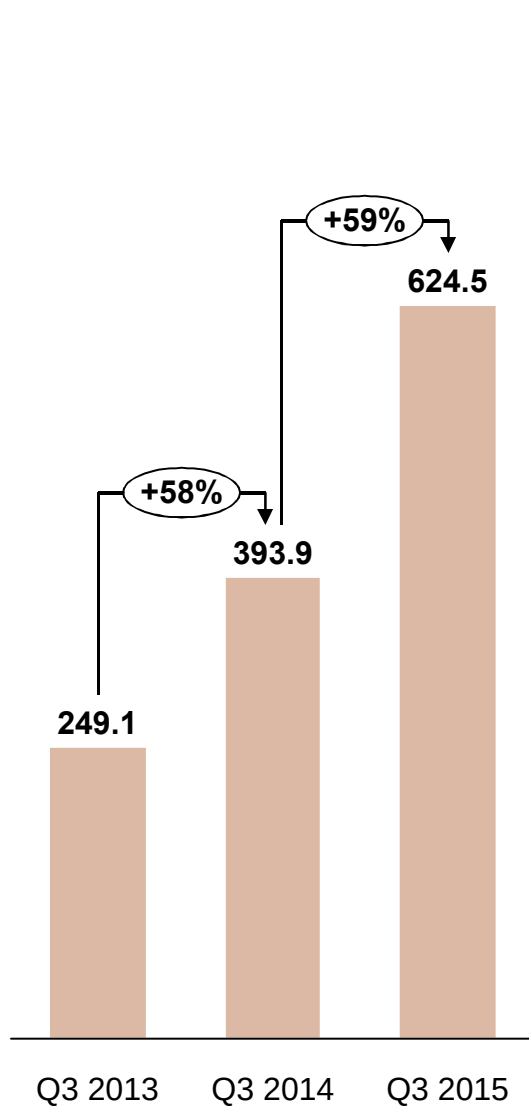


é current accounts (as a proportion of overall deposits) increasing over time as a result of SME strategy

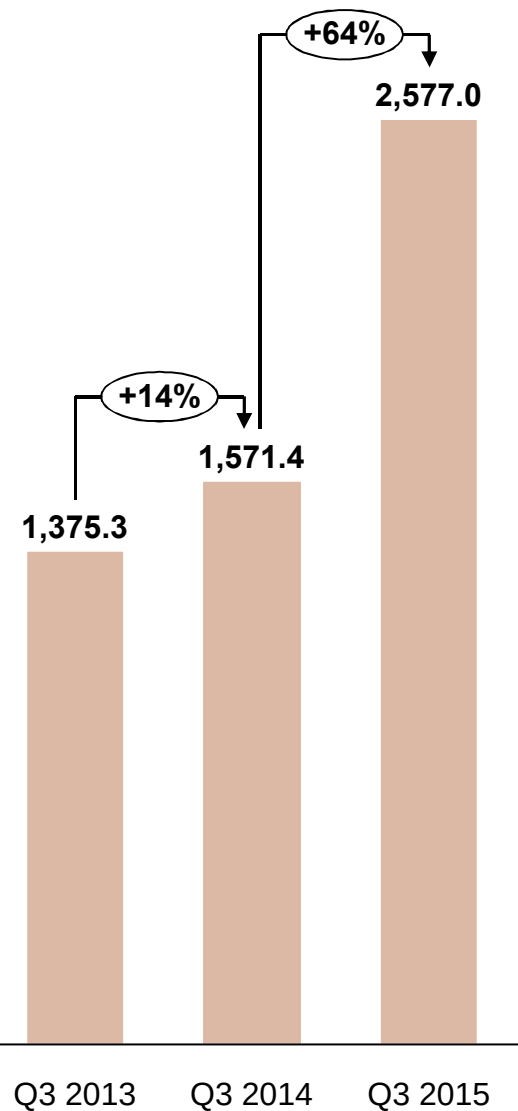


KES ₹Millionò

Merchant Income Growth

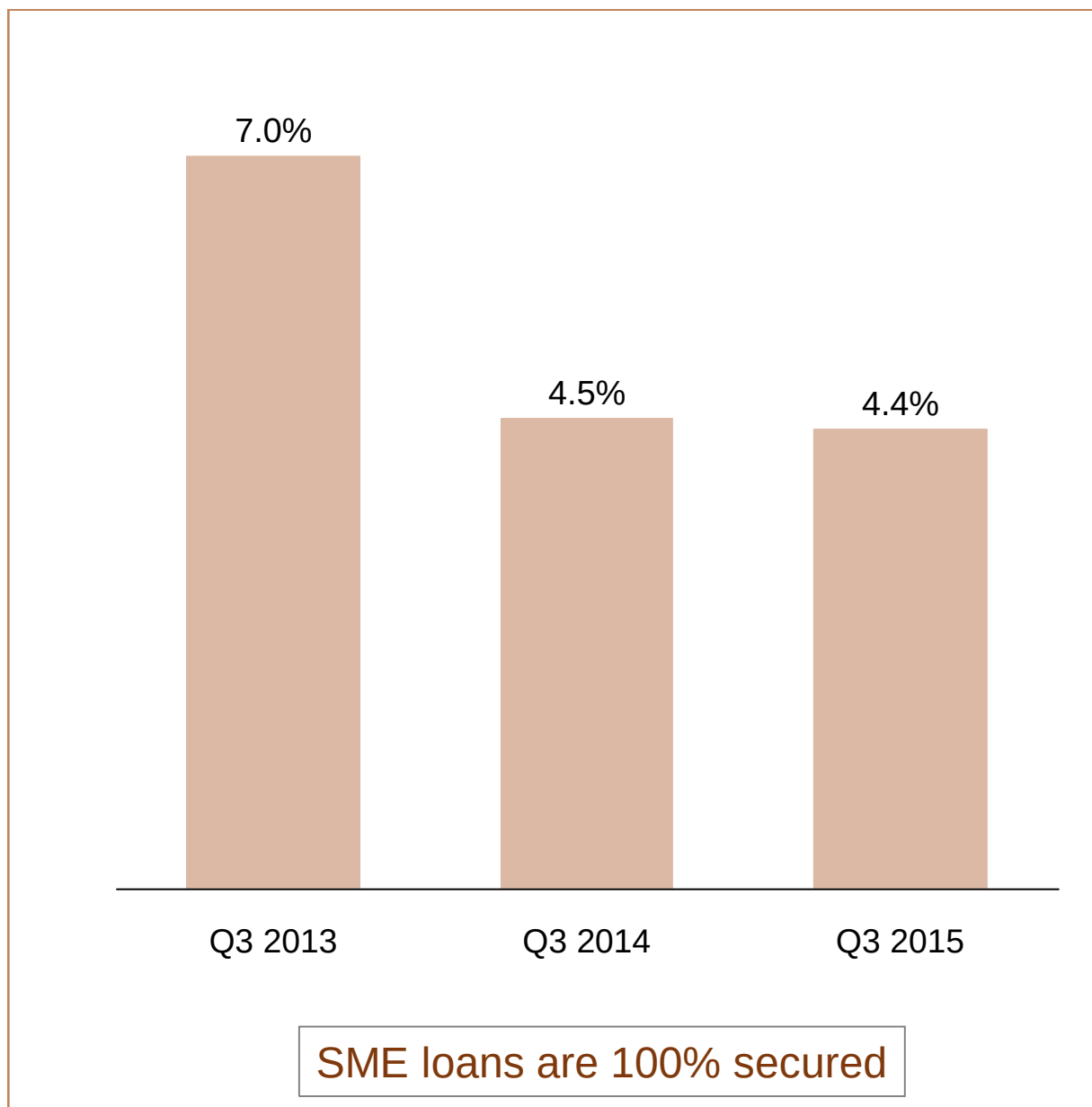


FX Income Growth



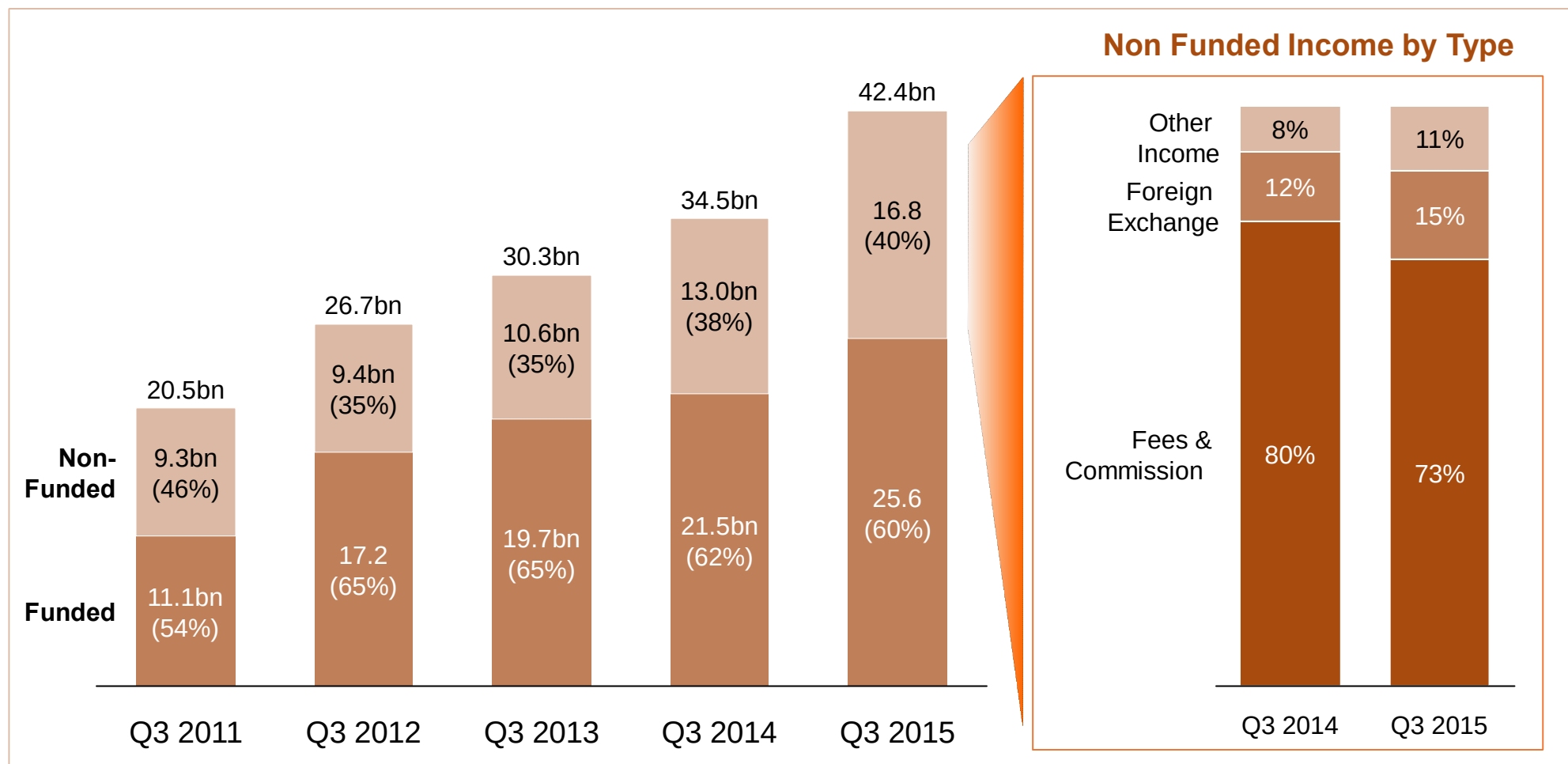


SME - NPL Trend





5 Growing Non-funded Income as a result of cross-selling to SME's



Highlights

- Non Funded Income: grew by 29% YoY
- Funded Income: Interest Income grew by 21% YoY due to growth in loan book; Interest expenses grew by 33% YoY due to increase in customer deposits



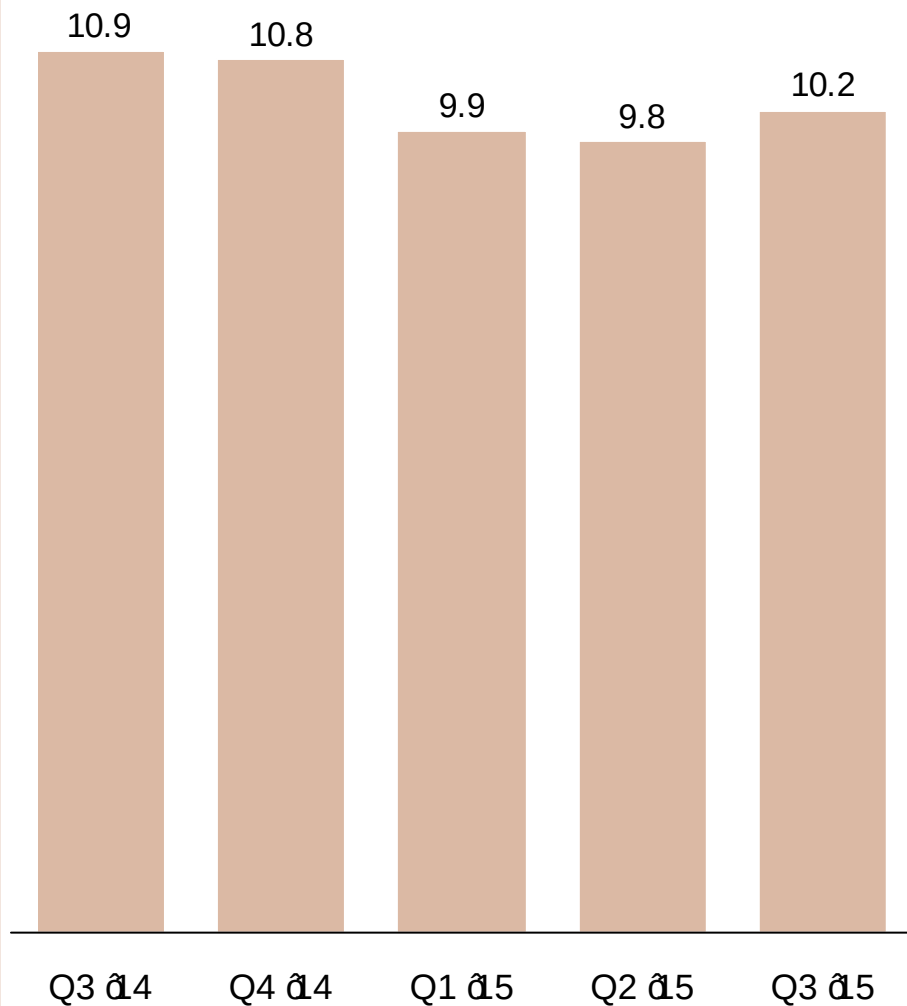
5

Group net interest margin on an upward trajectory reflecting an increasing interest yield and stabilized cost of funds

Percentage

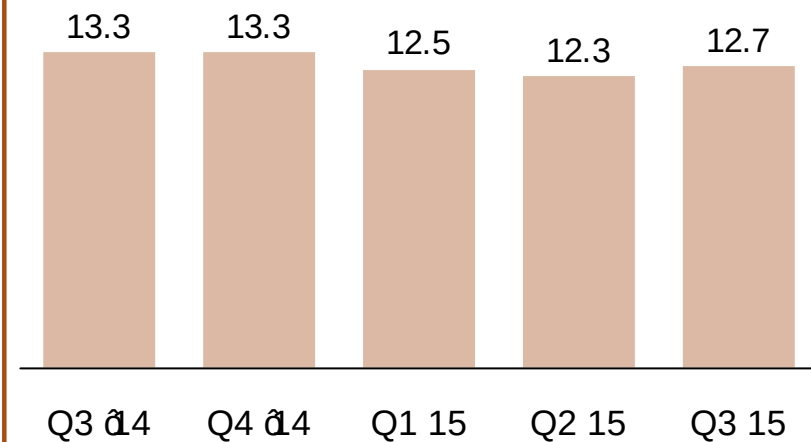
Net Interest Margin increased between Q2 and Q3...

Net Interest Margin

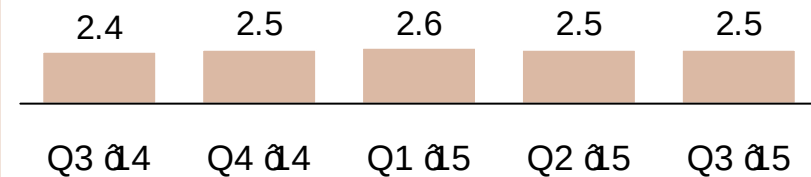


driven by an increase in interest yield and stable cost of funds

Yield on interest Earning Assets



Cost of funds





6

We are building on our momentum in Payment Processing and Merchants...



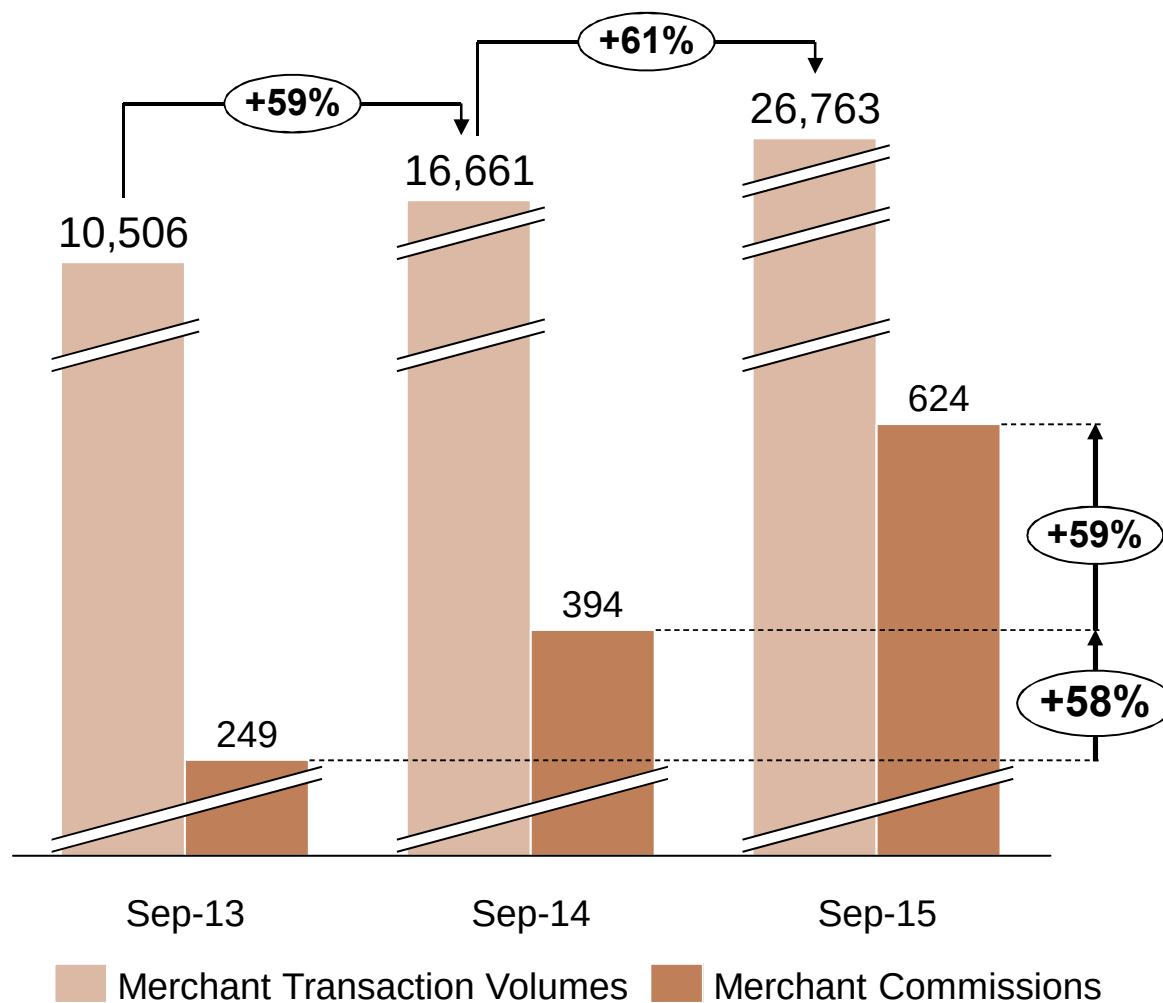
We have partnered with key payment companies...

...which has allowed us to grow our number of transactions and commissions



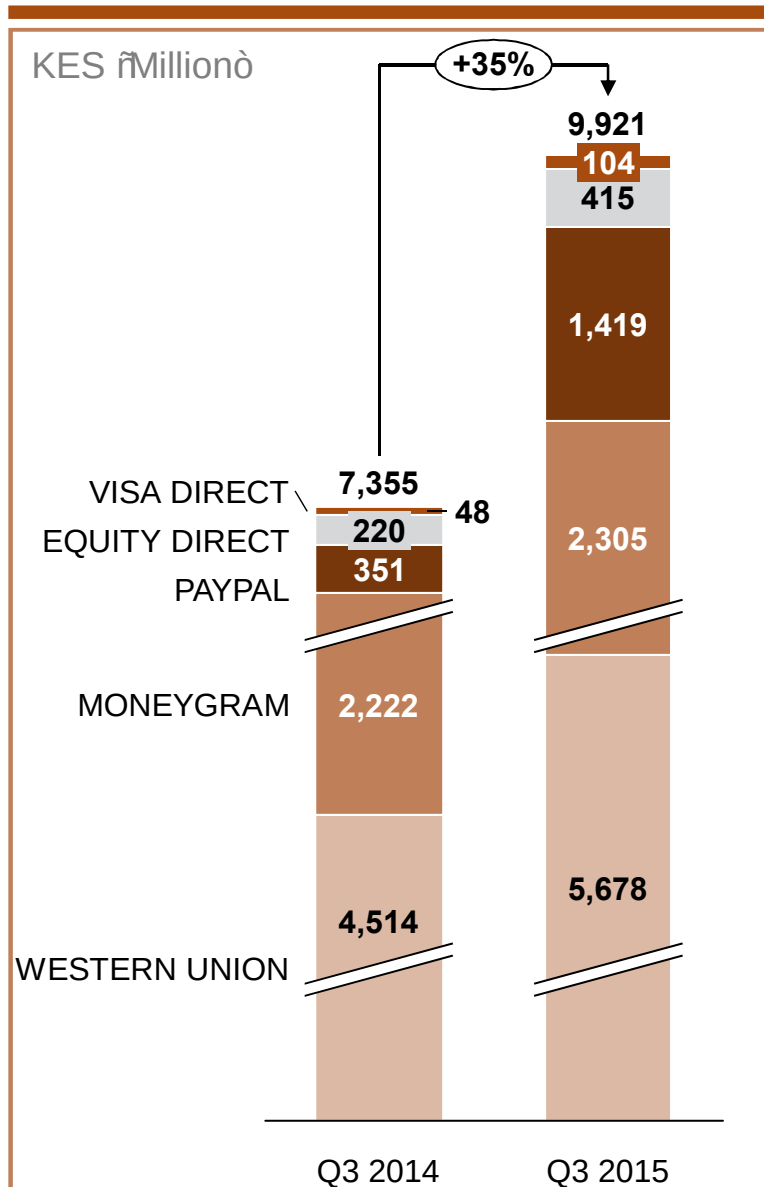
- Equity is leading in **Acquiring and Issuing**
- Best in class payment channel** services work well with merchants

KES ₹ Million

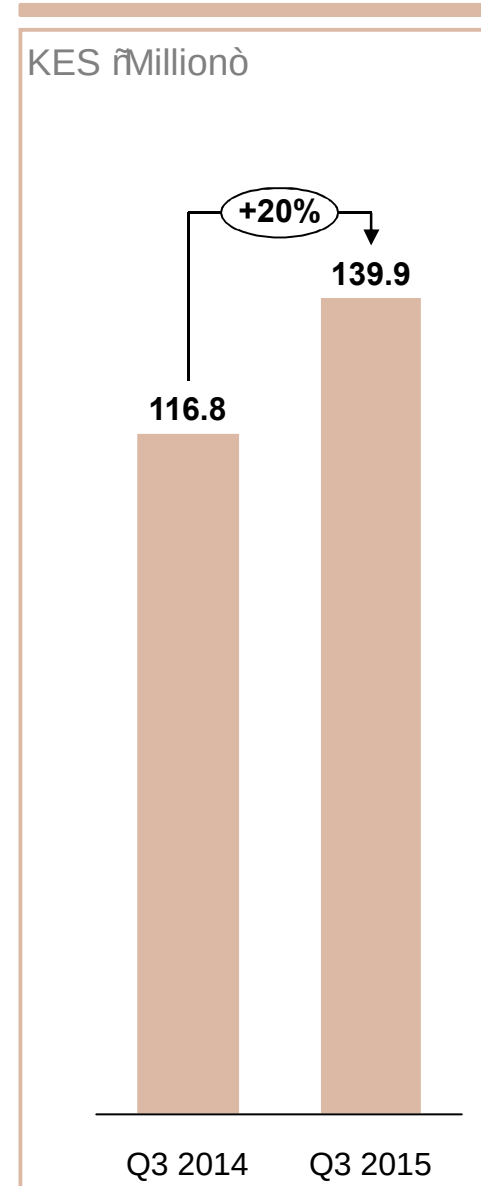




Volume growth

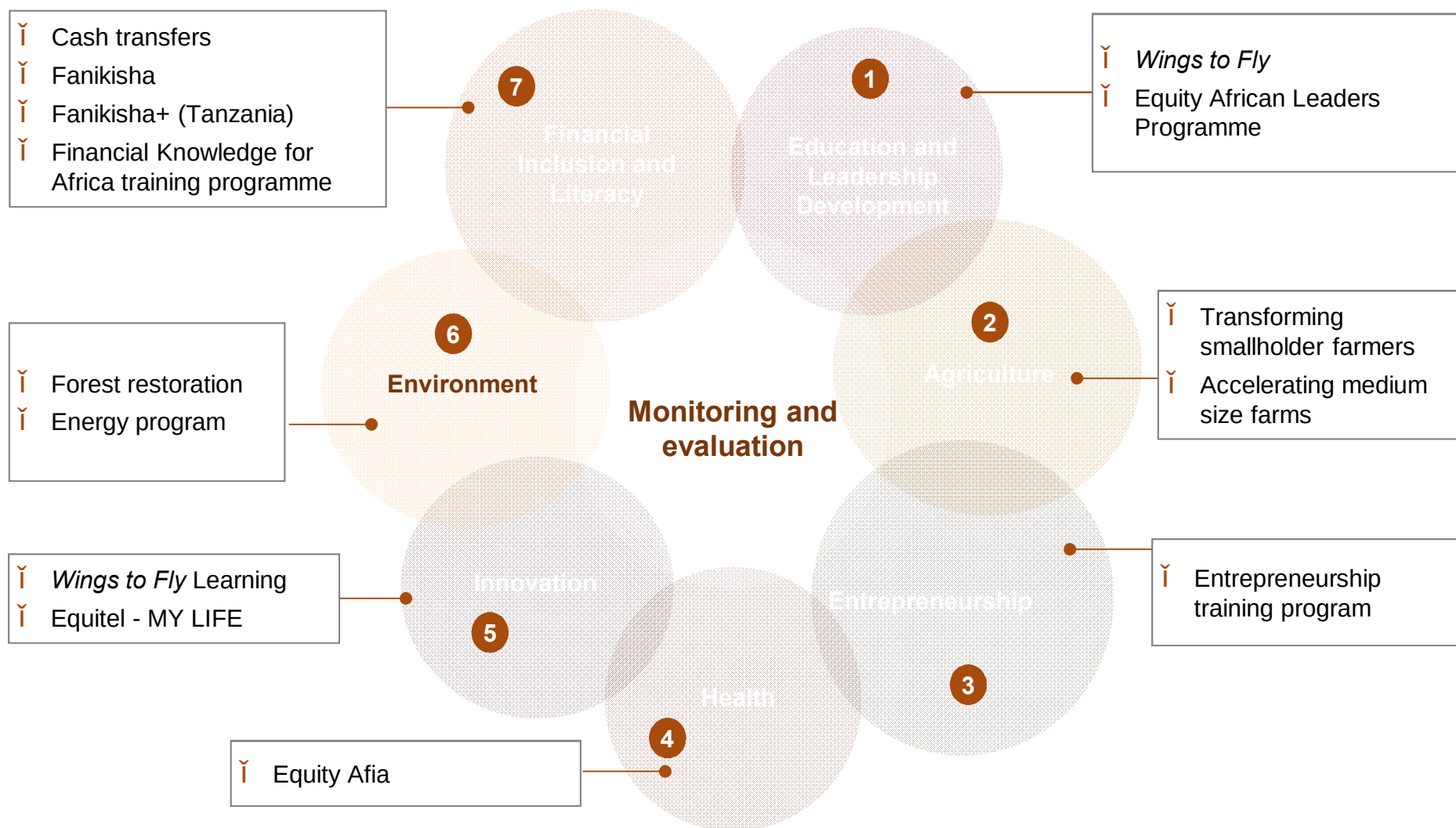


Commissions growth





EGF 7 Programmatic Pillars

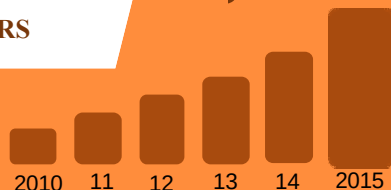




Impact to date

**13,000**

Entrepreneurs trained

**TOTAL WINGS
TO FLY
SCHOLARS****10,377**

98% completion
93% achieved university entry grades
7% achieved A-grade
79% holding
Leadership positions

**2011 GRADUATING
CLASS****10,211**

Scholars availed mobile & digital learning tools

1m

Trees planted

7,836

Clean energy products distributed

1,260,486**WOMEN &
YOUTH**

Kenyan women and youth completed the financial literacy training in financial knowledge for Africa (FiKA) programme.

**500,000**

Subsistence farmers converted to agri-businesses

2,400

Medium-sized farmers supported

2,673

University scholars

Of which **263** are placed in
top global universities

SCHOLARS**USD
192,000,000****TOTAL FUNDS RAISED FOR
PROGRAMS****KES
29.5 billion**
in loans to women**EMPOWERING
LOANS**

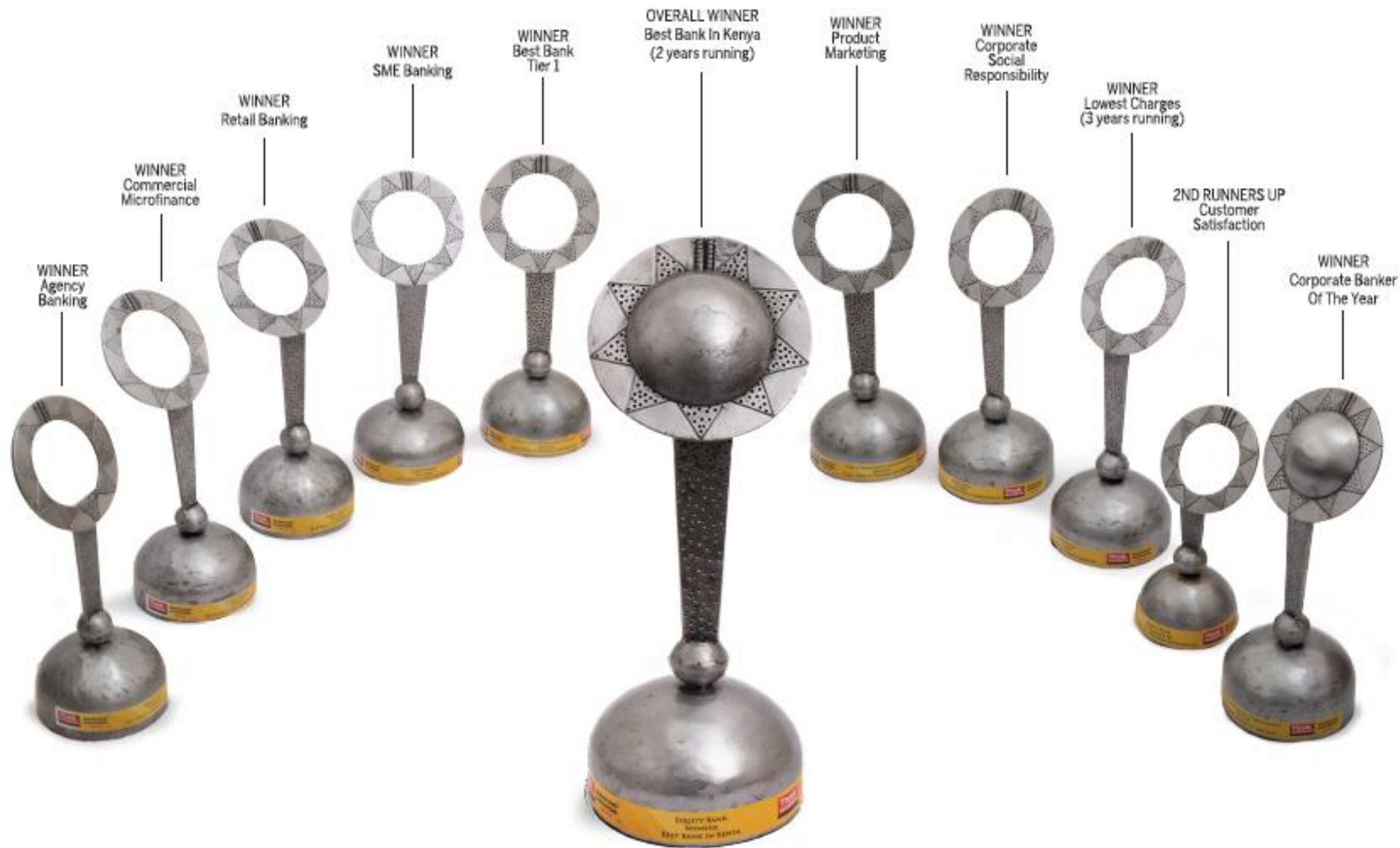
EQUITY CENTRE



Qualitative Analysis



Equity has earned substantial accolades in 2015



2015 Think Business Banking Awards



Equity has earned substantial accolades in 2015



Most Innovative Bank 2015



Best Mobile Payments Solution 2015





Equity has earned substantial accolades in 2015



Equity Bank - Winner
2015 Best
Performing Ai40
Company

Dr James Mwangi -
Winner
2015 Ai40 CEO of the
Year

Ai africainvestor



Best Brand and Recognition for Transparency



2014 - Top Banking Brand in Kenya



Equity has earned recognition in 2015



Equity's International Rankings

The Banker
TOP 1000
WORLD BANKS 2015

Equity Bank	<u>Overall</u>	<u>Soundness</u> (Capital Assets Ratio)	<u>Performance</u> (Profits on capital) (Return on assets)	
2015 Global Rank	916	88	18	8
2014 Global Rank	999	112	8	4

Equity's Global Credit Rating

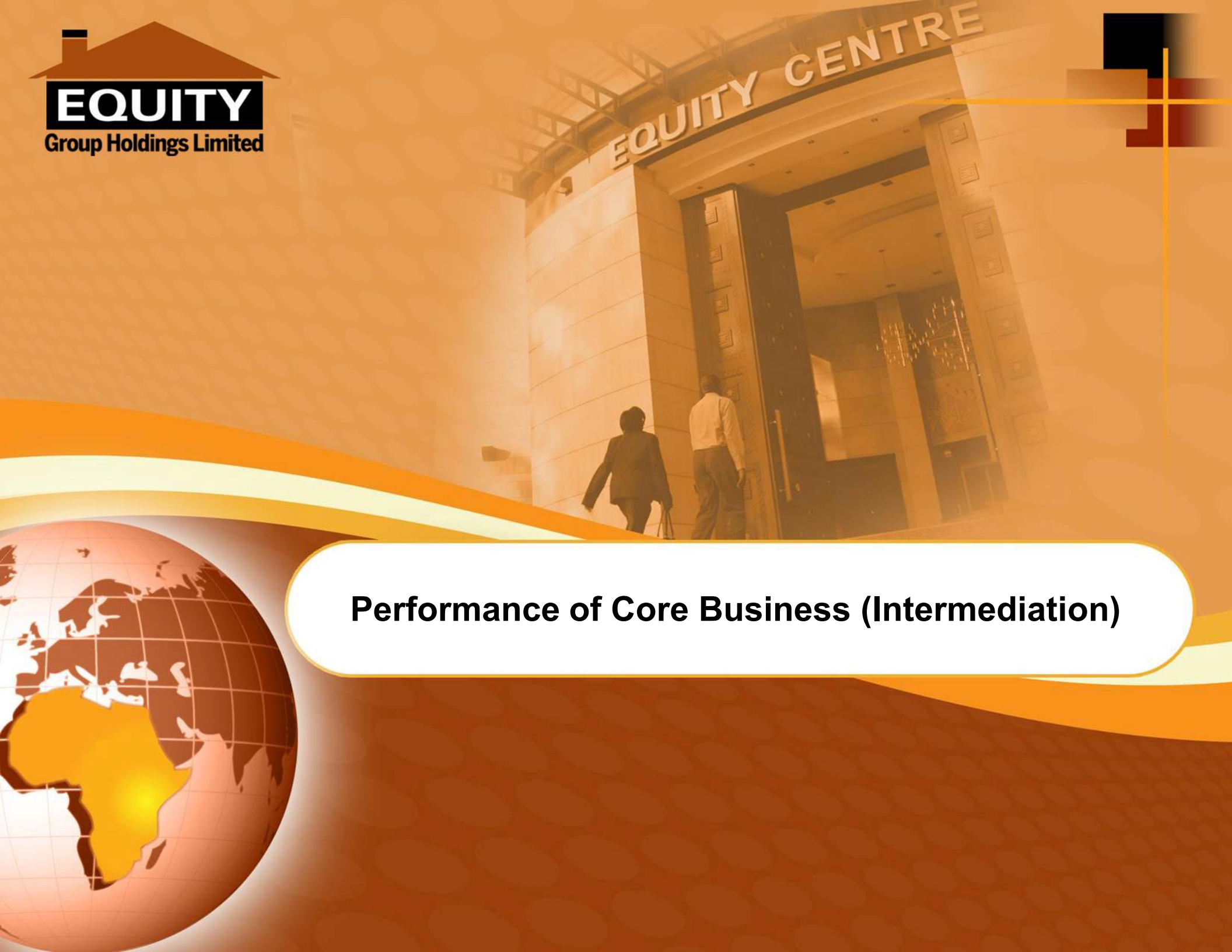


GCR

GLOBAL CREDIT RATING CO.

Local Expertise • Global Presence

Equity Bank Limited			
Kenya Bank Analysis			
Security Class	Rating Scale	Rating	Rating Outlook
Long term	National	AA-(KE)	Stable
Short term	National	A1+(KE)	



EQUITY CENTRE



Performance of Core Business (Intermediation)



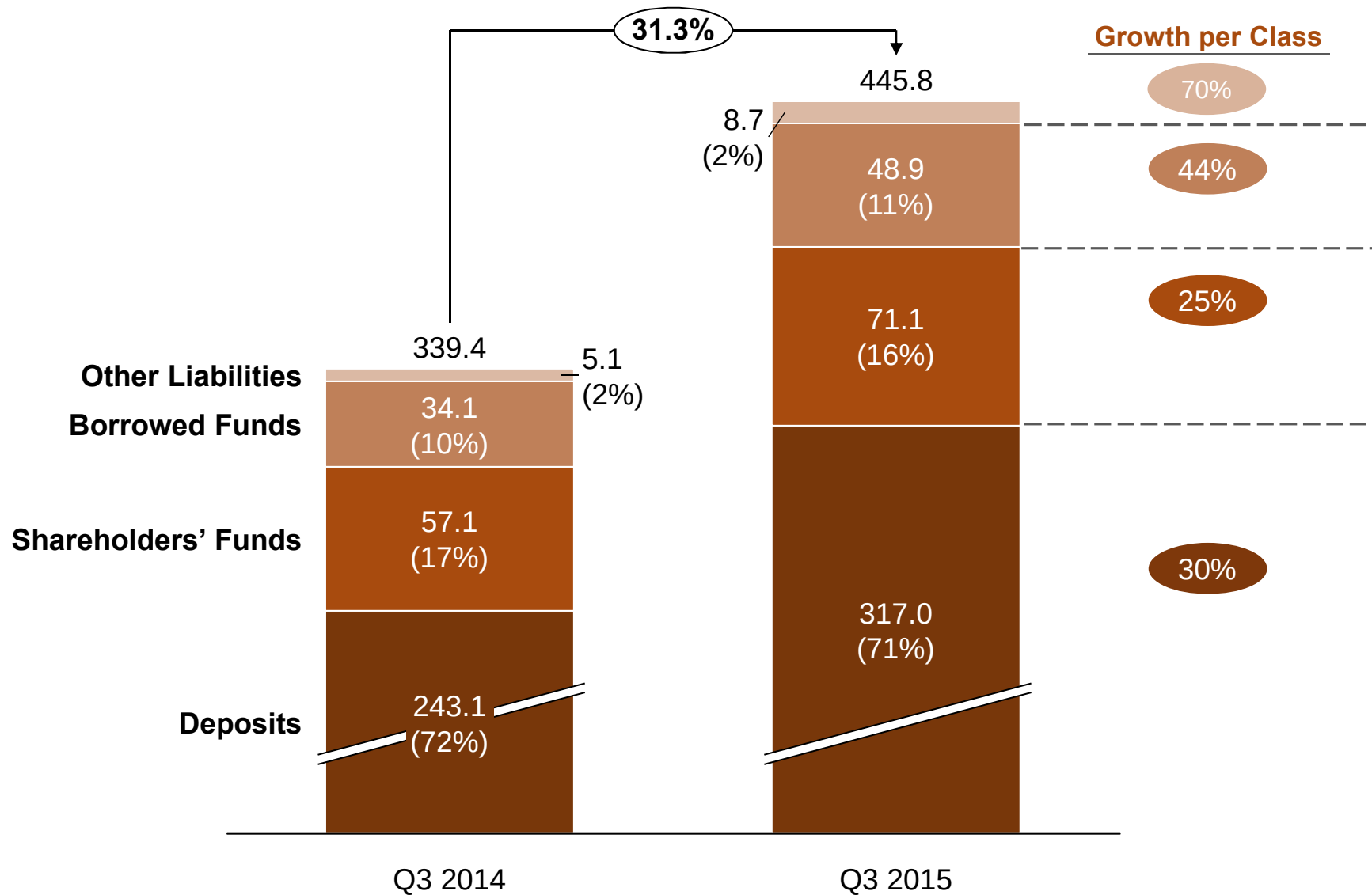
Funding Base

Significant improvement in funding profile



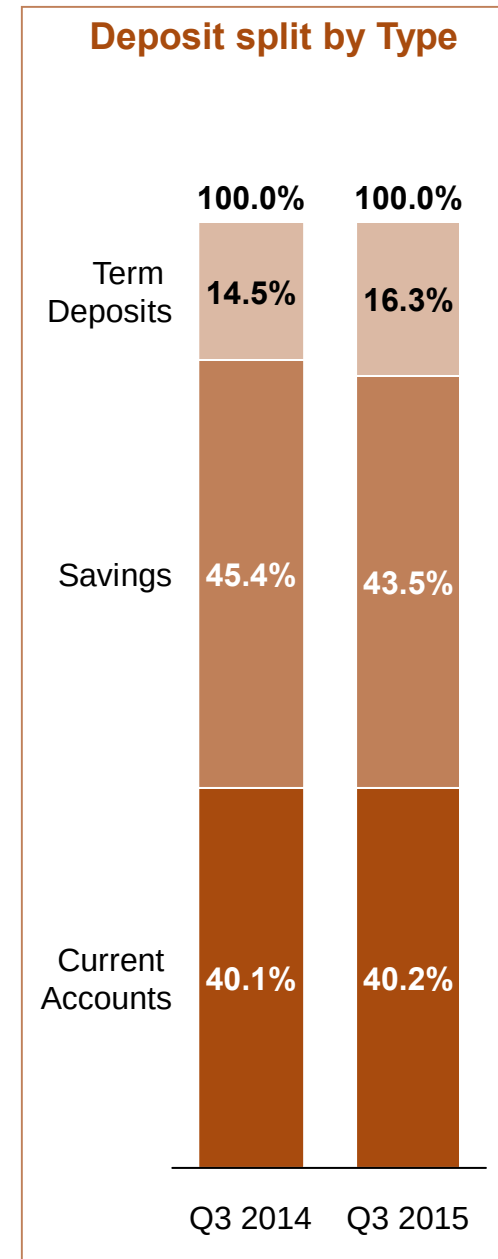
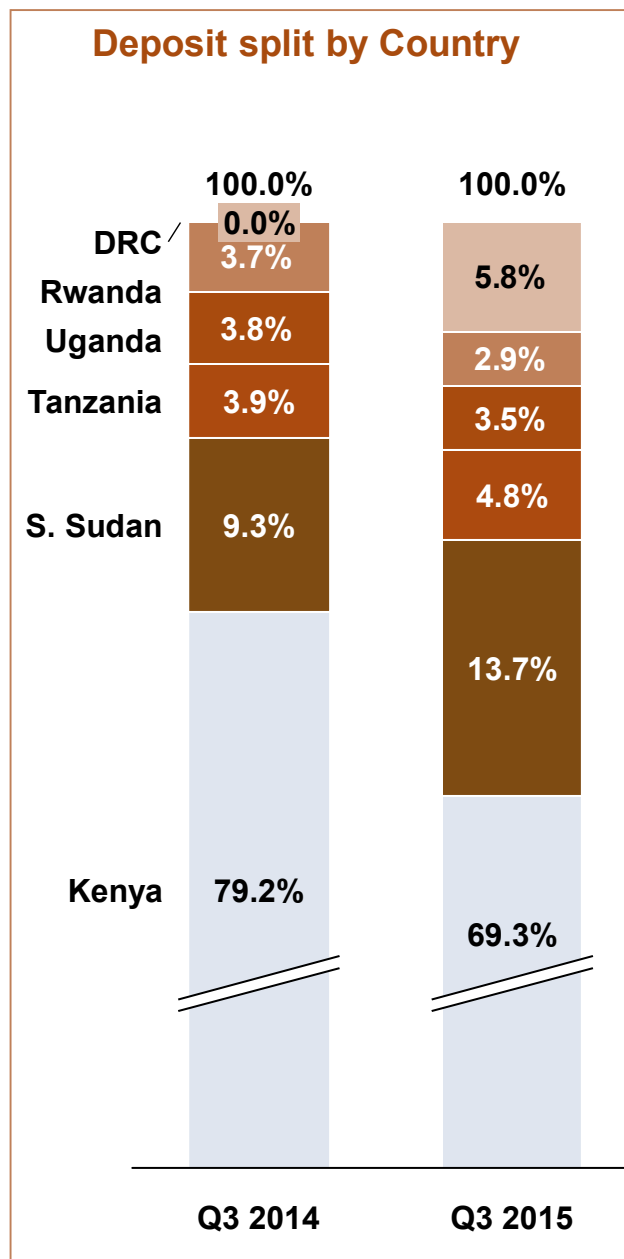
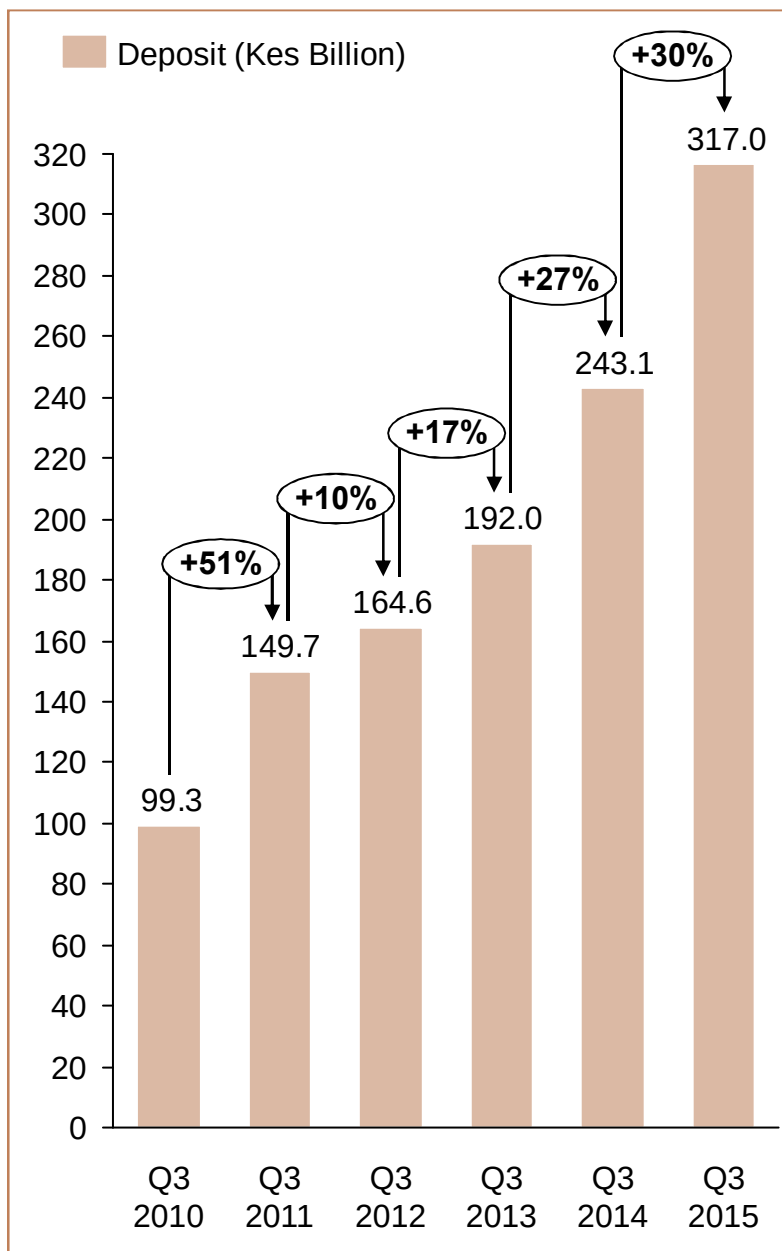
In KES ₹Billion

31.3% growth in funding with deposits accounting for 71%





Customer Deposits Growth

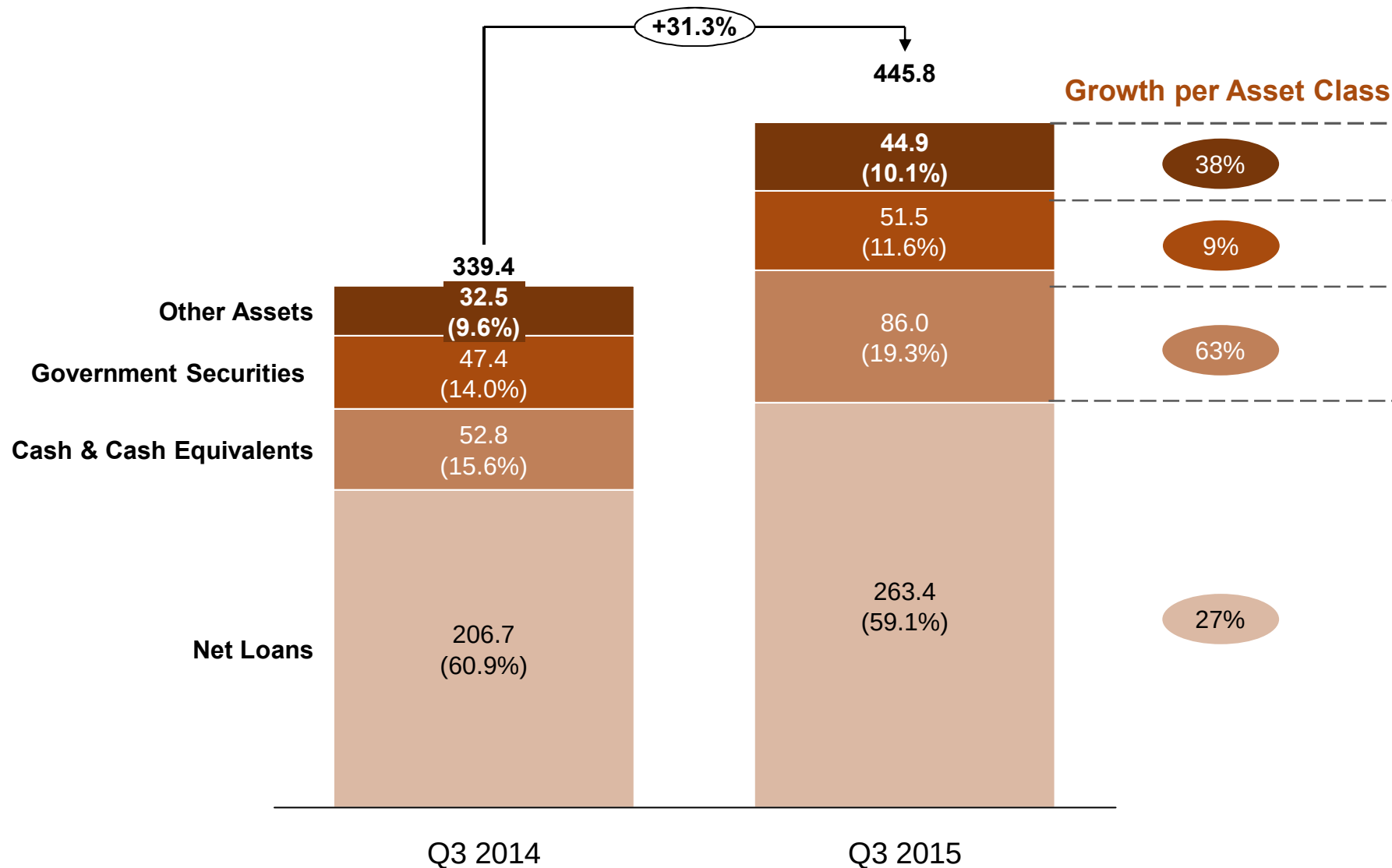




Assets of KSH 446 Billion driven by stable Deposit base

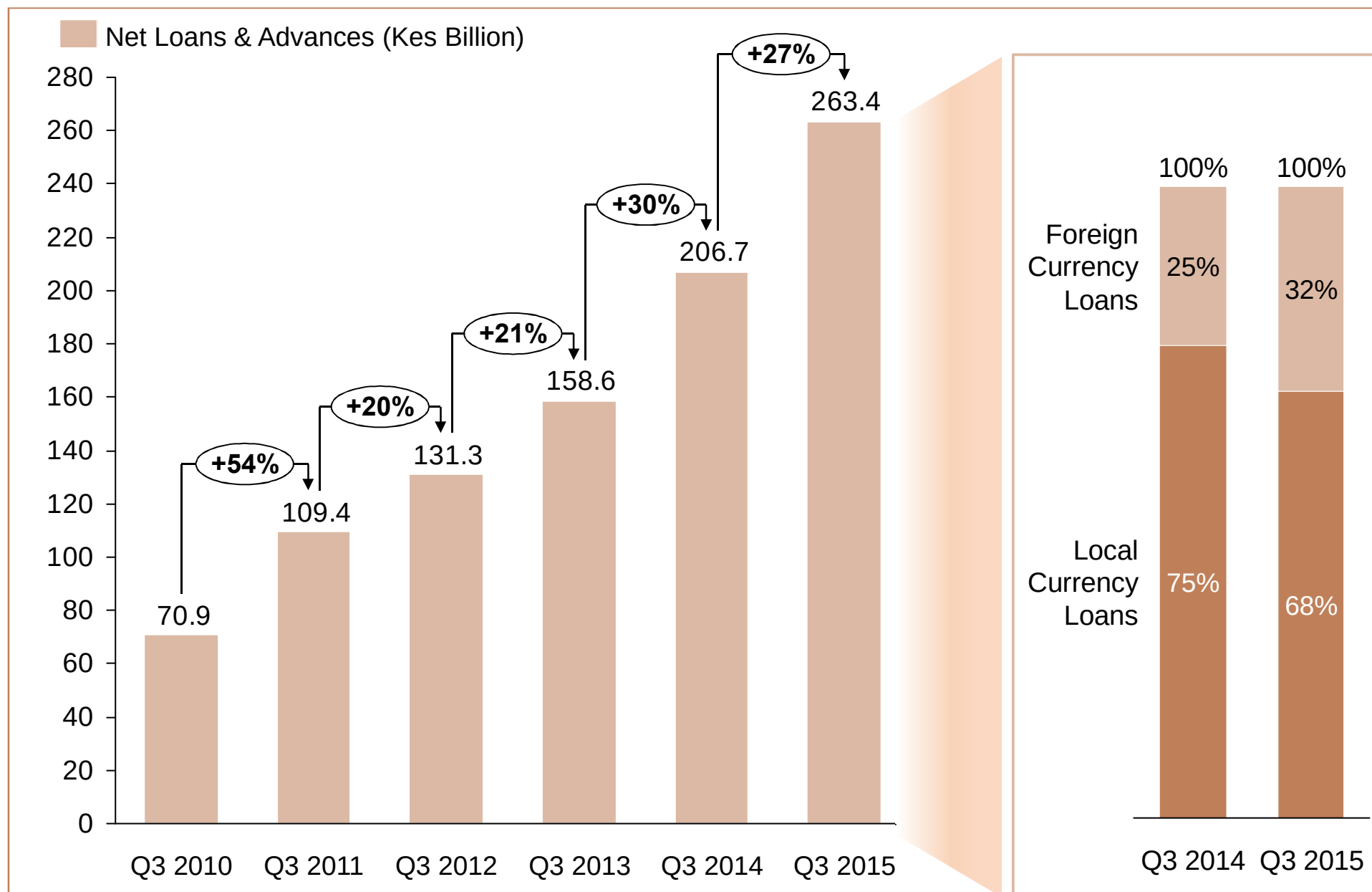
In KES billion

31.3% growth in asset base while still maintaining portfolio diversification





Net Loans & Advances Trend

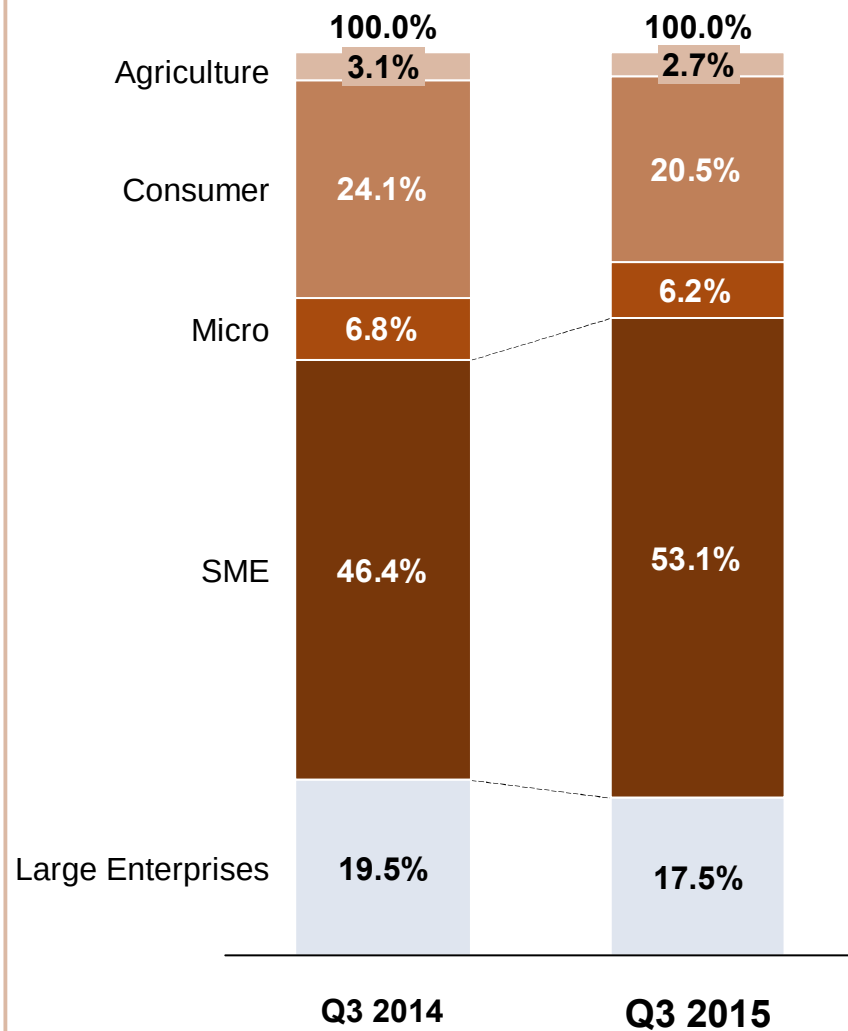




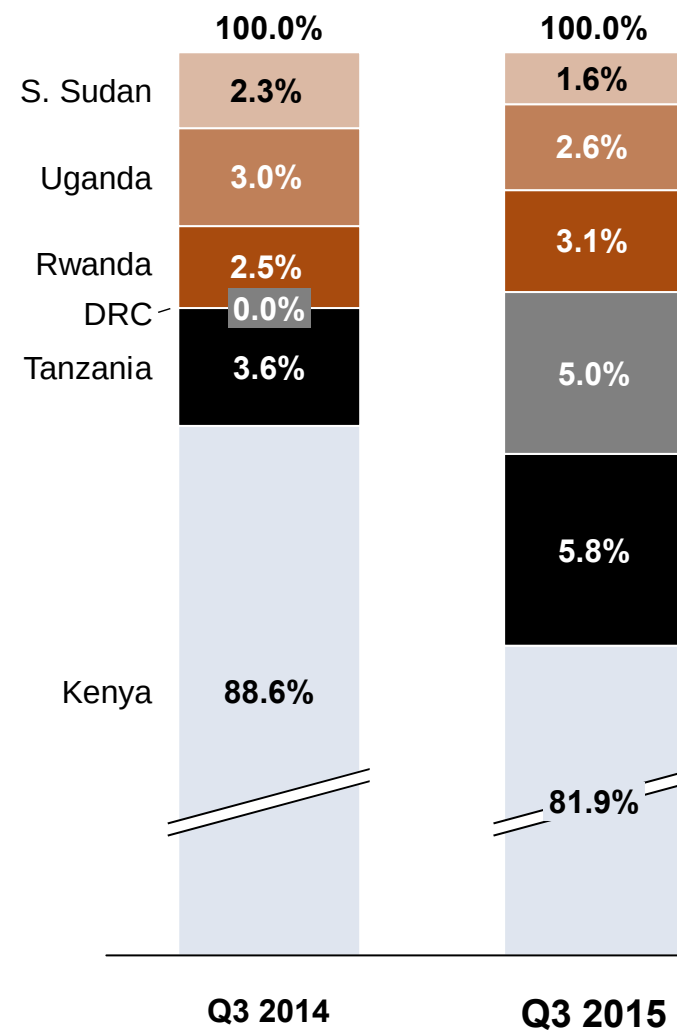
Loan book by Segment and Entity



Split across Segments

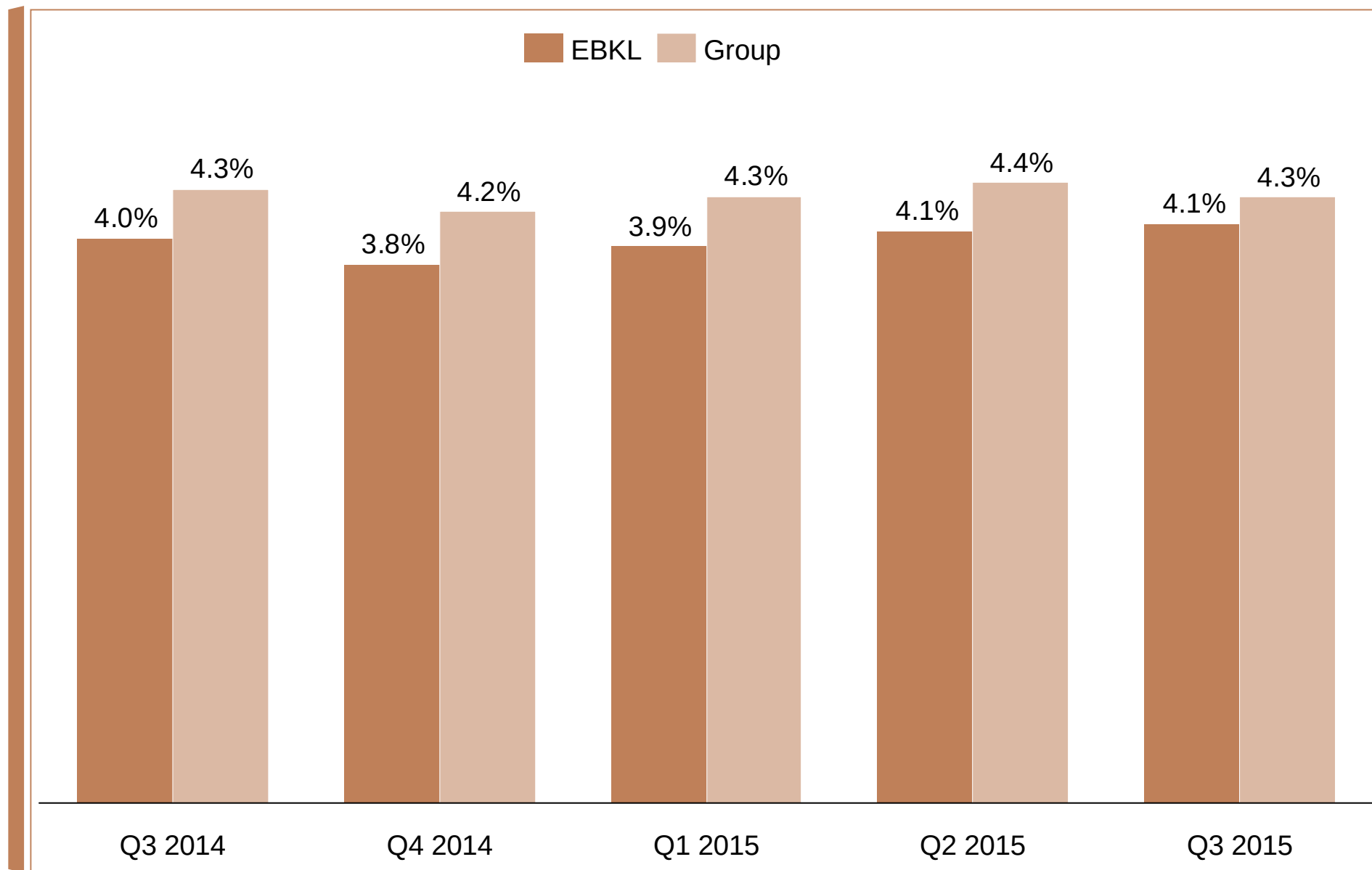


Split across the banking entities within the Group





Stable NPL Trend over time

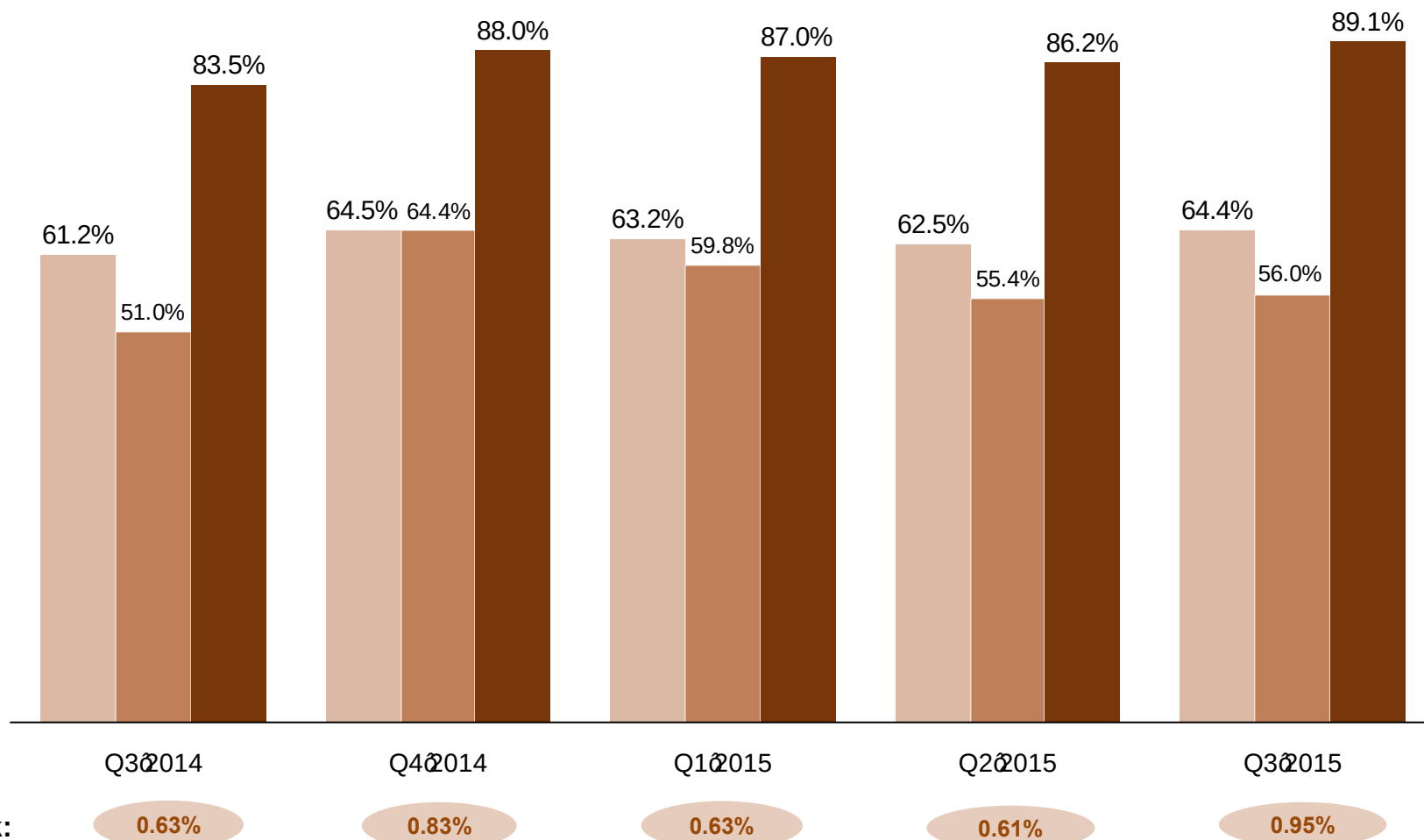




Non-Performing Loans: High Coverage Levels



- CBK: (Spec. Prov. + Int. Susp) / Gross NPL
- IFRS: Impairment per IAS39 / Gross NPL
- (Gen. Prov. + Spec. Prov. + Int. Susp) / Gross NPL



EQUITY CENTRE



Financial Performance



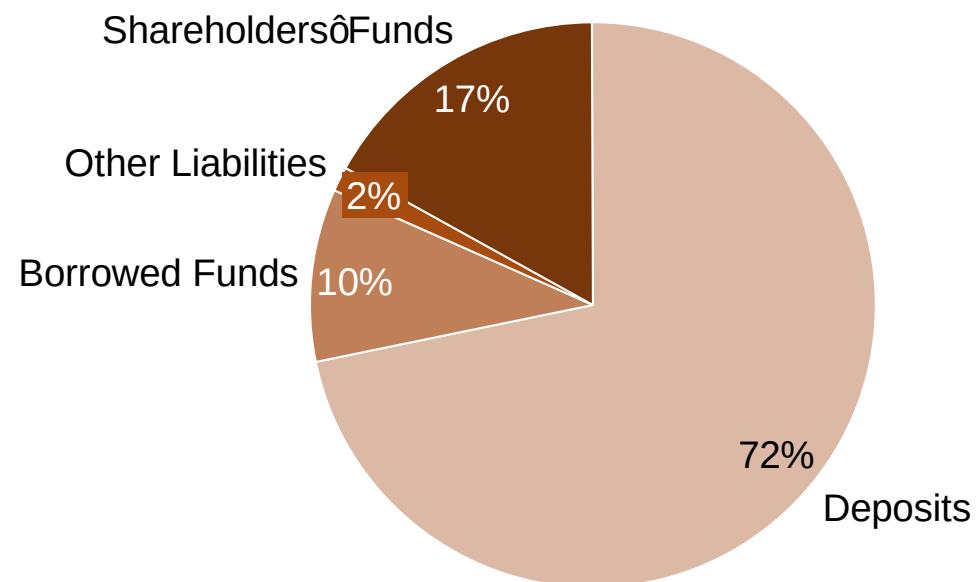
Broad base liabilities & funding sources



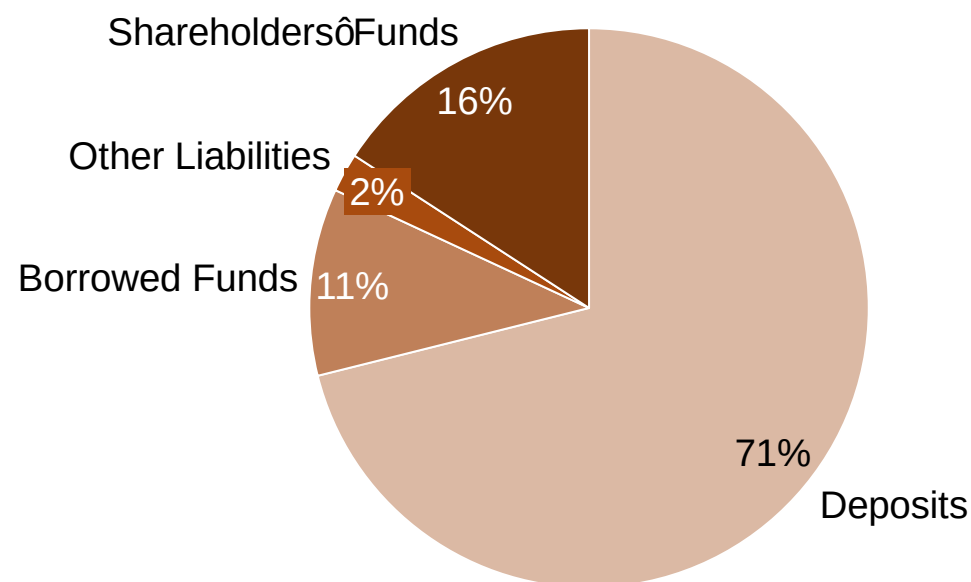
	Q3 2014	Q3 2015	Growth Y/Y
Liabilities & Capital (Bn)	KSH	KSH	%
Deposits	243.1	317.0	30%
Borrowed Funds	34.1	48.9	44%
Other Liabilities	5.1	8.7	70%
Shareholders' Funds	57.1	71.1	25%
Total Liabilities & Capital	339.4	445.8	31%

Funding Distribution

Q3 2014



Q3 2015

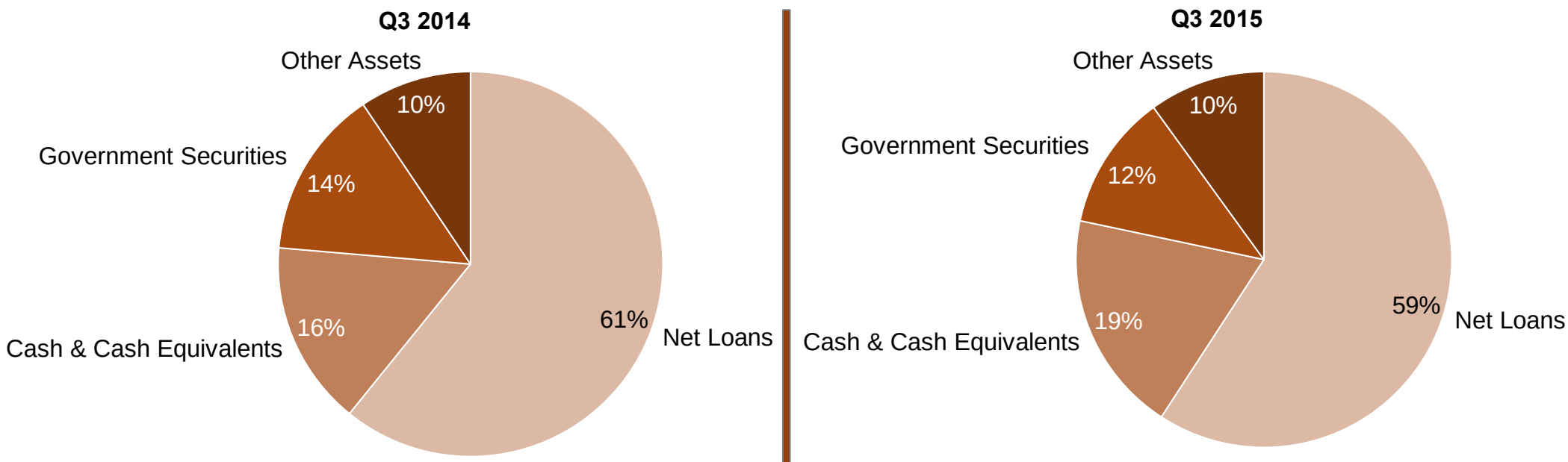




Asset Portfolio & Distribution

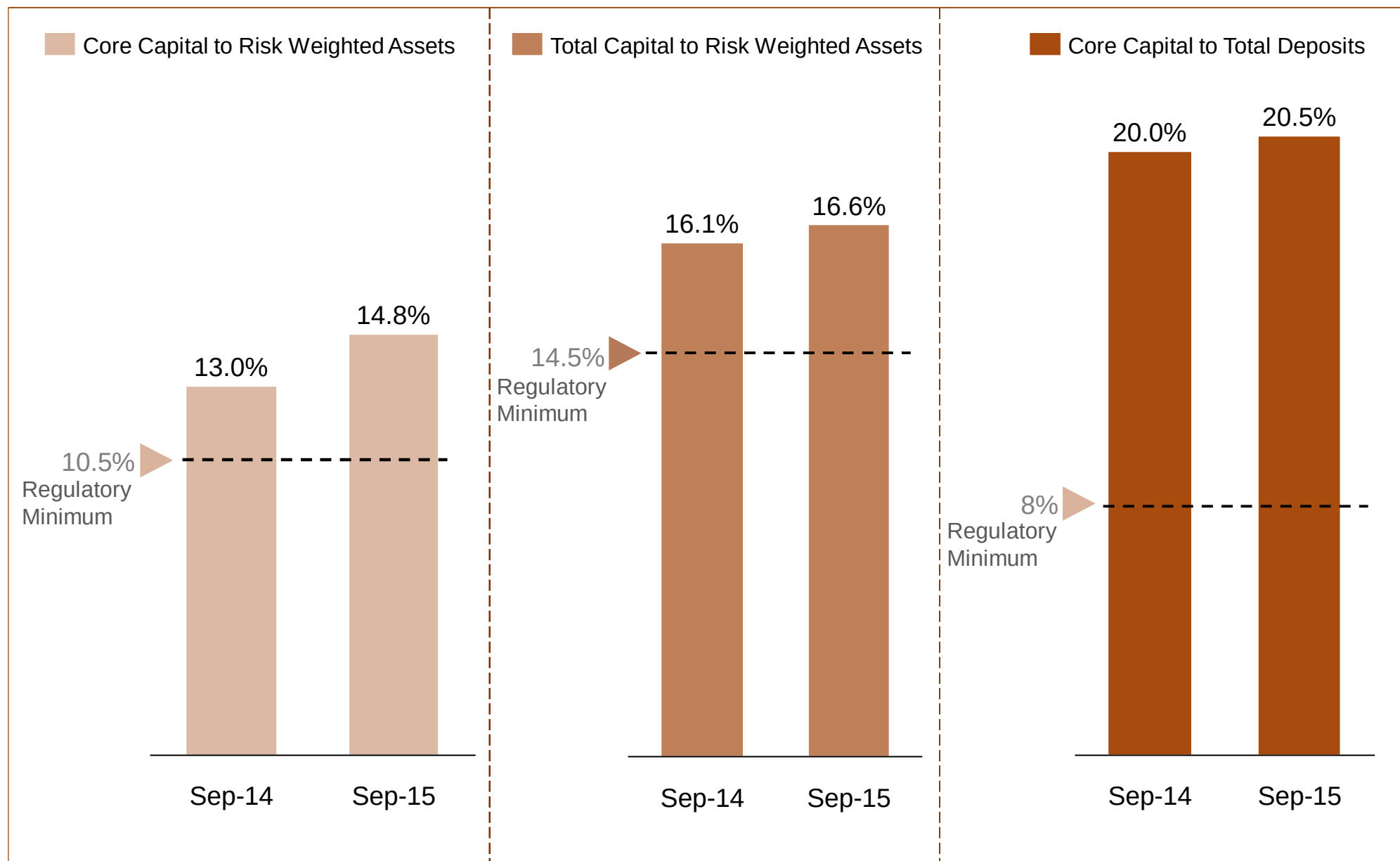
	Q3 2014	Q3 2015	Growth Y/Y
Assets (bn)	KSH	KSH	%
Net Loans	206.7	263.4	27%
Cash & Cash Equivalents	52.8	86.0	63%
Government Securities	47.4	51.5	9%
Other Assets	32.5	44.9	38%
Total Assets	339.4	445.8	31%

Asset Distribution



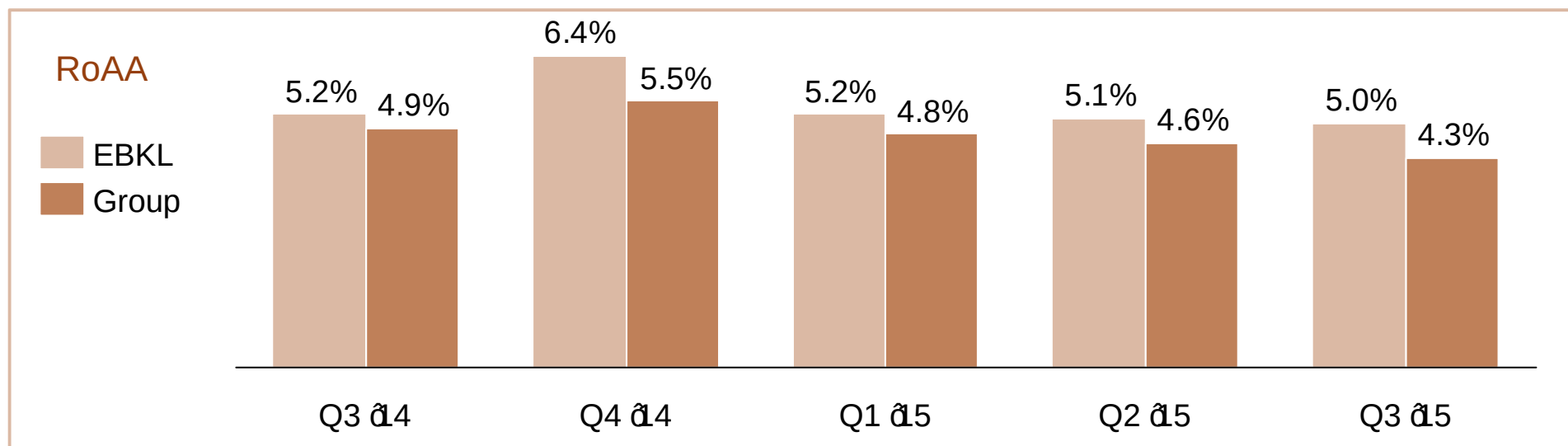
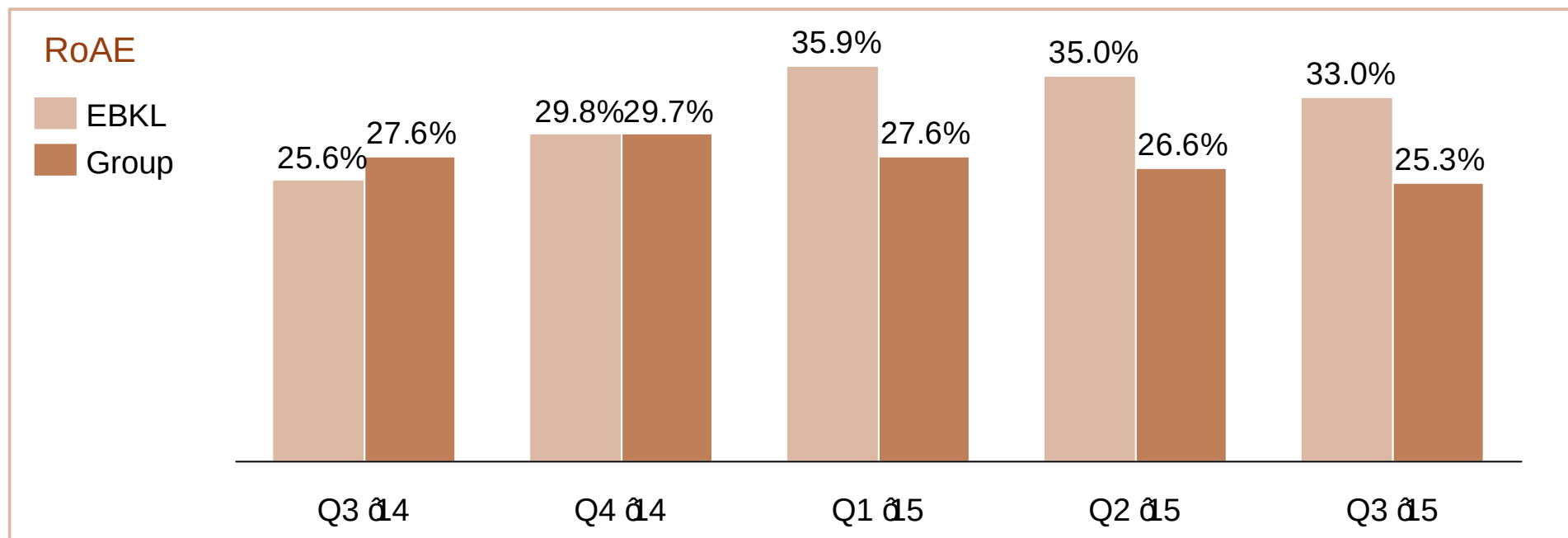


Strong Capital Position - EBKL





Stable RoAA and RoAE over time





Delivering 14% Growth in PBT for the Group



<i>KES (Billion)</i>	Q3 2014	Q3 2015	Growth
Interest Income	26.04	31.60	21%
Interest Expense	(4.50)	(6.00)	33%
Net Interest Income	21.55	25.60	19%
Non-Funded Income	12.99	16.81	29%
Total Income	34.53	42.41	23%
Loan Loss Provision	(0.90)	(1.70)	89%
Staff Costs	(7.77)	(8.39)	8%
Other Operating Expenses	(10.17)	(14.09)	38%
Total Costs	(18.84)	(24.18)	28%
PBT	15.86	18.14	14%
Tax	(4.65)	(5.33)	15%
PAT	11.21	12.81	14%

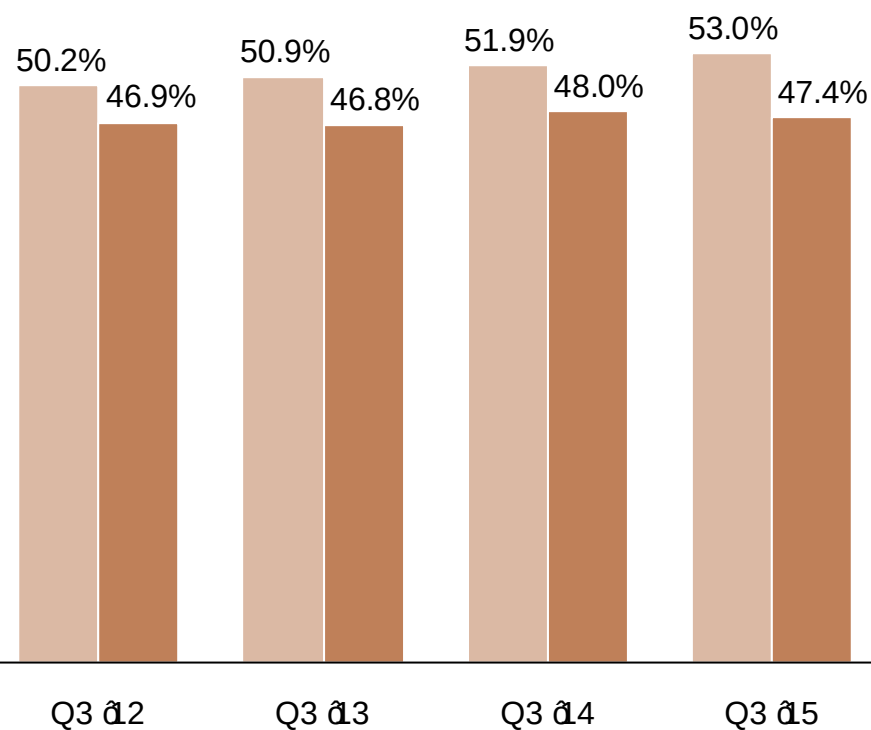


... PBT has grown at ~15% (CAGR)



Cost to Income Ratio Evolution

Group EBKL

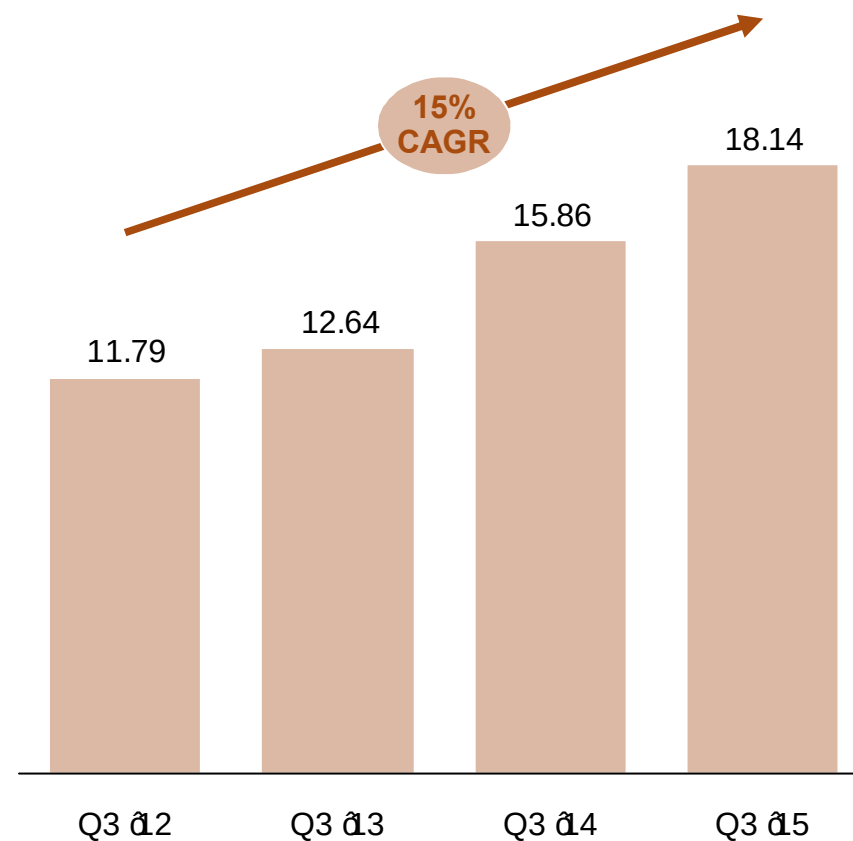


İ **Total Operating Income** up **23%** y/y .The growth is mainly attributed to increased diversification of income streams

İ **Operating expenses** up **28%** y/y due to expansion on IT capacity

PBT evolution

KES Billion



The **growth in Profit** attributed to diversification of revenue streams (non-interest income activities)



Positive Financial Ratios



	EBKL	EBKL	Group	Group
	Q3 2014	Q3 2015	Q3 2014	Q3 2015
Profitability				
NIM	11.9%	11.1%	10.9%	10.2%
Cost to Income Ratio (with provisions)	50%	51%	55%	57%
Cost to Income Ratio (without provision)	48%	47%	52%	53%
RoAE	25.6%	33.0%	27.6%	25.3%
RoAA	5.2%	5.0%	4.9%	4.3%
Asset Quality				
Cost of Risk	0.49%	0.75%	0.63%	0.95%
Liquidity / Leverage				
Loan / Deposit Ratio	94.6%	97.0%	73.0%	83.2%
Capital Adequacy Ratios				
Core Capital to Risk Weighted Assets	13.4%	14.8%		
Total Capital to Risk Weighted Assets	16.1%	16.6%		
Core Capital to Deposits Ratio	20.2%	20.5%		



Appendix

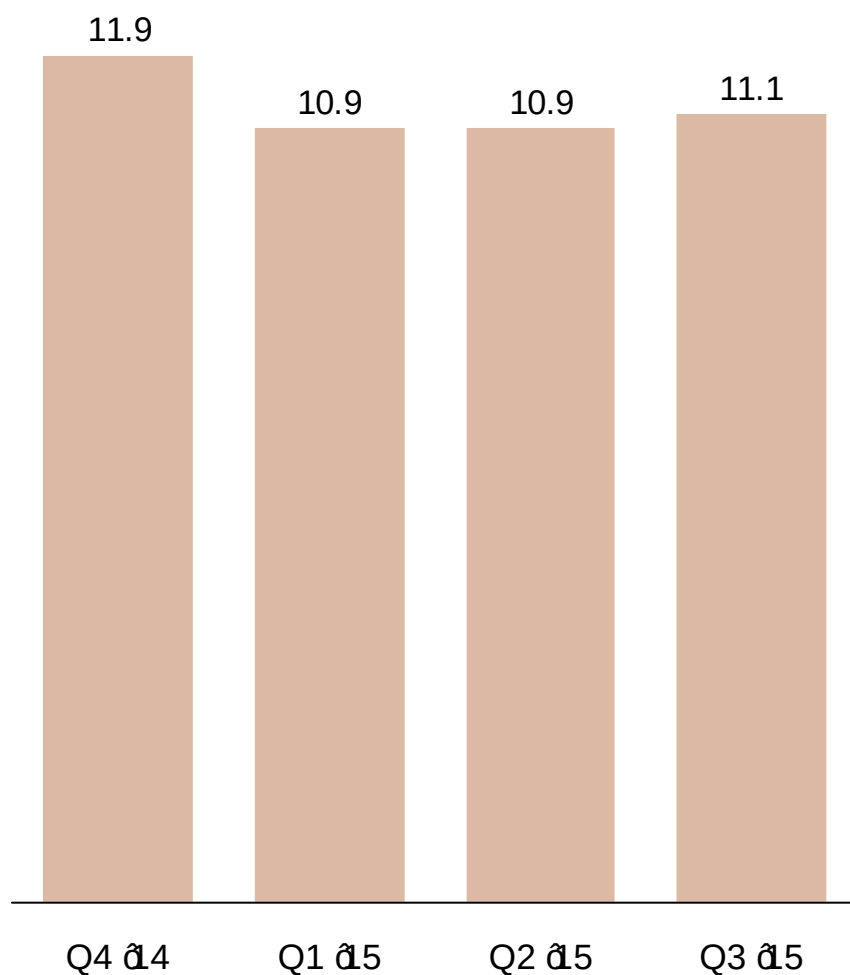


Kenya - Net Interest Margin

Percentage

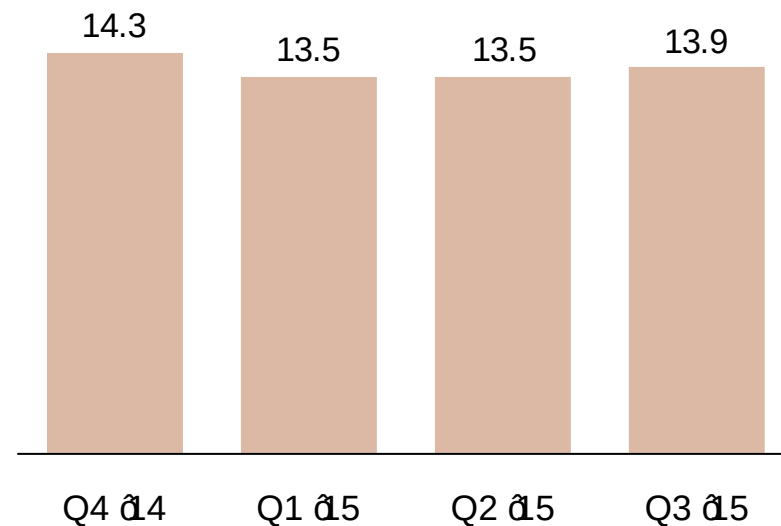
Net Interest Margin increased over the last 2 quarters...

Net Interest Margin

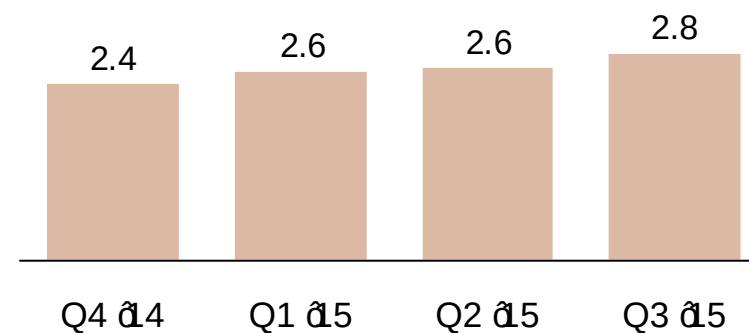


...driven by an increase in yield and a marginal increase in Cost of Funds

Yield on Interest Earning Assets



Cost of funds





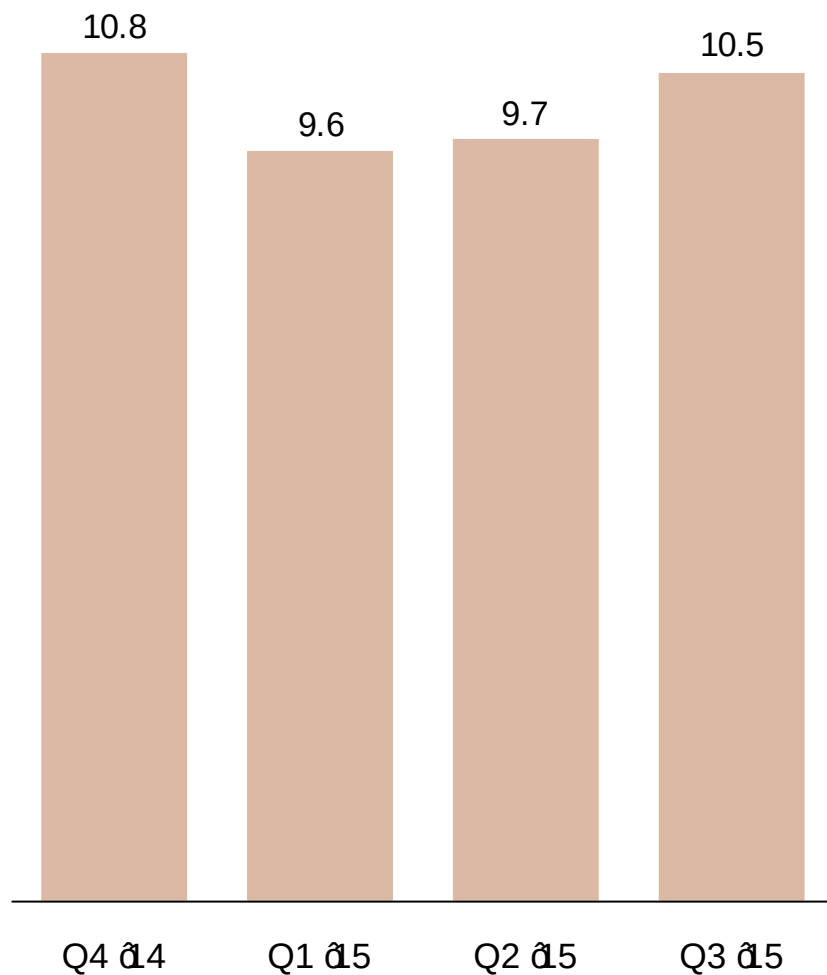
Uganda - Net Interest Margin



Percentage

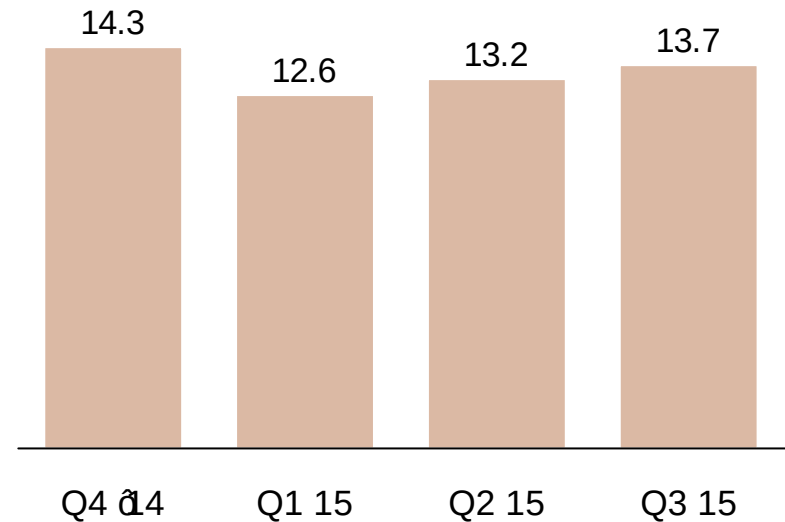
Net Interest Margin increasing over the last 3 quarters

Net Interest Margin

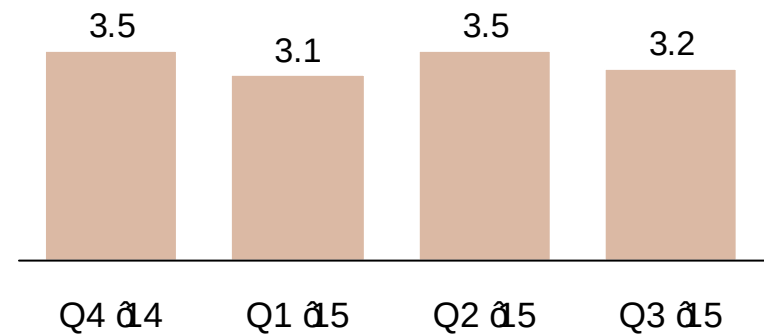


... driven by an increase in yield and a decrease in Cost of Funds

Yield on interest Earning Assets



Cost of funds



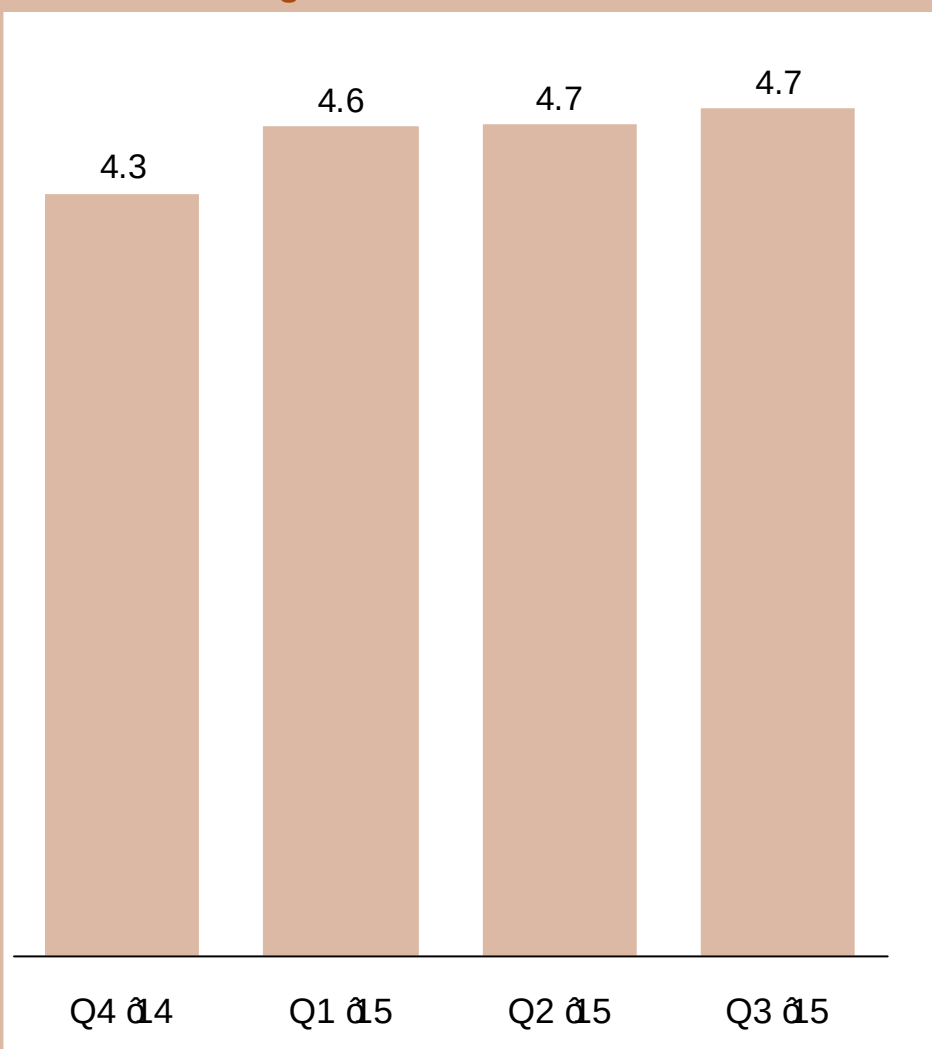


Tanzania - Net Interest Margin

Percentage

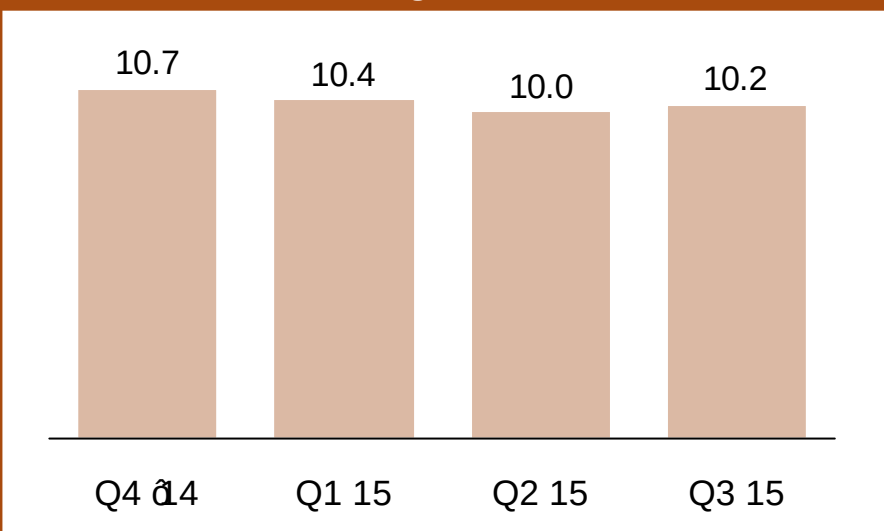
Net Interest Margin has been stable over the last 2 quarters

Net Interest Margin

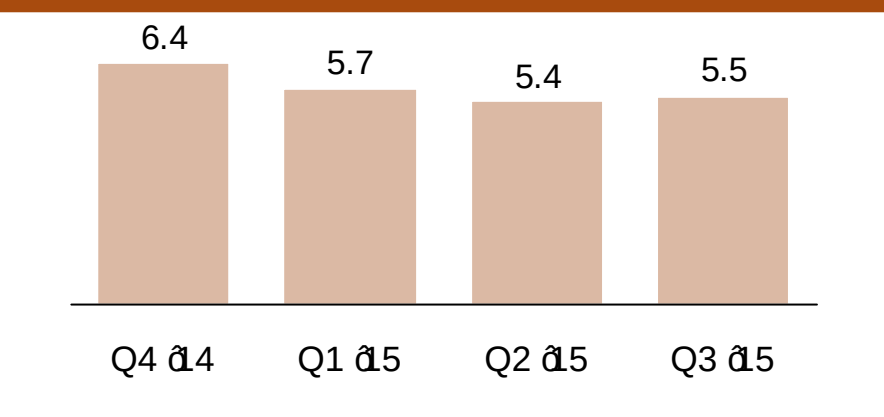


... driven by a marginal increase in yield and Cost of Funds

Yield on interest Earning Assets



Cost of funds

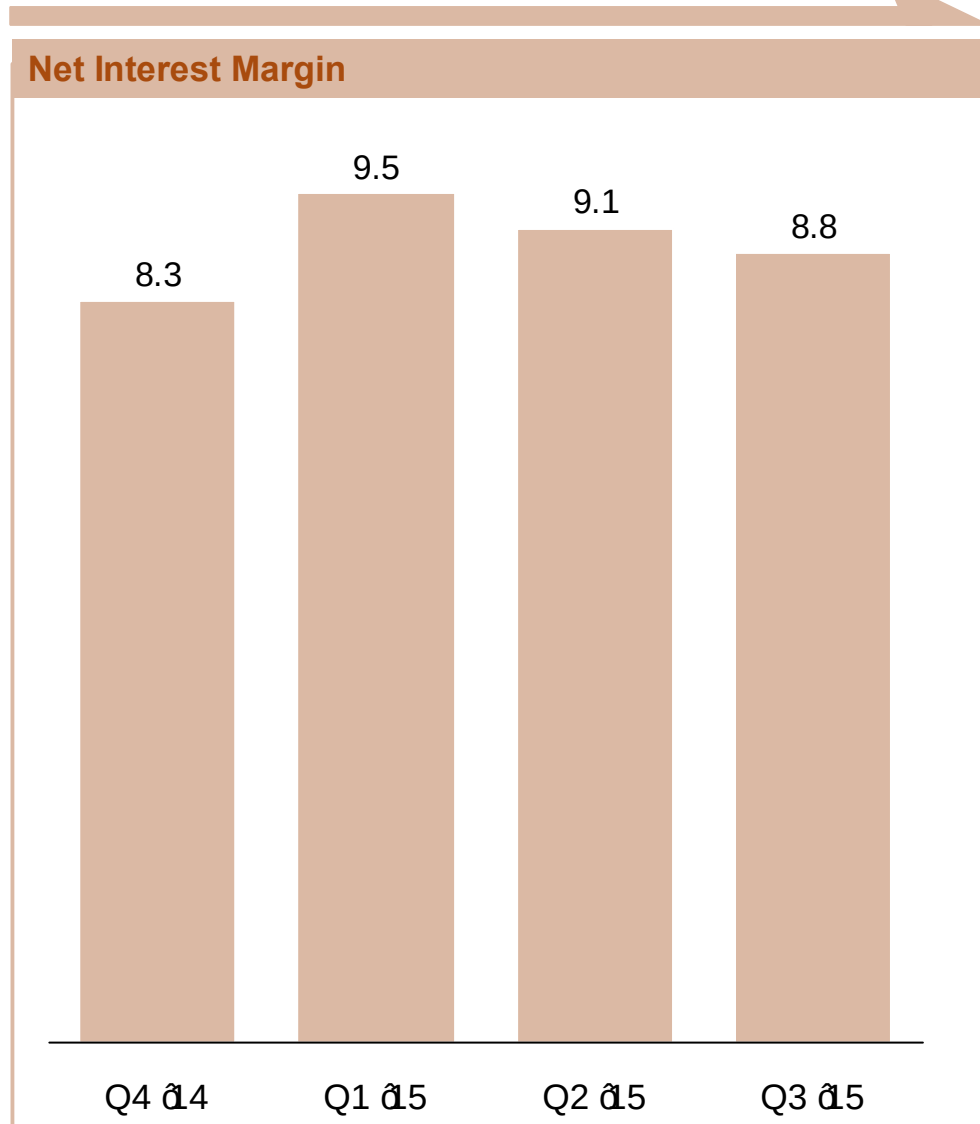




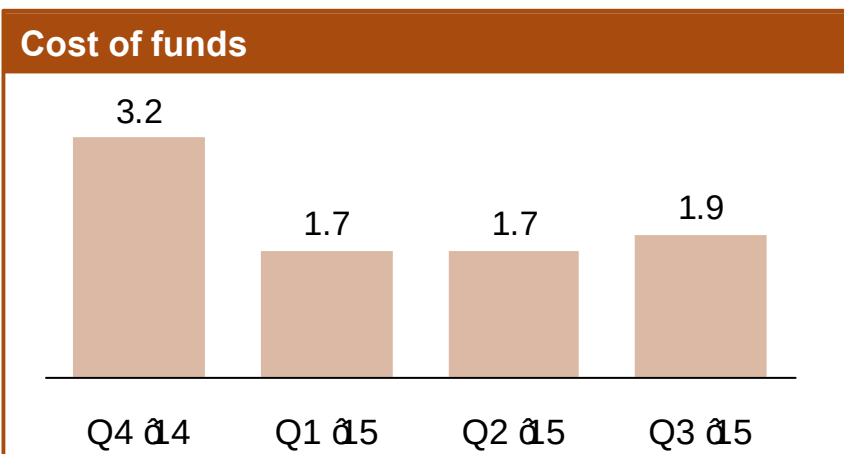
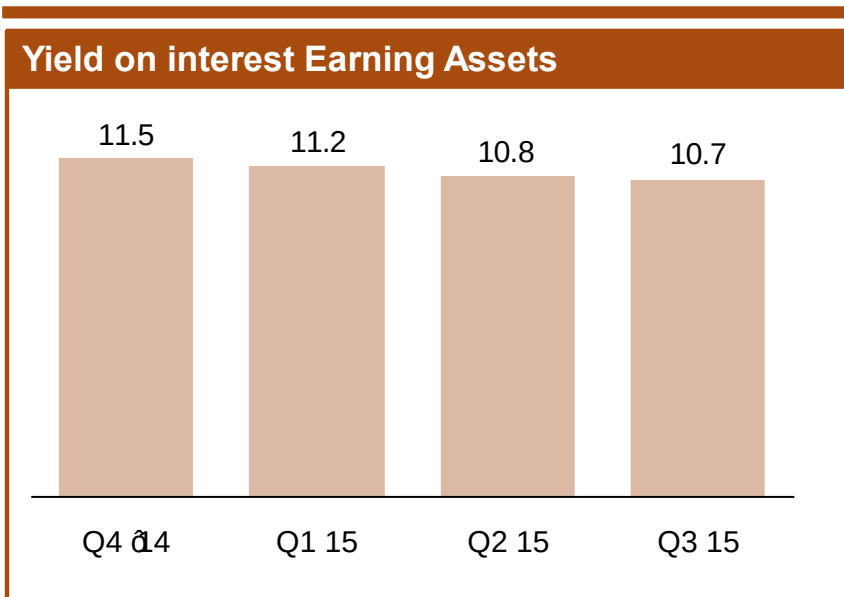
Rwanda - Net Interest Margin

Percentage

Net Interest Margin has been decreasing over the last 3 quarters



... driven by a decline in yield and an increase in Cost of Funds

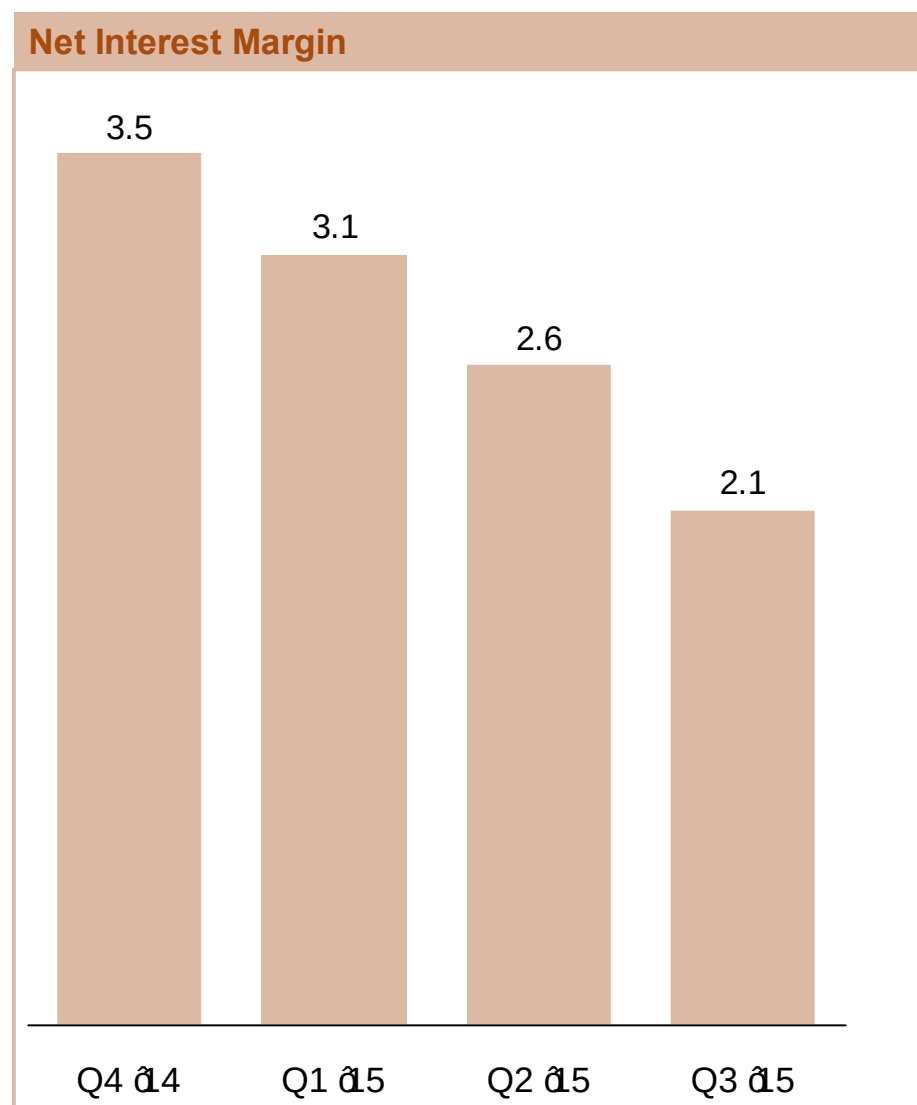




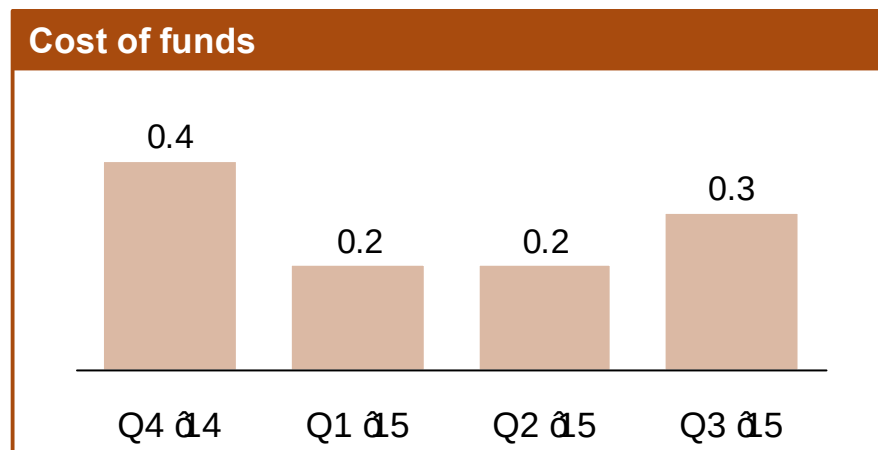
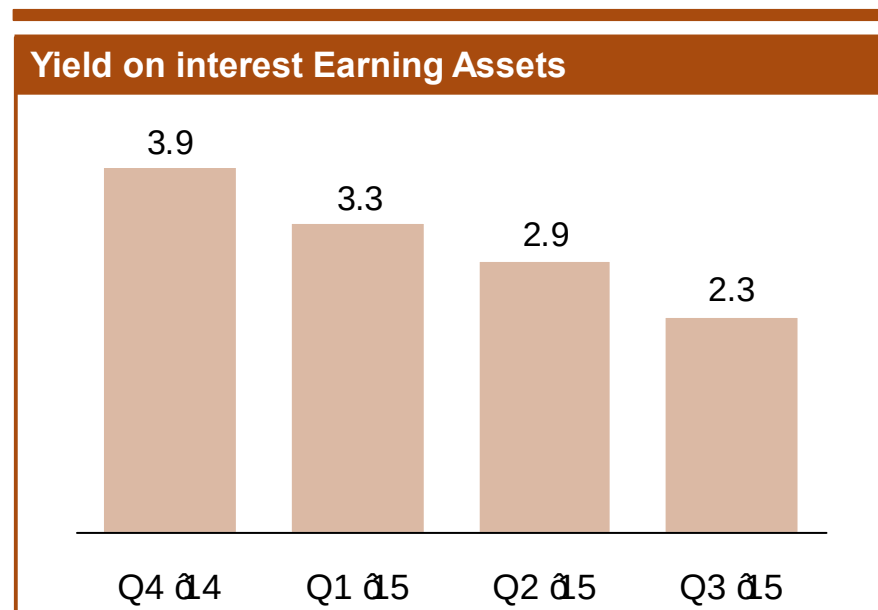
South Sudan - Net Interest Margin

Percentage

Net Interest Margin has declined over the last 4 quarters



... driven by a decline in yield and an increase in Cost of Funds



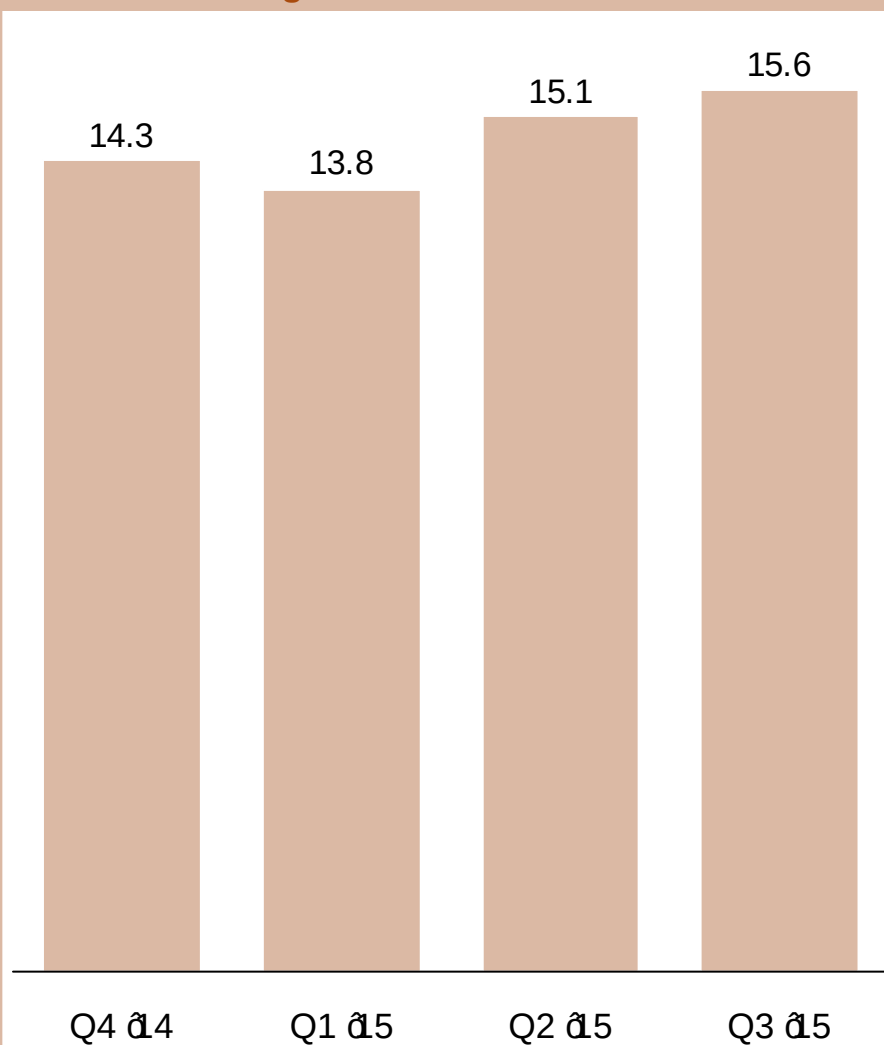


DRC - Net Interest Margin

Percentage

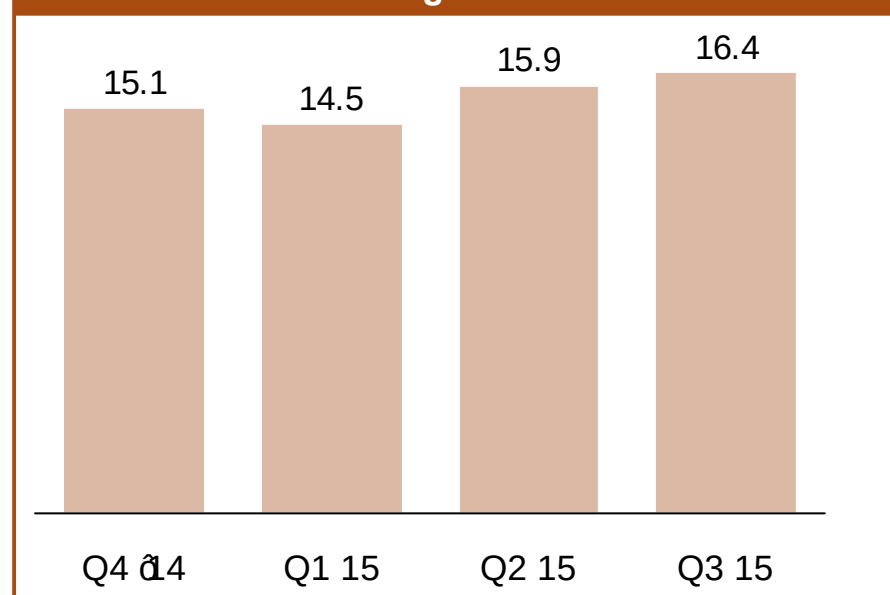
Net Interest Margin has been increasing over the last 3 quarters

Net Interest Margin

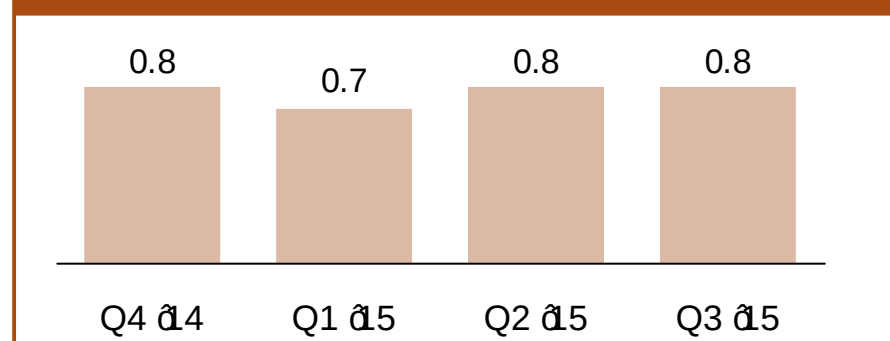


...driven by an increase in yield and stable Cost of Funds

Yield on interest Earning Assets



Cost of funds





RoAE and RoAA Trend – Banking Entities



	RoAE			
	FY 2012	FY 2013	FY 2014	Q3 2015
Tanzania	-5.9%	3.8%	6.1%	9.0%
Rwanda	-18.6%	-24.6%	11.7%	11.0%
South Sudan	40.6%	5.6%	13.5%	17.2%
Uganda	3.6%	12.6%	4.0%	12.8%
DRC	12.8%	8.3%	10.8%	10.6%

	RoAA			
	FY 2012	FY 2013	FY 2014	Q3 2015
Tanzania	-1.9%	0.8%	1.1%	1.4%
Rwanda	-6.4%	-4.4%	2.2%	2.3%
South Sudan	4.5%	0.8%	1.9%	1.8%
Uganda	0.6%	2.0%	0.6%	1.5%
DRC	1.6%	1.0%	1.3%	1.3%



Performance Trend – Banking Entities



	LOAN GROWTH TREND			
	FY 2012	FY 2013	FY 2014	Q3 2015
Tanzania	N/A	230%	116%	105%
Rwanda	3877%	113%	71%	58%
South Sudan	125%	23%	-17%	-20%
Uganda	11%	2%	-1%	11%
DRC	32%	30%	27%	78%

	NPL TREND			
	FY 2012	FY 2013	FY 2014	Q3 2015
Tanzania	0.7%	1.7%	2.3%	3.1%
Rwanda	0.6%	2.4%	3.6%	4.4%
South Sudan	1.3%	11.6%	24.7%	32.9%
Uganda	3.5%	4.2%	3.8%	3.2%
DRC	2.8%	3.8%	5.1%	3.9%



THANK YOU

Dr James Mwangi, CBS

Group Managing Director & CEO

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